

**CITY OF GALLATIN, TENNESSEE**  
**COMPREHENSIVE ANNUAL FINANCIAL REPORT**  
**FOR THE FISCAL YEAR ENDED JUNE 30, 2018**

**Prepared by the City of Gallatin Finance Director**

# CITY OF GALLATIN, TENNESSEE

## COMPREHENSIVE ANNUAL FINANCIAL REPORT

### TABLE OF CONTENTS

#### Introductory Section

|                |   |
|----------------|---|
| Directory..... | i |
|----------------|---|

#### Financial Section

|                                                                                     |    |
|-------------------------------------------------------------------------------------|----|
| Independent Auditor's Report .....                                                  | 1  |
| Management's Discussion and Analysis.....                                           | 4  |
| Basic Financial Statements:                                                         |    |
| Government-wide Financial Statements:                                               |    |
| Statement of Net Position .....                                                     | 11 |
| Statement of Activities.....                                                        | 13 |
| Fund Financial Statements                                                           |    |
| Balance Sheet - Governmental Funds .....                                            | 14 |
| Reconciliation of the Balance Sheet of Governmental Funds to the Statement of       |    |
| Net Position .....                                                                  | 15 |
| Statement of Revenues, Expenditures, and Changes in Fund Balances -                 |    |
| Governmental Funds.....                                                             | 16 |
| Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund      |    |
| Balances of Governmental Funds to the Statement of Activities .....                 | 17 |
| Statement of Net Position - Proprietary Funds.....                                  | 18 |
| Statement of Revenues, Expenses, and Changes in Fund Net Position - Proprietary     |    |
| Funds .....                                                                         | 20 |
| Statement of Cash Flows - Proprietary Funds .....                                   | 21 |
| Statement of Revenues, Expenditures, and Changes in Fund Balance - Budget and       |    |
| Actual - General Fund .....                                                         | 23 |
| Statement of Fiduciary Net Position – Pension Trust Fund – Electric Department..... | 37 |
| Statement of Changes in Fiduciary Net Position – Pension Trust Fund -               |    |
| Electric Department.....                                                            | 38 |
| Notes to the Financial Statements .....                                             | 39 |
| Required Supplementary Information                                                  |    |
| Schedule of Changes in the Plan's Net Pension Liability and Related Ratios .....    | 63 |
| Schedule of Contributions – Last Ten Fiscal Years .....                             | 64 |
| Schedule of Changes in the Total OPEB Liability and Related Ratios - Electric ..... | 65 |

#### Supplementary and Other Information Section

|                                                                                       |    |
|---------------------------------------------------------------------------------------|----|
| Combining and Individual Fund Statements and Schedules:                               |    |
| Combining Balance Sheet - Other Governmental Funds.....                               | 66 |
| Combining Statement of Revenues, Expenditures, and Changes in Fund Balances -         |    |
| Other Governmental Funds.....                                                         | 67 |
| Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and          |    |
| Actual - Special Services Fund .....                                                  | 68 |
| Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and          |    |
| Actual - Drug Fund .....                                                              | 69 |
| Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and          |    |
| Actual - Environmental Services Fund .....                                            | 70 |
| Supplementary Schedules                                                               |    |
| Schedule of Changes in Property Taxes Receivable .....                                | 71 |
| Schedule of Electric Rates in Force .....                                             | 72 |
| Schedule of Water and Sewer Rates in Force .....                                      | 74 |
| Schedule of Gas Rates in Force .....                                                  | 75 |
| Schedule of Unaccounted for Water - Unaudited.....                                    | 76 |
| Schedule of Principal and Interest Requirements - General Obligation Debt - City..... | 78 |

# CITY OF GALLATIN, TENNESSEE

## COMPREHENSIVE ANNUAL FINANCIAL REPORT

### TABLE OF CONTENTS

|                                                                                                                                                                                                                                       |     |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|
| Schedule of Long-term Debt - Proprietary Funds .....                                                                                                                                                                                  | 79  |
| Schedule of Expenditures of Federal Awards .....                                                                                                                                                                                      | 80  |
| Schedule of State Financial Assistance .....                                                                                                                                                                                          | 81  |
| <b>Statistical Section</b>                                                                                                                                                                                                            |     |
| Statistical Section Divider Page .....                                                                                                                                                                                                | 82  |
| Financial Trends Information - Net Position by Component - Last Ten Fiscal Years.....                                                                                                                                                 | 83  |
| Financial Trends Information - Change in Net Position - Last Ten Fiscal Years .....                                                                                                                                                   | 84  |
| Financial Trends Information - Fund Balances, Governmental Funds - Last Ten Fiscal<br>Years .....                                                                                                                                     | 86  |
| Financial Trends Information - Changes in Fund Balances for Total Governmental Funds -<br>Last Ten Fiscal Years .....                                                                                                                 | 87  |
| Revenue Capacity Information - Assessed Value and Estimated Actual Value of Taxable<br>Property - Last Ten Tax Years .....                                                                                                            | 88  |
| Revenue Capacity Information - Principal Property Tax Payers - Current Year and Nine<br>Years Ago .....                                                                                                                               | 89  |
| Revenue Capacity Information - Property Tax Levies and Collections - Last Ten Fiscal<br>Years .....                                                                                                                                   | 90  |
| Debt Capacity Information - Ratios of Outstanding Debt by Type - Last Ten Fiscal Years .....                                                                                                                                          | 91  |
| Debt Capacity Information - Ratios of General Bonded Debt Outstanding - Last Ten<br>Fiscal Years .....                                                                                                                                | 92  |
| Debt Capacity Information - Pledged Revenue Coverage - Last Ten Fiscal Years .....                                                                                                                                                    | 93  |
| Demographic and Economic Information - Demographic and Economic Statistics - Last Ten<br>Fiscal Years .....                                                                                                                           | 94  |
| Demographic and Economic Information - Principal Employers - Current Year and Nine<br>Years Ago .....                                                                                                                                 | 95  |
| Operating Information - Full-time Equivalent City Government Employees by<br>Function/Program - Last Ten Fiscal Years.....                                                                                                            | 96  |
| Operating Information - Operating Indicators by Function/Program - Last Ten Fiscal Years .....                                                                                                                                        | 97  |
| Operating Information - Capital Asset Statistics by Function/Program - Last Ten Fiscal<br>Years .....                                                                                                                                 | 98  |
| <b>Internal Control and Compliance Section</b>                                                                                                                                                                                        |     |
| Independent Auditor's Report on Internal Control Over Financial Reporting and<br>on Compliance and Other Matters Based on an Audit of Financial Statements<br>Performed in Accordance With <i>Government Auditing Standards</i> ..... | 99  |
| Independent Auditor's Report on Compliance for Each Major Federal Program and Report<br>On Internal Control Over Compliance Required by the Uniform Guidance.....                                                                     | 101 |
| Schedule of Findings and Questioned Costs .....                                                                                                                                                                                       | 103 |
| Schedule of Prior Year Findings and Responses .....                                                                                                                                                                                   | 105 |

## **INTRODUCTORY SECTION**

**CITY OF GALLATIN, TENNESSEE**  
**DIRECTORY**  
June 30, 2018

**ELECTED OFFICIALS**

Paige Brown, Mayor  
Lynda Love, Council Member  
William C. Hayes, Council Member  
Ronald E. Mayberry, Council Member  
John D. Alexander, Council Member  
James W. Overton, Council Member, Vice Mayor  
Steve C. Camp, Council Member  
Shawn Fennell, Council Member  
Connie Kittrell, Recorder

**MANAGEMENT TEAM**

Rachel Nichols, Director of Finance, CMFO  
Zach Wilkinson, Director of Public Works  
David A. Gregory, Superintendent of Public Utilities  
Donald Bandy, Chief of Police  
Victor Williams, Fire Chief  
Charles Stuart, Director of Codes  
William McCord, Director of Planning  
David Brown, Director of Leisure Services  
Debbie Johnson, Director of Human Resources  
James Fenton, Director of Economic Development  
Nick Tuttle, City Engineer  
Mark Kimbell, Electric Department Manager  
Lori Smiley, Director of Information Technology

**COUNSEL**

Susan High-McAuley  
City Attorney  
Gallatin, Tennessee

**INDEPENDENT CERTIFIED PUBLIC ACCOUNTANTS**

Alexander Thompson Arnold PLLC  
Jackson, Tennessee

## **FINANCIAL SECTION**



## Independent Auditor's Report

Honorable Paige Brown, Mayor  
Members of the City Council  
City of Gallatin, Tennessee

### **Report on the Financial Statements**

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the Table of Contents.

### ***Management's Responsibility for the Financial Statements***

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

### ***Auditor's Responsibility***

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Electric Department which is both a major fund and represents 24 percent, 22 percent, and 68 percent, respectively, of the assets, net position, and revenues of the business-type activities. Those statements were audited by other auditors whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for the Electric Department, is based solely on the report of the other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the City's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

### ***Opinions***

In our opinion, based on our audit and the report of other auditors, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee, as of June 30, 2018, and respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

### ***Other Matters***

#### ***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 4 through 10 and the required supplementary information as listed in the table of contents on pages 63 through 65 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

#### ***Other Information***

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The introductory section, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), the supplementary schedules as noted in the supplementary and other information section in the Table of Contents including the schedule of expenditures of federal awards as required by *Title 2 U.S. Code of Federal Regulations Part 200*, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards,, and the statistical section are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), and the supplementary schedules including the schedule of expenditures of federal awards, except that which is marked "unaudited," are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America by us and other auditors. In our opinion based on our audit, the procedures performed as described above, and the report of other auditors, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), and the supplementary schedules, except that which have been marked "unaudited" are fairly stated in all material respects in relation to the basic financial statements as a whole.



The introductory section, the supplementary schedule, which has been marked “unaudited”, and the statistical section have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

**Other Reporting Required by *Government Auditing Standards***

In accordance with *Government Auditing Standards*, we have also issued our report dated December 30, 2018 on our consideration of the City of Gallatin’s internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City of Gallatin’s internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Alexander Thompson Arnold, PLLC". The signature is written in a cursive, flowing style.

Jackson, Tennessee  
December 30, 2018

## **MANAGEMENT'S DISCUSSION AND ANALYSIS**

As management of the City of Gallatin, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2018. The analysis focuses on significant financial position, budget changes and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

### **FINANCIAL HIGHLIGHTS**

- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows of resources at the close of the fiscal year by \$257.41 million as compared to \$244.54 million in the prior year. Of these amounts, \$52.99 million (unrestricted net position) as compared to \$54.95 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by \$12.87 million in 2018, including (\$6.91) million of prior period adjustments/restatements, compared to an increase of \$18.77 million in 2017.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of \$31.84 million, a decrease of \$1.59 million from the prior year. Approximately \$17.25 million of that total is available for spending at the government's discretion and \$11.88 million is assigned for capital projects.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was \$17.25 million, or 46.58% of the total general fund expenditures as compared to \$17.73 million the prior year.
- The City's total debt obligations decreased by \$4.15 million during the current fiscal year.

### **OVERVIEW OF THE FINANCIAL STATEMENTS**

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information and supplementary and other information in addition to the basic financial statements themselves.

#### **Government-Wide Financial Statements**

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.
- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

## MANAGEMENT'S DISCUSSION AND ANALYSIS

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer, Natural Gas, and Electric Power services. The government-wide financial statements can be found on pages 11 to 13 of this report.

### **Fund Financial Statements**

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories: governmental funds and proprietary funds.

**Governmental funds** - Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet - Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 14 to 17 of this report.

The City maintains eight governmental funds. Information is presented separately in the Balance Sheet - Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds for the General Fund and Capital Projects Fund, which are considered to be major funds. Data from the other six governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 66.

The City adopts an annual appropriated budget for the General Fund and the special revenue funds. Budgetary comparison statements have been provided on pages 23 to 36 and pages 68 to 70 of this report.

**Proprietary funds** - There are two different types of proprietary funds.

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Board of Public Utilities Electric, Water and Sewer, and Gas Funds.
- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

## MANAGEMENT'S DISCUSSION AND ANALYSIS

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water and Sewer, Natural Gas, and Electric Power operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 18 to 22 of this report.

**Fiduciary funds** – Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Gallatin's own programs. The Fiduciary fund reported is for the Electric Department Pension Trust Fund. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary funds is provided in the form of combining statements which can be found on pages 37 to 38 of this report.

### Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 39 to 62 of this report.

### Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's and Utility's schedules of funding progress for their respective pension plans and other post-employment benefits.

## GOVERNMENT-WIDE FINANCIAL ANALYSIS

**Statement of Net Position** - As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by \$257.41 million at the close of the most recent fiscal year, as compared to \$244.54 million at the close of the previous year.

By far the largest portion of the City's net position (78.87%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position \$1.31 million (0.55%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position \$52.99 million (20.58%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

## MANAGEMENT'S DISCUSSION AND ANALYSIS

|                                  | Governmental<br>Activities |                      | Business-type<br>Activities |                       | Total                 |                       |
|----------------------------------|----------------------------|----------------------|-----------------------------|-----------------------|-----------------------|-----------------------|
|                                  | 2018                       | 2017                 | 2018                        | 2017                  | 2018                  | 2017                  |
| Current and other assets         | \$ 47,363,190              | \$ 49,217,160        | \$ 54,414,819               | \$ 55,335,307         | \$ 101,778,009        | \$ 104,552,467        |
| Capital assets                   | 87,907,950                 | 79,582,315           | 164,591,513                 | 160,074,268           | 252,499,463           | 239,656,583           |
| Total assets                     | 135,271,140                | 128,799,475          | 219,006,332                 | 215,409,575           | 354,277,472           | 344,209,050           |
| Deferred outflows of resources   | 356,642                    | 398,600              | 3,509,443                   | 4,102,680             | 3,866,085             | 4,501,280             |
| Long-term liabilities            | 26,047,003                 | 28,036,063           | 40,056,404                  | 43,027,287            | 66,103,407            | 71,063,350            |
| Other liabilities                | 4,314,236                  | 4,584,903            | 18,561,198                  | 17,339,803            | 22,875,434            | 21,924,706            |
| Total liabilities                | 30,361,239                 | 32,620,966           | 58,617,602                  | 60,367,090            | 88,978,841            | 92,988,056            |
| Deferred inflows of resources    | 11,123,823                 | 10,776,714           | 632,098                     | 402,961               | 11,755,921            | 11,179,675            |
| Net position:                    |                            |                      |                             |                       |                       |                       |
| Net investment in capital assets | 75,402,931                 | 67,569,997           | 127,605,680                 | 120,808,485           | 203,008,611           | 188,378,482           |
| Restricted                       | 1,403,017                  | 1,205,180            | 7,675                       | 7,648                 | 1,410,692             | 1,212,828             |
| Unrestricted                     | 17,336,772                 | 17,025,218           | 35,652,720                  | 37,926,071            | 52,989,492            | 54,951,289            |
| <b>Total net position</b>        | <b>\$ 94,142,720</b>       | <b>\$ 85,800,395</b> | <b>\$ 163,266,075</b>       | <b>\$ 158,742,204</b> | <b>\$ 257,408,795</b> | <b>\$ 244,542,599</b> |

The government's total assets increased significantly due to the capital projects that were completed and in progress during the current fiscal year. Long-term liabilities decreased due to payments being made on these projects during the current fiscal year.

**Statement of Activities** - Expenses in the governmental activities exceeded program revenues by \$20.27 million. In the business-type activities program revenues exceeded expenses by \$12.87 million. General government revenues and transfers of \$28.61 million offset the governmental activities deficit resulting in a positive change of net position of \$8.34 million. Other business-type revenues of \$197 thousand and transfers out of \$1.64 million reduced income in the business type activities leaving a positive change in net position of \$11.43 million before a prior period adjustment and a restatement of beginning net position totaling (\$6.91) million.

|                                    | Governmental<br>Activities |              | Business-type<br>Activities |               | Total          |                |
|------------------------------------|----------------------------|--------------|-----------------------------|---------------|----------------|----------------|
|                                    | 2018                       | 2017         | 2018                        | 2017          | 2018           | 2017           |
| Revenues:                          |                            |              |                             |               |                |                |
| Program revenues:                  |                            |              |                             |               |                |                |
| Charges for services               | \$ 7,863,631               | \$ 7,418,973 | \$ 102,309,298              | \$ 99,131,412 | \$ 110,172,929 | \$ 106,550,385 |
| Operating grants and contributions | 1,865,673                  | 1,275,976    | -                           | -             | 1,865,673      | 1,275,976      |
| Capital grants and contributions   | 6,010,371                  | 8,921,557    | 5,623,904                   | 3,508,042     | 11,634,275     | 12,429,599     |
| General revenues:                  |                            |              |                             |               |                |                |
| Property taxes                     | 11,235,726                 | 11,367,951   | -                           | -             | 11,235,726     | 11,367,951     |
| Other taxes                        | 14,896,995                 | 14,639,686   | -                           | -             | 14,896,995     | 14,639,686     |
| Other sources                      | 844,078                    | 727,059      | 197,243                     | 134,202       | 1,041,321      | 861,261        |
| Total revenues                     | 42,716,474                 | 44,351,202   | 108,130,445                 | 102,773,656   | 150,846,919    | 147,124,858    |

## MANAGEMENT'S DISCUSSION AND ANALYSIS

|                                     | Governmental<br>Activities |                      | Business-type<br>Activities |                       | Total                 |                       |
|-------------------------------------|----------------------------|----------------------|-----------------------------|-----------------------|-----------------------|-----------------------|
|                                     | 2018                       | 2017                 | 2018                        | 2017                  | 2018                  | 2017                  |
| Expenses:                           |                            |                      |                             |                       |                       |                       |
| General government                  | \$ 8,545,515               | \$ 7,930,678         | \$ -                        | \$ -                  | \$ 8,545,515          | \$ 7,930,678          |
| Public safety                       | 14,939,109                 | 14,842,150           | -                           | -                     | 14,939,109            | 14,842,150            |
| Engineering                         | 1,907,119                  | 2,224,831            | -                           | -                     | 1,907,119             | 2,224,831             |
| Environmental services              | 2,109,615                  | 1,788,412            | -                           | -                     | 2,109,615             | 1,788,412             |
| Public works                        | 705,505                    | 568,139              | -                           | -                     | 705,505               | 568,139               |
| Highway and streets                 | 1,556,403                  | 1,174,314            | -                           | -                     | 1,556,403             | 1,174,314             |
| Vehicle maintenance                 | 562,563                    | 549,748              | -                           | -                     | 562,563               | 549,748               |
| Parks and recreation                | 4,302,313                  | 4,639,151            | -                           | -                     | 4,302,313             | 4,639,151             |
| Economic development                | 615,343                    | 448,193              | -                           | -                     | 615,343               | 448,193               |
| Interest on debt                    | 765,919                    | 923,196              | -                           | -                     | 765,919               | 923,196               |
| Electric                            | -                          | -                    | 68,464,520                  | 68,658,346            | 68,464,520            | 68,658,346            |
| Water and Sewer                     | -                          | -                    | 13,115,652                  | 11,787,952            | 13,115,652            | 11,787,952            |
| Gas                                 | -                          | -                    | 13,482,880                  | 12,817,606            | 13,482,880            | 12,817,606            |
| Total expenses                      | <u>36,009,404</u>          | <u>35,088,812</u>    | <u>95,063,052</u>           | <u>93,263,904</u>     | <u>131,072,456</u>    | <u>128,352,716</u>    |
| Revenues over/under                 |                            |                      |                             |                       |                       |                       |
| expenses                            | 6,707,070                  | 9,262,390            | 13,067,393                  | 9,509,752             | 19,774,463            | 18,772,142            |
| In lieu of taxes in (out)           | 1,635,255                  | 1,699,195            | (1,635,255)                 | (1,699,195)           | -                     | -                     |
| <b>Increase in net position</b>     | <b>8,342,325</b>           | <b>10,961,585</b>    | <b>11,432,138</b>           | <b>7,810,557</b>      | <b>19,774,463</b>     | <b>18,772,142</b>     |
| Net position - beginning            | 85,800,395                 | 74,838,810           | 158,742,204                 | 150,931,647           | 244,542,599           | 225,770,457           |
| Prior period adjustment/restatement | -                          | -                    | (6,908,267)                 | -                     | (6,908,267)           | -                     |
| Net position - beginning - restated | <u>85,800,395</u>          | <u>74,838,810</u>    | <u>151,833,937</u>          | <u>150,931,647</u>    | <u>237,634,332</u>    | <u>225,770,457</u>    |
| Net position - ending               | <u>\$ 94,142,720</u>       | <u>\$ 85,800,395</u> | <u>\$ 163,266,075</u>       | <u>\$ 158,742,204</u> | <u>\$ 257,408,795</u> | <u>\$ 244,542,599</u> |

In governmental activities, charges for services increased \$445 thousand in 2018. Operating grants and contributions increased by \$590 thousand. Capital grants and contributions decreased \$2.91 million. In the business type activities charges for services increased by \$3.18 million and costs of sales and service increased by \$1.80 million due to increased sales during the year.

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vitally important to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

Overall expenses for 2018 were greater than expenses in 2017 in the governmental activities by \$921 thousand. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational spending to a minimum in continued tight economic times.

### FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

**Governmental funds** - The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was \$17.25 million while total fund balance was \$17.93 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund

## MANAGEMENT'S DISCUSSION AND ANALYSIS

balance and total fund balance to total fund expenditures. Unassigned fund balance represents 46.58% of total general fund expenditures in 2018 as compared to 53.73% in 2017.

The fund balance of the City's general fund decreased by \$743 thousand during the current fiscal year. A key factor in this decrease was the significant amount of capital purchases made during the current fiscal year.

**Proprietary funds** - The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business-type activities and are operated similarly. Net position of the proprietary funds increased by \$11.43 million in 2018 as compared to \$7.81 million in 2017, before considering the prior period adjustment and restatement totaling (\$6.91) million.

Unrestricted net position of the proprietary funds amounted to \$35.65 million as compared to \$37.93 million in the prior year. The change in net position (excluding prior period restatement/adjustments) of the individual proprietary funds were as follows:

- Water and Sewer Fund - \$5.99 million in 2018 compared to \$5.46 million in 2017.
- Natural Gas Fund – \$3.31 million in 2018 compared to \$910 thousand in 2017.
- Electric Fund - \$2.14 million in 2018 compared to \$1.44 million in 2017.

**General Fund budgetary highlights** - The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in a \$9.93 million increase in budgeted expenditures and transfers out from the original budget. The increase of approximately 26.80% was mainly for capital expenditures.

Actual revenues and other financing sources were exceeded by budgeted amounts by \$1.82 million. The largest variances were related to other federal grants.

Actual expenditures and transfers out were under budget by \$9.98 million, which was partially due to department heads holding spending but mostly was due to large projects that were budgeted for this year that will continue into next year.

### CAPITAL ASSET AND DEBT ADMINISTRATION

**Capital Assets** - At the end of Fiscal Year 2018 the City had invested \$252.50 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 5.36%. Additional information on the City's capital assets can be found in Note 4.C. beginning on page 48 of this report.

**Long-term debt** - At the end of the current fiscal year, the City had total long-term debt outstanding of \$56.86 million as compared to \$60.73 million at the end of the prior fiscal year. Of this amount, \$22.79 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds, except for TVA weatherization contracts in the amount of \$117,448. Information on the City's long-term debt can be found in Note 4.E. beginning on page 51 of this report.

The City of Gallatin maintains a "AA+" rating from Standards and Poors for general obligation debt. Also, the City rating from Moody's has been recalibrated to "Aa2".

## MANAGEMENT'S DISCUSSION AND ANALYSIS

### ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

**General Fund Revenue** –Property tax revenues grew slightly for the year. Most other general revenue sources showed moderate growth. Charges for services increased mainly due to increased Parks and Recreation revenues.

**General Fund Expenditures and Capital Outlay** – Departments were encouraged to be prudent and frugal with spending even though additional positions were funded to accommodate the growth of the City and the increased demands on staff. Most capital funding was to complete existing, ongoing projects or for grant funded projects.

**General Fund Balance** – At the end of the current fiscal year, unassigned fund balance in the general fund was \$17.25 million. The decrease from the previous year was mainly related to a significant amount of capital projects that were completed in the current fiscal year.

**Next Year's Budget and Rates** – The City has no plans to increase the property tax rate paid by citizens in the next fiscal year. The City will continue to watch the national and world economic factors that could influence the local economy and will make any necessary mid-year adjustments to operate within available revenues.

### REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Gallatin's finances for citizens, taxpayers, customers, investors, creditors and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Gallatin, 132 West Main Street, Gallatin, TN, 37066.



## **BASIC FINANCIAL STATEMENTS**

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF NET POSITION**  
June 30, 2018

|                                                                                 | <b>Governmental<br/>Activities</b> | <b>Business-type<br/>Activities</b> | <b>Total</b>        |
|---------------------------------------------------------------------------------|------------------------------------|-------------------------------------|---------------------|
| <b>Assets</b>                                                                   |                                    |                                     |                     |
| Cash and cash equivalents                                                       | \$ 15,983,568                      | \$ 35,582,185                       | \$ 51,565,753       |
| Certificates of deposit                                                         | 2,960,297                          | 4,573,824                           | 7,534,121           |
| Investments                                                                     | 21,025                             | -                                   | 21,025              |
| Receivables                                                                     |                                    |                                     |                     |
| Interest                                                                        | 333,867                            | -                                   | 333,867             |
| Taxes (net of allowance)                                                        | 11,355,169                         | -                                   | 11,355,169          |
| Accounts (net of allowance)                                                     | 563,223                            | 10,246,689                          | 10,809,912          |
| Fines (net of allowance)                                                        | 25,901                             | -                                   | 25,901              |
| Grant                                                                           | 109,297                            | -                                   | 109,297             |
| Intergovernmental                                                               | 2,658,475                          | -                                   | 2,658,475           |
| Other                                                                           | 152,296                            | 12,871                              | 165,167             |
| Prepayments and other current assets                                            | 1,062,805                          | 80,973                              | 1,143,778           |
| Materials and supplies                                                          | 71,023                             | 3,560,244                           | 3,631,267           |
| Restricted assets:                                                              |                                    |                                     |                     |
| Cash and cash equivalents                                                       | 12,066,244                         | 7,675                               | 12,073,919          |
| Other receivables                                                               | -                                  | 87,706                              | 87,706              |
| Contracts receivable - for                                                      |                                    |                                     |                     |
| home weatherization program                                                     | -                                  | 110,478                             | 110,478             |
| Acquisition adjustments                                                         | -                                  | 152,174                             | 152,174             |
| Capital assets, not being depreciated                                           |                                    |                                     |                     |
| Land                                                                            | 14,353,038                         | 3,386,629                           | 17,739,667          |
| Construction in progress                                                        | 44,711                             | 4,138,442                           | 4,183,153           |
| Capital assets, net of accumulated depreciation                                 |                                    |                                     |                     |
| Transmission plant                                                              | -                                  | 367,189                             | 367,189             |
| Distribution plant                                                              | -                                  | 125,025,496                         | 125,025,496         |
| General plant                                                                   | -                                  | 1,583,124                           | 1,583,124           |
| Buildings                                                                       | 11,532,650                         | 29,001,110                          | 40,533,760          |
| Improvements other than buildings                                               | 57,164,586                         | -                                   | 57,164,586          |
| Equipment                                                                       | 1,272,774                          | 480,142                             | 1,752,916           |
| Rolling stock                                                                   | 3,271,287                          | 527,286                             | 3,798,573           |
| Office furniture and equipment                                                  | 268,904                            | 82,095                              | 350,999             |
| <b>Total assets</b>                                                             | <b>135,271,140</b>                 | <b>219,006,332</b>                  | <b>354,277,472</b>  |
| <b>Deferred outflows of resources</b>                                           |                                    |                                     |                     |
| Contributions to pension/OPEB funds subsequent to the measurement date          | -                                  | 815,914                             | 815,914             |
| Differences between expected and actual experience - pensions/OPEB              | -                                  | 18,255                              | 18,255              |
| Pension change of assumptions                                                   | -                                  | 653,920                             | 653,920             |
| Net difference between expected and actual earnings on pension plan investments | -                                  | 152,730                             | 152,730             |
| Loss on bond refunding                                                          | 356,642                            | 1,868,624                           | 2,225,266           |
| <b>Total deferred outflows of resources</b>                                     | <b>\$ 356,642</b>                  | <b>\$ 3,509,443</b>                 | <b>\$ 3,866,085</b> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF NET POSITION**  
June 30, 2018

|                                              | <b>Governmental<br/>Activities</b> | <b>Business-type<br/>Activities</b> | <b>Total</b>          |
|----------------------------------------------|------------------------------------|-------------------------------------|-----------------------|
| <b>Liabilities</b>                           |                                    |                                     |                       |
| Accounts payable                             | \$ 957,961                         | \$ 13,813,756                       | \$ 14,771,717         |
| Accrued expenses                             | 240,227                            | 272,544                             | 512,771               |
| Accrued interest                             | 404,088                            | 362,906                             | 766,994               |
| Customer deposits                            | -                                  | 4,111,992                           | 4,111,992             |
| Unearned revenue                             | 50,852                             | -                                   | 50,852                |
| Unearned evidence funds                      | 47,977                             | -                                   | 47,977                |
| Unearned grant revenue                       | 6,620                              | -                                   | 6,620                 |
| Performance deposits                         | 2,606,511                          | -                                   | 2,606,511             |
| Long-term liabilities:                       |                                    |                                     |                       |
| Due within one year                          | 2,098,131                          | 2,096,379                           | 4,194,510             |
| Due in excess of one year                    | 23,948,872                         | 35,930,828                          | 59,879,700            |
| Other liabilities due in more than one year: |                                    |                                     |                       |
| OPEB liability                               | -                                  | 472,634                             | 472,634               |
| Net pension liability                        | -                                  | 1,556,563                           | 1,556,563             |
| <b>Total liabilities</b>                     | <b>30,361,239</b>                  | <b>58,617,602</b>                   | <b>88,978,841</b>     |
| <b>Deferred inflows of resources</b>         |                                    |                                     |                       |
| Deferred property taxes                      | 11,123,823                         | -                                   | 11,123,823            |
| Pension - actuarial experience               | -                                  | 253,805                             | 253,805               |
| Pension change of assumptions                | -                                  | 378,293                             | 378,293               |
| <b>Total deferred inflows of resources</b>   | <b>11,123,823</b>                  | <b>632,098</b>                      | <b>11,755,921</b>     |
| <b>Net Position</b>                          |                                    |                                     |                       |
| Net investment in capital assets             | 75,402,931                         | 127,605,680                         | 203,008,611           |
| Restricted for                               |                                    |                                     |                       |
| Workman's compensation adjustment            | -                                  | 7,675                               | 7,675                 |
| Funds held in trust                          | 432,413                            | -                                   | 432,413               |
| Environmental services                       | 849,033                            | -                                   | 849,033               |
| Drug enforcement                             | 17,284                             | -                                   | 17,284                |
| Economic development                         | 104,287                            | -                                   | 104,287               |
| Unrestricted                                 | 17,336,772                         | 35,652,720                          | 52,989,492            |
| <b>Total net position</b>                    | <b>\$ 94,142,720</b>               | <b>\$ 163,266,075</b>               | <b>\$ 257,408,795</b> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF ACTIVITIES**  
For the Fiscal Year Ended June 30, 2018

| Functions/Programs                             | Expenses             | Program Revenues      |                                    |                                  | Net (Expense) Revenue and Changes in Net Position |                          | Total                 |
|------------------------------------------------|----------------------|-----------------------|------------------------------------|----------------------------------|---------------------------------------------------|--------------------------|-----------------------|
|                                                |                      | Charges for Services  | Operating Grants and Contributions | Capital Grants and Contributions | Governmental Activities                           | Business-type Activities |                       |
| <b>Primary government</b>                      |                      |                       |                                    |                                  |                                                   |                          |                       |
| <b>Governmental activities</b>                 |                      |                       |                                    |                                  |                                                   |                          |                       |
| General government                             | \$ 8,545,515         | \$ 3,050,887          | \$ 512,594                         | \$ 5,847,789                     | \$ 865,755                                        | \$ -                     | \$ 865,755            |
| Public safety                                  | 14,939,109           | 790,318               | 127,699                            | -                                | (14,021,092)                                      | -                        | (14,021,092)          |
| Engineering                                    | 1,907,119            | -                     | -                                  | 159,262                          | (1,747,857)                                       | -                        | (1,747,857)           |
| Environmental services                         | 2,109,615            | 2,018,864             | -                                  | -                                | (90,751)                                          | -                        | (90,751)              |
| Public works                                   | 705,505              | -                     | -                                  | 3,320                            | (702,185)                                         | -                        | (702,185)             |
| Highways and streets                           | 1,556,403            | -                     | 1,225,380                          | -                                | (331,023)                                         | -                        | (331,023)             |
| Vehicle maintenance                            | 562,563              | 205,174               | -                                  | -                                | (357,389)                                         | -                        | (357,389)             |
| Parks and recreation                           | 4,302,313            | 1,798,388             | -                                  | -                                | (2,503,925)                                       | -                        | (2,503,925)           |
| Economic development                           | 615,343              | -                     | -                                  | -                                | (615,343)                                         | -                        | (615,343)             |
| Debt service                                   | 765,919              | -                     | -                                  | -                                | (765,919)                                         | -                        | (765,919)             |
| Total governmental activities                  | <u>36,009,404</u>    | <u>7,863,631</u>      | <u>1,865,673</u>                   | <u>6,010,371</u>                 | <u>(20,269,729)</u>                               | <u>-</u>                 | <u>(20,269,729)</u>   |
| <b>Business-type activities</b>                |                      |                       |                                    |                                  |                                                   |                          |                       |
| Electric                                       | 68,464,520           | 70,768,167            | -                                  | 503,156                          | -                                                 | 2,806,803                | 2,806,803             |
| Water & Sewer                                  | 13,115,652           | 15,214,513            | -                                  | 4,342,532                        | -                                                 | 6,441,393                | 6,441,393             |
| Gas                                            | 13,482,880           | 16,326,618            | -                                  | 778,216                          | -                                                 | 3,621,954                | 3,621,954             |
| Total business-type activities                 | <u>\$ 95,063,052</u> | <u>\$ 102,309,298</u> | <u>\$ -</u>                        | <u>\$ 5,623,904</u>              | <u>-</u>                                          | <u>12,870,150</u>        | <u>12,870,150</u>     |
| General revenues                               |                      |                       |                                    |                                  |                                                   |                          |                       |
| Property taxes - levied for general government |                      |                       |                                    |                                  | 10,733,811                                        | -                        | 10,733,811            |
| In lieu of taxes - other governments           |                      |                       |                                    |                                  | 501,915                                           | -                        | 501,915               |
| Sales taxes                                    |                      |                       |                                    |                                  | 11,516,561                                        | -                        | 11,516,561            |
| Franchise taxes                                |                      |                       |                                    |                                  | 468,690                                           | -                        | 468,690               |
| Alcoholic beverage taxes                       |                      |                       |                                    |                                  | 1,522,812                                         | -                        | 1,522,812             |
| Business taxes                                 |                      |                       |                                    |                                  | 949,546                                           | -                        | 949,546               |
| Income taxes                                   |                      |                       |                                    |                                  | 439,386                                           | -                        | 439,386               |
| Other sources                                  |                      |                       |                                    |                                  | 503,003                                           | -                        | 503,003               |
| Sale of capital assets                         |                      |                       |                                    |                                  | 37,548                                            | -                        | 37,548                |
| Unrestricted interest income                   |                      |                       |                                    |                                  | 303,527                                           | 197,243                  | 500,770               |
| Total general revenues                         |                      |                       |                                    |                                  | <u>26,976,799</u>                                 | <u>197,243</u>           | <u>27,174,042</u>     |
| Transfers                                      |                      |                       |                                    |                                  |                                                   |                          |                       |
| In lieu of taxes in (out)                      |                      |                       |                                    |                                  | 1,635,255                                         | (1,635,255)              | -                     |
| Total general revenues and transfers           |                      |                       |                                    |                                  | <u>28,612,054</u>                                 | <u>(1,438,012)</u>       | <u>27,174,042</u>     |
| <b>Changes in net position</b>                 |                      |                       |                                    |                                  | <b>8,342,325</b>                                  | <b>11,432,138</b>        | <b>19,774,463</b>     |
| Net position - beginning                       |                      |                       |                                    |                                  | 85,800,395                                        | 158,742,204              | 244,542,599           |
| Prior period adjustment/restatement            |                      |                       |                                    |                                  | -                                                 | (6,908,267)              | (6,908,267)           |
| Net position, beginning - restated             |                      |                       |                                    |                                  | 85,800,395                                        | 151,833,937              | 237,634,332           |
| <b>Net position - ending</b>                   |                      |                       |                                    |                                  | <u>\$ 94,142,720</u>                              | <u>\$ 163,266,075</u>    | <u>\$ 257,408,795</u> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**BALANCE SHEET**  
**GOVERNMENTAL FUNDS**  
June 30, 2018

|                                                                                | <u>General</u>       | <u>Capital Projects</u> | <u>Other<br/>Governmental<br/>Funds</u> | <u>Total<br/>Governmental<br/>Funds</u> |
|--------------------------------------------------------------------------------|----------------------|-------------------------|-----------------------------------------|-----------------------------------------|
| <b>Assets</b>                                                                  |                      |                         |                                         |                                         |
| Cash and cash equivalents                                                      | \$ 12,081,976        | \$ -                    | \$ 3,901,592                            | \$ 15,983,568                           |
| Restricted cash and cash equivalents                                           | -                    | 12,066,244              | -                                       | 12,066,244                              |
| Certificates of deposit                                                        | 2,960,297            | -                       | -                                       | 2,960,297                               |
| Investments                                                                    | -                    | -                       | 21,025                                  | 21,025                                  |
| Receivables                                                                    |                      |                         |                                         |                                         |
| Interest                                                                       | 322,658              | -                       | 11,209                                  | 333,867                                 |
| Taxes (net of allowance of \$316,520)                                          | 11,355,169           | -                       | -                                       | 11,355,169                              |
| Accounts (net of allowance of \$1,275)                                         | 486,492              | -                       | 76,731                                  | 563,223                                 |
| Fines (net of allowance of \$2,028,593)                                        | 25,901               | -                       | -                                       | 25,901                                  |
| Grants                                                                         | 80,371               | 28,926                  | -                                       | 109,297                                 |
| Intergovernmental                                                              | 2,658,475            | -                       | -                                       | 2,658,475                               |
| Other (net allowance of \$18,614)                                              | -                    | -                       | 152,296                                 | 152,296                                 |
| Inventories                                                                    | 56,855               | -                       | 14,168                                  | 71,023                                  |
| Prepaid expense                                                                | 468,369              | 594,436                 | -                                       | 1,062,805                               |
| <b>Total assets</b>                                                            | <b>\$ 30,496,563</b> | <b>\$ 12,689,606</b>    | <b>\$ 4,177,021</b>                     | <b>\$ 47,363,190</b>                    |
| <b>Liabilities</b>                                                             |                      |                         |                                         |                                         |
| Accounts payable                                                               | \$ 663,091           | \$ 210,243              | \$ 84,627                               | \$ 957,961                              |
| Accrued expenses                                                               | 240,227              | -                       | -                                       | 240,227                                 |
| Unearned revenue                                                               | 50,852               | -                       | -                                       | 50,852                                  |
| Unearned evidence funds                                                        | -                    | -                       | 47,977                                  | 47,977                                  |
| Unearned grant revenue                                                         | -                    | 6,620                   | -                                       | 6,620                                   |
| Performance deposits                                                           | -                    | -                       | 2,606,511                               | 2,606,511                               |
| <b>Total liabilities</b>                                                       | <b>954,170</b>       | <b>216,863</b>          | <b>2,739,115</b>                        | <b>3,910,148</b>                        |
| <b>Deferred inflows of resources</b>                                           |                      |                         |                                         |                                         |
| Unavailable property taxes                                                     | 11,583,100           | -                       | -                                       | 11,583,100                              |
| Unavailable court fines                                                        | 29,011               | -                       | -                                       | 29,011                                  |
| <b>Total deferred inflows of resources</b>                                     | <b>11,612,111</b>    | <b>-</b>                | <b>-</b>                                | <b>11,612,111</b>                       |
| <b>Fund balances</b>                                                           |                      |                         |                                         |                                         |
| Nonspendable                                                                   |                      |                         |                                         |                                         |
| Prepays                                                                        | 468,369              | 594,436                 | -                                       | 1,062,805                               |
| Funds held in trust                                                            | -                    | -                       | 36,025                                  | 36,025                                  |
| Inventory                                                                      | 56,855               | -                       | 14,168                                  | 71,023                                  |
| Restricted for:                                                                |                      |                         |                                         |                                         |
| Funds held in trust                                                            | -                    | -                       | 396,388                                 | 396,388                                 |
| Environmental services                                                         | -                    | -                       | 849,033                                 | 849,033                                 |
| Drug enforcement                                                               | -                    | -                       | 17,284                                  | 17,284                                  |
| Economic development                                                           | -                    | -                       | 104,287                                 | 104,287                                 |
| Committed for:                                                                 |                      |                         |                                         |                                         |
| Economic development                                                           | 156,408              | -                       | -                                       | 156,408                                 |
| Assigned for                                                                   |                      |                         |                                         |                                         |
| Capital projects                                                               | -                    | 11,878,307              | -                                       | 11,878,307                              |
| Police special projects                                                        | -                    | -                       | 12,914                                  | 12,914                                  |
| Cemetery                                                                       | -                    | -                       | 7,807                                   | 7,807                                   |
| Unassigned                                                                     | 17,248,650           | -                       | -                                       | 17,248,650                              |
| <b>Total fund balances</b>                                                     | <b>17,930,282</b>    | <b>12,472,743</b>       | <b>1,437,906</b>                        | <b>31,840,931</b>                       |
| <b>Total liabilities, deferred inflows of<br/>resources, and fund balances</b> | <b>\$ 30,496,563</b> | <b>\$ 12,689,606</b>    | <b>\$ 4,177,021</b>                     | <b>\$ 47,363,190</b>                    |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS**  
**TO THE STATEMENT OF NET POSITION**  
June 30, 2018

Amounts reported for the governmental activities in the statement of net position (Pages 11 and 12) are different because:

|                                                                                                                                                                                 |                             |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| <b>Fund balance - total governmental funds (Page 14)</b>                                                                                                                        | <b>\$ 31,840,931</b>        |
| Capital assets used in governmental activities are not financial resources and, therefore, are not reported in funds.                                                           | 87,907,950                  |
| Receivables not available to pay for current expenditures and, therefore, are deferred in the funds.                                                                            | 488,288                     |
| Long-term liabilities, including notes, bonds, leases payable, and other long term liabilities are not due in the current period and, therefore, are not reported in the funds. |                             |
| Bonds payable                                                                                                                                                                   | (22,240,000)                |
| Notes payable                                                                                                                                                                   | (549,745)                   |
| Bond premiums                                                                                                                                                                   | (1,781,518)                 |
| Compensated absences                                                                                                                                                            | (1,475,740)                 |
| Deferred outflows of resources, specifically deferred loss on refunding, are not due in the current period and, therefore, are not reported in the funds                        | 356,642                     |
| Payables, such as accrued interest payable, are not due and payable in the current period and, therefore, are not reported in the funds.                                        | <u>(404,088)</u>            |
| <b>Net position - governmental activities (Page 12)</b>                                                                                                                         | <b><u>\$ 94,142,720</u></b> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCES**  
**GOVERNMENTAL FUNDS**

For the Fiscal Year Ended June 30, 2018

|                                                              |                      | <b>Capital</b>       | <b>Other</b>        | <b>Total</b>         |
|--------------------------------------------------------------|----------------------|----------------------|---------------------|----------------------|
|                                                              | <b>General</b>       | <b>Projects</b>      | <b>Governmental</b> | <b>Governmental</b>  |
| <b>Revenues</b>                                              |                      |                      | <b>Funds</b>        | <b>Funds</b>         |
| Taxes                                                        | \$ 22,304,176        | \$ -                 | \$ -                | \$ 22,304,176        |
| Licenses and permits                                         | 2,542,185            | -                    | -                   | 2,542,185            |
| Intergovernmental                                            | 5,767,663            | 949,900              | -                   | 6,717,563            |
| Charges for services                                         | 2,515,814            | -                    | 2,018,864           | 4,534,678            |
| Fines                                                        | 668,946              | -                    | 116,214             | 785,160              |
| Other                                                        | 933,536              | 191,456              | 190,545             | 1,315,537            |
| Total revenues                                               | <u>34,732,320</u>    | <u>1,141,356</u>     | <u>2,325,623</u>    | <u>38,199,299</u>    |
| <b>Expenditures</b>                                          |                      |                      |                     |                      |
| Current                                                      |                      |                      |                     |                      |
| General government                                           | 7,461,379            | 147,723              | -                   | 7,609,102            |
| Public safety                                                | 14,135,596           | 206,073              | 105,671             | 14,447,340           |
| Engineering                                                  | 1,862,297            | 40,432               | -                   | 1,902,729            |
| Environmental services                                       | -                    | -                    | 1,921,514           | 1,921,514            |
| Public works                                                 | 405,198              | 24,071               | -                   | 429,269              |
| Highways and streets                                         | 1,379,615            | 180,000              | -                   | 1,559,615            |
| Vehicle maintenance                                          | 558,653              | -                    | -                   | 558,653              |
| Parks and recreation                                         | 4,279,012            | 13,527               | -                   | 4,292,539            |
| Economic development                                         | 738,625              | -                    | 5,239               | 743,864              |
| Capital outlay                                               | 3,506,067            | 1,622,805            | 129,021             | 5,257,893            |
| Debt service                                                 |                      |                      |                     |                      |
| Principal                                                    | 1,839,745            | -                    | -                   | 1,839,745            |
| Interest                                                     | 861,956              | -                    | -                   | 861,956              |
| Other debt service expense                                   | 812                  | -                    | -                   | 812                  |
| Total expenditures                                           | <u>37,028,955</u>    | <u>2,234,631</u>     | <u>2,161,445</u>    | <u>41,425,031</u>    |
| Excess (deficiency) of revenues<br>over (under) expenditures | <u>(2,296,635)</u>   | <u>(1,093,275)</u>   | <u>164,178</u>      | <u>(3,225,732)</u>   |
| <b>Other financing sources (uses)</b>                        |                      |                      |                     |                      |
| Transfers in - in lieu of taxes                              | 1,635,255            | -                    | -                   | 1,635,255            |
| Transfers (to)/from other funds                              | (82,000)             | 62,000               | 20,000              | -                    |
| Total other financing sources (uses)                         | <u>1,553,255</u>     | <u>62,000</u>        | <u>20,000</u>       | <u>1,635,255</u>     |
| <b>Net changes in fund balances</b>                          | <b>(743,380)</b>     | <b>(1,031,275)</b>   | <b>184,178</b>      | <b>(1,590,477)</b>   |
| Fund balances - beginning                                    | <u>18,673,662</u>    | <u>13,504,018</u>    | <u>1,253,728</u>    | <u>33,431,408</u>    |
| Fund balances - ending                                       | <u>\$ 17,930,282</u> | <u>\$ 12,472,743</u> | <u>\$ 1,437,906</u> | <u>\$ 31,840,931</u> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES,**  
**AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO**  
**THE STATEMENT OF ACTIVITIES**  
For the Fiscal Year Ended June 30, 2018

**Amounts reported for the governmental activities in the statement of activities (Page 13) are different because:**

|                                                                                                                                                                                                                                                                                                                                 |                            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| <b>Net change in fund balances - total governmental funds (Page 16)</b>                                                                                                                                                                                                                                                         | <b>\$ (1,590,477)</b>      |
| Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period. This is the amount by which capital outlays exceeded depreciation in the current period. | 3,441,634                  |
| The donation of capital assets does not provide current financial resources and are not reported as revenues in the funds                                                                                                                                                                                                       | 4,884,000                  |
| Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.                                                                                                                                                                                              | (366,825)                  |
| The repayment of the principal of long-term debt consumes the current financial resources of governmental funds. These transactions do not have any effect on net position.                                                                                                                                                     | 1,839,745                  |
| Some expenses reported in the statement of activities, such as amortization expense, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds                                                                                                           |                            |
| Amortization of loss on refunding                                                                                                                                                                                                                                                                                               | (41,958)                   |
| Amortization of bond premium                                                                                                                                                                                                                                                                                                    | 111,917                    |
| Some expenses reported in the statement of activities, such as accrued leave and accrued interest, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.                                                                                            | 64,289                     |
| <b>Change in net position of governmental activities (Page 13)</b>                                                                                                                                                                                                                                                              | <b><u>\$ 8,342,325</u></b> |

*The accompanying notes are an integral part of these financial statements*



**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF NET POSITION**  
**PROPRIETARY FUNDS**  
June 30, 2018

| <b>Assets and deferred outflows of resources</b>                                   | <b>Electric<br/>Division</b> | <b>Water<br/>&amp; Sewer<br/>Division</b> | <b>Gas<br/>Division</b>  | <b>Totals</b>              |
|------------------------------------------------------------------------------------|------------------------------|-------------------------------------------|--------------------------|----------------------------|
| <b>Current assets</b>                                                              |                              |                                           |                          |                            |
| Cash on hand                                                                       | \$ -                         | \$ 2,230                                  | \$ 280                   | \$ 2,510                   |
| Cash and cash equivalents - general                                                | 7,247,396                    | 19,866,167                                | 8,466,112                | 35,579,675                 |
| Cash and cash equivalents - restricted                                             | 7,675                        | -                                         | -                        | 7,675                      |
| Certificates of deposit                                                            | 4,573,824                    | -                                         | -                        | 4,573,824                  |
| Accounts receivable - trade (net of<br>allowance for uncollectibles)               | 7,633,914                    | 829,334                                   | 1,783,441                | 10,246,689                 |
| Accounts receivable - other                                                        | -                            | 5,295                                     | 7,576                    | 12,871                     |
| Prepayments and other current assets                                               | 24,760                       | -                                         | 56,213                   | 80,973                     |
| Materials and supplies                                                             | 1,354,158                    | 605,990                                   | 1,600,096                | 3,560,244                  |
| Portion of non-current receivables<br>due within one year                          | 30,695                       | -                                         | -                        | 30,695                     |
| Total current assets                                                               | <u>20,872,422</u>            | <u>21,309,016</u>                         | <u>11,913,718</u>        | <u>54,095,156</u>          |
| <b>Noncurrent assets</b>                                                           |                              |                                           |                          |                            |
| Other assets                                                                       |                              |                                           |                          |                            |
| Other receivables                                                                  | 87,706                       | -                                         | -                        | 87,706                     |
| Contracts receivable - for home weatherization                                     | 79,783                       | -                                         | -                        | 79,783                     |
| Acquisition adjustments                                                            | 152,174                      | -                                         | -                        | 152,174                    |
| Total other assets                                                                 | <u>319,663</u>               | <u>-</u>                                  | <u>-</u>                 | <u>319,663</u>             |
| Capital assets, not being depreciated                                              |                              |                                           |                          |                            |
| Land                                                                               | 2,026,543                    | 1,128,639                                 | 231,447                  | 3,386,629                  |
| Construction in progress                                                           | 4,138,442                    | -                                         | -                        | 4,138,442                  |
| Capital assets, net of<br>accumulated depreciation                                 |                              |                                           |                          |                            |
| Transmission plant                                                                 | 367,189                      | -                                         | -                        | 367,189                    |
| Distribution plant                                                                 | 23,744,453                   | 70,993,832                                | 30,287,211               | 125,025,496                |
| General plant                                                                      | 1,583,124                    | -                                         | -                        | 1,583,124                  |
| Buildings                                                                          | -                            | 28,310,327                                | 690,783                  | 29,001,110                 |
| Operating equipment                                                                | -                            | 251,435                                   | 228,707                  | 480,142                    |
| Rolling stock                                                                      | -                            | 297,766                                   | 229,520                  | 527,286                    |
| Office furniture and equipment                                                     | -                            | 12,086                                    | 70,009                   | 82,095                     |
| Total capital assets                                                               | <u>31,859,751</u>            | <u>100,994,085</u>                        | <u>31,737,677</u>        | <u>164,591,513</u>         |
| Total noncurrent assets                                                            | <u>32,179,414</u>            | <u>100,994,085</u>                        | <u>31,737,677</u>        | <u>164,911,176</u>         |
| <b>Total assets</b>                                                                | <b><u>53,051,836</u></b>     | <b><u>122,303,101</u></b>                 | <b><u>43,651,395</u></b> | <b><u>219,006,332</u></b>  |
| <b>Deferred outflows of resources</b>                                              |                              |                                           |                          |                            |
| Loss on bond refunding                                                             | -                            | 1,868,624                                 | -                        | 1,868,624                  |
| Differences between expected and actual<br>experience - pensions                   | 18,255                       | -                                         | -                        | 18,255                     |
| Pension change of assumptions                                                      | 653,920                      | -                                         | -                        | 653,920                    |
| Net difference between expected and actual<br>earnings on pension plan investments | 152,730                      | -                                         | -                        | 152,730                    |
| Contributions to pension fund                                                      | 815,914                      | -                                         | -                        | 815,914                    |
| <b>Total deferred outflows of resources</b>                                        | <b><u>\$ 1,640,819</u></b>   | <b><u>\$ 1,868,624</u></b>                | <b><u>\$ -</u></b>       | <b><u>\$ 3,509,443</u></b> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF NET POSITION**  
**PROPRIETARY FUNDS**  
JUNE 30, 2018

|                                                                       | Electric<br>Division | Water<br>& Sewer<br>Division | Gas<br>Division      | Totals                |
|-----------------------------------------------------------------------|----------------------|------------------------------|----------------------|-----------------------|
| <b>Liabilities</b>                                                    |                      |                              |                      |                       |
| <b>Current liabilities</b>                                            |                      |                              |                      |                       |
| Accounts payable                                                      | \$ 11,816,748        | \$ 1,133,802                 | \$ 863,206           | \$ 13,813,756         |
| Other accrued expense                                                 | 207,414              | 48,451                       | 16,679               | 272,544               |
| Accrued interest                                                      | 26,104               | 336,802                      | -                    | 362,906               |
| Customers' deposits                                                   | 3,720,522            | 187,020                      | 204,450              | 4,111,992             |
| Accrued leave                                                         | 157,716              | -                            | -                    | 157,716               |
| Current maturities of long-term debt                                  | 35,037               | 1,903,626                    | -                    | 1,938,663             |
| Total current liabilities                                             | 15,963,541           | 3,609,701                    | 1,084,335            | 20,657,577            |
| <b>Noncurrent liabilities</b>                                         |                      |                              |                      |                       |
| Bonds payable (less current maturities)                               | -                    | 35,234,381                   | -                    | 35,234,381            |
| Accrued leave                                                         | 130,803              | 298,350                      | 184,883              | 614,036               |
| Net pension liability                                                 | 1,556,563            | -                            | -                    | 1,556,563             |
| OPEB Liability                                                        | 472,634              | -                            | -                    | 472,634               |
| Advances from Tennessee Valley<br>Authority - Home Insulation Program | 82,411               | -                            | -                    | 82,411                |
| Total noncurrent liabilities                                          | 2,242,411            | 35,532,731                   | 184,883              | 37,960,025            |
| <b>Total liabilities</b>                                              | <b>18,205,952</b>    | <b>39,142,432</b>            | <b>1,269,218</b>     | <b>58,617,602</b>     |
| <b>Deferred inflows of resources</b>                                  |                      |                              |                      |                       |
| Difference between expected and actual experience                     | 253,805              | -                            | -                    | 253,805               |
| Change of assumptions                                                 | 378,293              | -                            | -                    | 378,293               |
| <b>Total deferred inflows of resources</b>                            | <b>632,098</b>       | <b>-</b>                     | <b>-</b>             | <b>632,098</b>        |
| <b>Net position</b>                                                   |                      |                              |                      |                       |
| Net investment in capital assets                                      | 32,011,925           | 63,856,078                   | 31,737,677           | 127,605,680           |
| Restricted - workman's compensation<br>adjustment                     | 7,675                | -                            | -                    | 7,675                 |
| Unrestricted                                                          | 3,835,005            | 21,173,215                   | 10,644,500           | 35,652,720            |
| <b>Total net position</b>                                             | <b>\$ 35,854,605</b> | <b>\$ 85,029,293</b>         | <b>\$ 42,382,177</b> | <b>\$ 163,266,075</b> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION**  
**PROPRIETARY FUNDS**

For the Fiscal Year Ended June 30, 2018

|                                                     | <b>Electric<br/>Division</b> | <b>Water<br/>&amp; Sewer<br/>Division</b> | <b>Gas<br/>Division</b> | <b>Totals</b>         |
|-----------------------------------------------------|------------------------------|-------------------------------------------|-------------------------|-----------------------|
| <b>Operating revenues</b>                           |                              |                                           |                         |                       |
| Charges for sales and service                       | \$ 69,884,523                | \$ 14,593,834                             | \$ 15,683,828           | \$ 100,162,185        |
| Forfeited discounts                                 | 259,573                      | 159,433                                   | -                       | 419,006               |
| Other operating revenue                             | 624,071                      | 461,246                                   | 642,790                 | 1,728,107             |
| Total operating revenues                            | <u>70,768,167</u>            | <u>15,214,513</u>                         | <u>16,326,618</u>       | <u>102,309,298</u>    |
| <b>Operating expenses</b>                           |                              |                                           |                         |                       |
| Cost of sales and service                           | 61,858,493                   | -                                         | 10,062,825              | 71,921,318            |
| Water treatment and pumping                         | -                            | 1,565,246                                 | -                       | 1,565,246             |
| Transmission and distribution                       | 1,533,116                    | 2,007,513                                 | 1,418,840               | 4,959,469             |
| Customer service and collection                     | 764,162                      | 579,597                                   | 495,224                 | 1,838,983             |
| General administration                              | 1,610,149                    | 1,102,879                                 | 469,546                 | 3,182,574             |
| Sewer collection                                    | -                            | 1,117,508                                 | -                       | 1,117,508             |
| Sewer system rehab                                  | -                            | 614,681                                   | -                       | 614,681               |
| Sewer treatment and disposal                        | -                            | 1,477,907                                 | -                       | 1,477,907             |
| Sewer pretreatment                                  | -                            | 81,403                                    | -                       | 81,403                |
| Maintenance                                         | 868,346                      | -                                         | -                       | 868,346               |
| Customer deposit interest                           | 27,637                       | -                                         | -                       | 27,637                |
| Amortization - acquisition adjustments              | 191,136                      | -                                         | -                       | 191,136               |
| Provision for depreciation                          | 1,611,481                    | 3,283,149                                 | 1,036,445               | 5,931,075             |
| Total operating expenses                            | <u>68,464,520</u>            | <u>11,829,883</u>                         | <u>13,482,880</u>       | <u>93,777,283</u>     |
| Operating income (loss)                             | <u>2,303,647</u>             | <u>3,384,630</u>                          | <u>2,843,738</u>        | <u>8,532,015</u>      |
| <b>Nonoperating revenues (expenses)</b>             |                              |                                           |                         |                       |
| Interest and other income                           | 108,594                      | 66,934                                    | 21,715                  | 197,243               |
| Tap fees                                            | -                            | 1,524,568                                 | -                       | 1,524,568             |
| Amortization of bond premiums                       | -                            | 173,626                                   | -                       | 173,626               |
| Amortization of loss on refunding                   | -                            | (87,805)                                  | -                       | (87,805)              |
| Interest and other expense                          | -                            | (1,371,590)                               | -                       | (1,371,590)           |
| Total nonoperating revenues (expenses)              | <u>108,594</u>               | <u>305,733</u>                            | <u>21,715</u>           | <u>436,042</u>        |
| Income (loss) before transfers<br>and contributions | <u>2,412,241</u>             | <u>3,690,363</u>                          | <u>2,865,453</u>        | <u>8,968,057</u>      |
| <b>Transfers and capital contributions</b>          |                              |                                           |                         |                       |
| Transfers out - in lieu of taxes                    | (778,895)                    | (517,760)                                 | (338,600)               | (1,635,255)           |
| Capital contributions                               | 503,156                      | 2,817,964                                 | 778,216                 | 4,099,336             |
| Total transfers and capital contributions           | <u>(275,739)</u>             | <u>2,300,204</u>                          | <u>439,616</u>          | <u>2,464,081</u>      |
| <b>Change in net position</b>                       | <b>2,136,502</b>             | <b>5,990,567</b>                          | <b>3,305,069</b>        | <b>11,432,138</b>     |
| Total net position - beginning                      | 34,074,560                   | 85,590,536                                | 39,077,108              | 158,742,204           |
| Prior period adjustment/restatement                 | (356,457)                    | (6,551,810)                               | -                       | (6,908,267)           |
| Total net position - beginning - restated           | <u>33,718,103</u>            | <u>79,038,726</u>                         | <u>39,077,108</u>       | <u>151,833,937</u>    |
| Total net position - ending                         | <u>\$ 35,854,605</u>         | <u>\$ 85,029,293</u>                      | <u>\$ 42,382,177</u>    | <u>\$ 163,266,075</u> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF CASH FLOWS**  
**PROPRIETARY FUNDS**  
For the Fiscal Year Ended June 30, 2018

|                                                                      | <b>Electric<br/>Division</b> | <b>Water<br/>&amp; Sewer<br/>Division</b> | <b>Gas<br/>Division</b> | <b>Totals</b>        |
|----------------------------------------------------------------------|------------------------------|-------------------------------------------|-------------------------|----------------------|
| <b>Cash flows from operating activities:</b>                         |                              |                                           |                         |                      |
| Cash received from consumers                                         | \$ 69,296,358                | \$ 16,557,852                             | \$ 16,122,825           | \$ 101,977,035       |
| Cash paid to suppliers of goods and services                         | (63,752,636)                 | (5,013,931)                               | (12,028,710)            | (80,795,277)         |
| Cash paid to employees for services                                  | (2,567,205)                  | (3,042,875)                               | (1,003,400)             | (6,613,480)          |
| Interest paid on customer deposits                                   | (27,637)                     | -                                         | -                       | (27,637)             |
| Net decrease in TVA loan funds receivable                            | 73,019                       | -                                         | -                       | 73,019               |
| Net decrease in TVA loan funds payable                               | (74,894)                     | -                                         | -                       | (74,894)             |
| Net change in customer deposits                                      | 714,799                      | 35,725                                    | (75)                    | 750,449              |
| Payments in lieu of tax                                              | (778,895)                    | (517,760)                                 | (338,600)               | (1,635,255)          |
| Net cash provided (used) by operating activities                     | <u>2,882,909</u>             | <u>8,019,011</u>                          | <u>2,752,040</u>        | <u>13,653,960</u>    |
| <b>Cash flows from capital and related financing activities:</b>     |                              |                                           |                         |                      |
| Capital contributed by customers and grants                          | 503,156                      | 2,817,964                                 | 778,216                 | 4,099,336            |
| Principal paid on debt                                               | (124,150)                    | (1,830,000)                               | -                       | (1,954,150)          |
| Interest paid on bonds, notes and leases                             | -                            | (1,403,935)                               | -                       | (1,403,935)          |
| Construction and acquisition of plant                                | (5,479,800)                  | (7,647,745)                               | (4,239,506)             | (17,367,051)         |
| Received on sale of assets                                           | 4,094                        | -                                         | -                       | 4,094                |
| Plant removal cost                                                   | (69,589)                     | -                                         | -                       | (69,589)             |
| Net cash provided (used) by capital and related financing activities | <u>(5,166,289)</u>           | <u>(8,063,716)</u>                        | <u>(3,461,290)</u>      | <u>(16,691,295)</u>  |
| <b>Cash flows from investing activities:</b>                         |                              |                                           |                         |                      |
| Redemption of certificates of deposit                                | 487,531                      | -                                         | -                       | 487,531              |
| Interest and other income                                            | 100,642                      | 66,934                                    | 21,715                  | 189,291              |
| Net cash provided (used) by investing activities                     | <u>588,173</u>               | <u>66,934</u>                             | <u>21,715</u>           | <u>676,822</u>       |
| <b>Net increase (decrease) in cash and cash equivalents</b>          | <b>(1,695,207)</b>           | <b>22,229</b>                             | <b>(687,535)</b>        | <b>(2,360,513)</b>   |
| Cash and cash equivalents - beginning of year                        | <u>8,950,278</u>             | <u>19,846,168</u>                         | <u>9,153,927</u>        | <u>37,950,373</u>    |
| Cash and cash equivalents - end of year                              | <u>\$ 7,255,071</u>          | <u>\$ 19,868,397</u>                      | <u>\$ 8,466,392</u>     | <u>\$ 35,589,860</u> |
| <b>Cash and cash equivalents</b>                                     |                              |                                           |                         |                      |
| Unrestricted cash on hand                                            | -                            | 2,230                                     | 280                     | 2,510                |
| Unrestricted cash and cash equivalents on deposit                    | 7,247,396                    | 19,866,167                                | 8,466,112               | 35,579,675           |
| Restricted cash and cash equivalents on deposit                      | 7,675                        | -                                         | -                       | 7,675                |
| <b>Total cash and cash equivalents</b>                               | <b>\$ 7,255,071</b>          | <b>\$ 19,868,397</b>                      | <b>\$ 8,466,392</b>     | <b>\$ 35,589,860</b> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF CASH FLOWS**  
**PROPRIETARY FUNDS**  
For the Fiscal Year Ended June 30, 2018

|                                                                                                           | <u>Electric<br/>Division</u> | <u>Water<br/>&amp; Sewer<br/>Division</u> | <u>Gas<br/>Division</u> | <u>Totals</u>        |
|-----------------------------------------------------------------------------------------------------------|------------------------------|-------------------------------------------|-------------------------|----------------------|
| <b>Reconciliation of operating income (loss) to net cash<br/>provided (used) by operating activities:</b> |                              |                                           |                         |                      |
| Operating income (loss)                                                                                   | \$ 2,303,647                 | \$ 3,384,630                              | \$ 2,843,738            | \$ 8,532,015         |
| Adjustments to reconcile operating income (loss) to<br>net cash provided (used) by operating activities:  |                              |                                           |                         |                      |
| Depreciation and amortization of acquisition costs                                                        | 1,891,723                    | 3,283,149                                 | 1,036,445               | 6,211,317            |
| Payments in lieu of tax                                                                                   | (778,895)                    | (517,760)                                 | (338,600)               | (1,635,255)          |
| Tap fees                                                                                                  | -                            | 1,524,568                                 | -                       | 1,524,568            |
| Pension related changes                                                                                   | 734,569                      | -                                         | -                       | 734,569              |
| Changes in assets and liabilities:                                                                        |                              |                                           |                         |                      |
| Accounts receivable                                                                                       | (757,010)                    | (181,229)                                 | (203,793)               | (1,142,032)          |
| Materials and supplies                                                                                    | (374,398)                    | (68,872)                                  | (232,772)               | (676,042)            |
| Prepayments and other current assets                                                                      | 5,736                        | -                                         | (34,629)                | (28,893)             |
| TVA contracts receivable - home weatherization                                                            | 73,019                       | -                                         | -                       | 73,019               |
| Accounts payable                                                                                          | 287,363                      | 528,537                                   | (338,172)               | 477,728              |
| Other accrued expense                                                                                     | 9,128                        | 8,413                                     | 1,031                   | 18,572               |
| Accrued interest                                                                                          | 6,991                        | -                                         | -                       | 6,991                |
| Customers' deposits                                                                                       | 714,799                      | 35,725                                    | (75)                    | 750,449              |
| Accrued leave                                                                                             | 4,540                        | 21,850                                    | 18,867                  | 45,257               |
| TVA contracts payable - home weatherization                                                               | (74,894)                     | -                                         | -                       | (74,894)             |
| Accrued post employment benefits other than pensions                                                      | (1,163,409)                  | -                                         | -                       | (1,163,409)          |
| Net cash provided (used) by operating activities                                                          | <u>\$ 2,882,909</u>          | <u>\$ 8,019,011</u>                       | <u>\$ 2,752,040</u>     | <u>\$ 13,653,960</u> |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                    | <b>Budgeted Amounts</b> |                   |                   | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|------------------------------------|-------------------------|-------------------|-------------------|------------------------------------------------------------|
| <b>Revenues:</b>                   | <b>Original</b>         | <b>Final</b>      | <b>Actual</b>     |                                                            |
| Taxes:                             |                         |                   |                   |                                                            |
| Property tax current               | \$10,375,000            | \$10,375,000      | \$ 10,430,034     | \$ 55,034                                                  |
| Property taxes delinquent          | 250,000                 | 250,000           | 415,530           | 165,530                                                    |
| Property tax penalty and interest  | 100,000                 | 100,000           | 152,891           | 52,891                                                     |
| Local sales tax                    | 8,700,000               | 8,700,000         | 8,557,594         | (142,406)                                                  |
| Local beer tax                     | 850,000                 | 850,000           | 1,012,218         | 162,218                                                    |
| Local liquor tax                   | 300,000                 | 300,000           | 304,038           | 4,038                                                      |
| Business tax                       | 800,000                 | 800,000           | 922,497           | 122,497                                                    |
| Privilege tax                      | 28,000                  | 28,000            | 27,049            | (951)                                                      |
| Cable TV franchise fee             | 450,000                 | 450,000           | 468,690           | 18,690                                                     |
| Special assessments                | 15,000                  | 15,000            | 13,635            | (1,365)                                                    |
|                                    | <u>21,868,000</u>       | <u>21,868,000</u> | <u>22,304,176</u> | <u>436,176</u>                                             |
| Licenses and permits:              |                         |                   |                   |                                                            |
| Beer licenses                      | 4,500                   | 4,500             | 3,550             | (950)                                                      |
| Building permits                   | 975,000                 | 975,000           | 850,354           | (124,646)                                                  |
| Plumbing permits                   | 200,000                 | 200,000           | 244,611           | 44,611                                                     |
| Planning fees                      | 325,000                 | 325,000           | 241,804           | (83,196)                                                   |
| Other mechanical permits           | 145,000                 | 145,000           | 297,097           | 152,097                                                    |
| Other permits                      | 942,800                 | 942,800           | 904,769           | (38,031)                                                   |
|                                    | <u>2,592,300</u>        | <u>2,592,300</u>  | <u>2,542,185</u>  | <u>(50,115)</u>                                            |
| Intergovernmental:                 |                         |                   |                   |                                                            |
| In lieu of tax - Housing authority | 3,400                   | 3,400             | 3,427             | 27                                                         |
| In lieu of tax - industry          | 72,000                  | 72,000            | 93,704            | 21,704                                                     |
| State - sales tax                  | 2,800,000               | 2,800,000         | 2,937,947         | 137,947                                                    |
| State - income tax                 | 600,000                 | 600,000           | 360,153           | (239,847)                                                  |
| State - beer tax                   | 17,000                  | 17,000            | 16,082            | (918)                                                      |
| State - mixed drink tax            | 120,000                 | 120,000           | 186,924           | 66,924                                                     |
| State - gas and motor fuel tax     | 964,000                 | 964,000           | 661,366           | (302,634)                                                  |
| State - gas - 1989                 | -                       | -                 | 105,315           | 105,315                                                    |
| State - gas - 3 cent               | -                       | -                 | 195,141           | 195,141                                                    |
| State - gas - 2017                 | -                       | -                 | 194,198           | 194,198                                                    |
| State - petroleum special          | 70,500                  | 70,500            | 69,360            | (1,140)                                                    |
| State - telecomm                   | 2,500                   | 2,500             | 21,020            | 18,520                                                     |
| State - TVA in lieu of tax         | 480,000                 | 480,000           | 498,488           | 18,488                                                     |
| State - excise tax                 | 50,000                  | 50,000            | 79,233            | 29,233                                                     |
| State salary supplements           | -                       | 83,400            | 83,400            | -                                                          |
| Other federal grants               | -                       | 1,886,500         | 21,487            | (1,865,013)                                                |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                    | <b>Budgeted Amounts</b> |                      |                      | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|------------------------------------|-------------------------|----------------------|----------------------|------------------------------------------------------------|
| <b>Revenues:</b>                   | <b>Original</b>         | <b>Final</b>         | <b>Actual</b>        |                                                            |
| Intergovernmental (cont.):         |                         |                      |                      |                                                            |
| Sidewalk grant phase               | \$ 1,120,000            | \$ 1,344,000         | \$ 3,320             | \$ (1,340,680)                                             |
| State grant - Greenlea             | -                       | -                    | 135,590              | 135,590                                                    |
| Recycling Grant                    | -                       | 25,000               | 13,889               | (11,111)                                                   |
| Government Highway Safety Grant    | -                       | -                    | 23,497               | 23,497                                                     |
| EDA Site Development Grant         | -                       | 95,975               | 63,947               | (32,028)                                                   |
| Other state grants                 | 10,000                  | 10,000               | 175                  | (9,825)                                                    |
|                                    | <u>6,309,400</u>        | <u>8,624,275</u>     | <u>5,767,663</u>     | <u>(2,856,612)</u>                                         |
| Charges for services:              |                         |                      |                      |                                                            |
| Admin and management services      | 76,400                  | 76,400               | 191,048              | 114,648                                                    |
| Accounting and management services | 89,330                  | 89,330               | 111,117              | 21,787                                                     |
| Personnel services                 | 64,569                  | 64,569               | 36,803               | (27,766)                                                   |
| Other legal services               | 94,551                  | 94,551               | 86,073               | (8,478)                                                    |
| Miscellaneous                      | 13,300                  | 13,300               | 54,507               | 41,207                                                     |
| Vehicle maintenance charges        | 190,000                 | 225,000              | 205,174              | (19,826)                                                   |
| Rent                               | 23,800                  | 23,800               | 32,704               | 8,904                                                      |
| Golf course revenue                | 762,000                 | 762,000              | 736,380              | (25,620)                                                   |
| Civic center revenue               | 873,500                 | 873,500              | 1,062,008            | 188,508                                                    |
|                                    | <u>2,187,450</u>        | <u>2,222,450</u>     | <u>2,515,814</u>     | <u>293,364</u>                                             |
| Fines and forfeitures:             |                         |                      |                      |                                                            |
| Fines and forfeitures:             | 356,000                 | 434,151              | 461,688              | 27,537                                                     |
| A.C.E.S red light revenue          | 250,000                 | 250,000              | 189,139              | (60,861)                                                   |
| Drug fines                         | 15,000                  | 15,000               | 18,119               | 3,119                                                      |
|                                    | <u>621,000</u>          | <u>699,151</u>       | <u>668,946</u>       | <u>(30,205)</u>                                            |
| Other:                             |                         |                      |                      |                                                            |
| Miscellaneous                      | 5,000                   | 5,000                | 50,082               | 45,082                                                     |
| Sale of land                       | -                       | -                    | 13,329               | 13,329                                                     |
| Sale of cemetery lots              | 15,000                  | 15,000               | 16,100               | 1,100                                                      |
| Sale of materials                  | 2,000                   | 2,000                | 10,027               | 8,027                                                      |
| Sale of equipment                  | 40,000                  | 40,000               | 24,219               | (15,781)                                                   |
| Donations                          | 75,000                  | 278,000              | 448,647              | 170,647                                                    |
| Insurance recoveries               | -                       | 41,649               | 67,605               | 25,956                                                     |
| Interest                           | 90,000                  | 90,000               | 303,527              | 213,527                                                    |
|                                    | <u>227,000</u>          | <u>471,649</u>       | <u>933,536</u>       | <u>461,887</u>                                             |
| <b>Total revenues</b>              | <b>\$ 33,805,150</b>    | <b>\$ 36,477,825</b> | <b>\$ 34,732,320</b> | <b>\$ (1,745,505)</b>                                      |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                    | <b>Budgeted Amounts</b> |                   | <b>Actual</b>     | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|------------------------------------|-------------------------|-------------------|-------------------|------------------------------------------------------------|
|                                    | <b>Original</b>         | <b>Final</b>      |                   |                                                            |
| <b>Expenditures:</b>               |                         |                   |                   |                                                            |
| General government:                |                         |                   |                   |                                                            |
| Mayor's office:                    |                         |                   |                   |                                                            |
| Current:                           |                         |                   |                   |                                                            |
| Salaries                           | \$ 231,272              | \$ 231,272        | \$ 232,136        | \$ 864                                                     |
| Employee benefits and taxes        | 56,340                  | 56,340            | 62,814            | 6,474                                                      |
| Officials fees                     | 48,650                  | 48,650            | 37,550            | (11,100)                                                   |
| Printing & publications            | 8,350                   | 8,350             | 4,242             | (4,108)                                                    |
| Membership fees                    | 40,000                  | 40,000            | 31,700            | (8,300)                                                    |
| Repairs and maintenance            | 2,420                   | 2,420             | -                 | (2,420)                                                    |
| Utilities                          | 3,000                   | 3,000             | 2,611             | (389)                                                      |
| Other professional services        | 98,000                  | 98,000            | 74,038            | (23,962)                                                   |
| Travel and meals                   | 17,000                  | 17,000            | 6,598             | (10,402)                                                   |
| Mayor's expenses                   | 5,000                   | 5,000             | 2,749             | (2,251)                                                    |
| Council expenses                   | 16,800                  | 16,800            | 8,512             | (8,288)                                                    |
| Office supplies                    | 9,000                   | 9,000             | 2,001             | (6,999)                                                    |
| Payments in lieu of tax            | 165,000                 | 165,000           | 155,779           | (9,221)                                                    |
| County portion of liquor tax       | 180,000                 | 180,000           | 91,752            | (88,248)                                                   |
| Discounts on taxes                 | 25,000                  | 25,000            | 10,430            | (14,570)                                                   |
| Grants, donations                  | 2,500                   | 2,500             | 2,801             | 301                                                        |
| RTA program                        | 56,000                  | 56,000            | 55,597            | (403)                                                      |
| Prizes and awards                  | 12,000                  | 12,000            | 12,766            | 766                                                        |
| Downtown landscape and streetscape | 20,335                  | 20,335            | 7,154             | (13,181)                                                   |
| Miscellaneous                      | 72,050                  | 84,830            | 11,604            | (73,226)                                                   |
|                                    | <u>1,068,717</u>        | <u>1,081,497</u>  | <u>812,834</u>    | <u>(268,663)</u>                                           |
| Finance department:                |                         |                   |                   |                                                            |
| Current:                           |                         |                   |                   |                                                            |
| Salaries                           | 386,074                 | 386,074           | 379,740           | (6,334)                                                    |
| Employee benefits and taxes        | 107,486                 | 107,486           | 93,428            | (14,058)                                                   |
| Postage                            | 5,000                   | 5,000             | 3,888             | (1,112)                                                    |
| Printing & publications            | 3,000                   | 3,000             | 2,699             | (301)                                                      |
| Membership fees                    | 500                     | 500               | 509               | 9                                                          |
| Utilities                          | 300                     | 300               | 424               | 124                                                        |
| Accounting services                | 63,500                  | 63,500            | 61,535            | (1,965)                                                    |
| Repairs and maintenance            | 1,500                   | 1,500             | 900               | (600)                                                      |
| Training                           | 3,500                   | 3,500             | 3,657             | 157                                                        |
| Operating supplies                 | 5,500                   | 5,500             | 5,267             | (233)                                                      |
| Miscellaneous                      | 850                     | 150,850           | 134,286           | (16,564)                                                   |
| Noncapital expenditures            | 2,000                   | 2,000             | 1,190             | (810)                                                      |
|                                    | <u>\$ 579,210</u>       | <u>\$ 729,210</u> | <u>\$ 687,523</u> | <u>\$ (41,687)</u>                                         |

*The accompanying notes are an integral part of these financial statements*



**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                               | <b>Budgeted Amounts</b> |                  |                  | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|-------------------------------|-------------------------|------------------|------------------|------------------------------------------------------------|
| <b>Expenditures:</b>          | <b>Original</b>         | <b>Final</b>     | <b>Actual</b>    |                                                            |
| General government:           |                         |                  |                  |                                                            |
| City recorder:                |                         |                  |                  |                                                            |
| Current:                      |                         |                  |                  |                                                            |
| Salaries                      | \$ 293,063              | \$ 293,063       | \$ 235,539       | \$ (57,524)                                                |
| Employee benefits and taxes   | 98,447                  | 98,447           | 70,496           | (27,951)                                                   |
| Postage                       | 13,000                  | 13,000           | 9,311            | (3,689)                                                    |
| Printing & publications       | 3,130                   | 3,130            | 3,375            | 245                                                        |
| Membership fees               | 2,500                   | 2,500            | 1,570            | (930)                                                      |
| Utilities                     | 600                     | 600              | -                | (600)                                                      |
| Data processing services      | 20,500                  | 20,500           | 18,835           | (1,665)                                                    |
| Other professional services   | 3,500                   | 3,500            | 1,700            | (1,800)                                                    |
| Travel                        | 3,500                   | 3,500            | 1,917            | (1,583)                                                    |
| Other contractual services    | 12,000                  | 12,000           | 931              | (11,069)                                                   |
| Office supplies               | 4,500                   | 4,500            | 5,690            | 1,190                                                      |
| Miscellaneous                 | 2,600                   | 2,600            | 5,835            | 3,235                                                      |
| Noncapital expenditures       | 10,000                  | 10,000           | -                | (10,000)                                                   |
|                               | <u>467,340</u>          | <u>467,340</u>   | <u>355,199</u>   | <u>(112,141)</u>                                           |
| Risk management:              |                         |                  |                  |                                                            |
| Current:                      |                         |                  |                  |                                                            |
| HRA expense                   | 130,000                 | 130,000          | 108,515          | (21,485)                                                   |
| Workers compensation          | 320,000                 | 320,000          | 358,500          | 38,500                                                     |
| ADA transition plan           | 325,000                 | 325,000          | 239,200          | (85,800)                                                   |
| Building insurance            | 60,000                  | 60,000           | 71,819           | 11,819                                                     |
| General liability             | 325,000                 | 325,000          | 313,727          | (11,273)                                                   |
|                               | <u>1,160,000</u>        | <u>1,160,000</u> | <u>1,091,761</u> | <u>(68,239)</u>                                            |
| Attorney:                     |                         |                  |                  |                                                            |
| Current:                      |                         |                  |                  |                                                            |
| Salaries                      | 306,679                 | 306,679          | 307,954          | 1,275                                                      |
| Employee benefits and taxes   | 77,332                  | 77,332           | 80,142           | 2,810                                                      |
| Printing & publications       | 3,500                   | 3,500            | 2,324            | (1,176)                                                    |
| Licenses                      | 1,300                   | 1,300            | -                | (1,300)                                                    |
| Tax law or other publications | 12,650                  | 12,650           | 10,113           | (2,537)                                                    |
| Membership fees               | 4,000                   | 4,000            | 3,149            | (851)                                                      |
| Utilities                     | 1,500                   | 1,500            | 1,168            | (332)                                                      |
| Legal services                | 20,000                  | 20,000           | 390              | (19,610)                                                   |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                             | <b>Budgeted Amounts</b> |                   |                   | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|-----------------------------|-------------------------|-------------------|-------------------|------------------------------------------------------------|
| <b>Expenditures:</b>        | <b>Original</b>         | <b>Final</b>      | <b>Actual</b>     |                                                            |
| General government:         |                         |                   |                   |                                                            |
| Attorney:                   |                         |                   |                   |                                                            |
| Current:                    |                         |                   |                   |                                                            |
| Other professional services | 20,000                  | 20,000            | 1,048             | (18,952)                                                   |
| Travel and meals            | 3,500                   | 3,500             | 3,317             | (183)                                                      |
| Training                    | 2,500                   | 2,500             | 3,019             | 519                                                        |
| Office supplies             | 650                     | 650               | 121               | (529)                                                      |
| Educational supplies        | 19,551                  | 19,551            | (424)             | (19,975)                                                   |
| Miscellaneous               | 2,500                   | 2,500             | 896               | (1,604)                                                    |
| Noncapital expenditures     | 1,500                   | 1,500             | 1,724             | 224                                                        |
|                             | <u>477,162</u>          | <u>477,162</u>    | <u>414,941</u>    | <u>(62,221)</u>                                            |
| Information technology:     |                         |                   |                   |                                                            |
| Current:                    |                         |                   |                   |                                                            |
| Salaries                    | 396,269                 | 396,269           | 382,431           | (13,838)                                                   |
| Employee benefits and taxes | 107,921                 | 107,921           | 107,293           | (628)                                                      |
| Copier expense              | 500                     | 500               | 334               | (166)                                                      |
| Membership fees             | 1,000                   | 1,000             | 462               | (538)                                                      |
| Utilities                   | 6,000                   | 6,000             | 4,745             | (1,255)                                                    |
| Other professional services | 51,600                  | 51,600            | 51,600            | -                                                          |
| Other contractual services  | 537,600                 | 576,379           | 559,881           | (16,498)                                                   |
| Training                    | 20,000                  | 20,000            | 19,995            | (5)                                                        |
| Office supplies             | 3,000                   | 3,000             | 1,148             | (1,852)                                                    |
| Operating supplies          | 10,000                  | 10,000            | 5,995             | (4,005)                                                    |
| Miscellaneous               | 4,800                   | 4,800             | 3,427             | (1,373)                                                    |
| Noncapital expenditures     | 255,800                 | 445,225           | 232,074           | (213,151)                                                  |
| Capital outlay              | -                       | -                 | 10,705            | 10,705                                                     |
|                             | <u>1,394,490</u>        | <u>1,622,694</u>  | <u>1,380,090</u>  | <u>(242,604)</u>                                           |
| Personnel:                  |                         |                   |                   |                                                            |
| Current:                    |                         |                   |                   |                                                            |
| Salaries                    | 197,517                 | 197,517           | 199,199           | 1,682                                                      |
| Employee benefits and taxes | 340,008                 | 340,008           | 47,777            | (292,231)                                                  |
| Printing & publications     | 6,900                   | 6,900             | 6,063             | (837)                                                      |
| Utilities                   | 725                     | 725               | 529               | (196)                                                      |
| Physicals                   | 9,400                   | 9,400             | 721               | (8,679)                                                    |
| Professional services       | 500                     | 500               | 51                | (449)                                                      |
| Training                    | 6,000                   | 6,000             | 6,030             | 30                                                         |
| Office supplies             | 900                     | 900               | 872               | (28)                                                       |
| Operating supplies          | 3,000                   | 3,000             | 2,392             | (608)                                                      |
| Miscellaneous               | 4,000                   | 4,000             | 5,176             | 1,176                                                      |
| Noncapital expenditures     | 1,715                   | 1,715             | 1,391             | (324)                                                      |
|                             | <u>\$ 570,665</u>       | <u>\$ 570,665</u> | <u>\$ 270,201</u> | <u>\$ (300,464)</u>                                        |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                               | <u>Budgeted Amounts</u> |                   |                   | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|-------------------------------|-------------------------|-------------------|-------------------|------------------------------------------------------------|
| <b>Expenditures:</b>          | <u>Original</u>         | <u>Final</u>      | <u>Actual</u>     |                                                            |
| General government:           |                         |                   |                   |                                                            |
| City Planner:                 |                         |                   |                   |                                                            |
| Current:                      |                         |                   |                   |                                                            |
| Salaries                      | \$ 491,757              | \$ 491,757        | \$ 463,356        | \$ (28,401)                                                |
| Employee benefits and taxes   | 148,177                 | 148,177           | 130,717           | (17,460)                                                   |
| Planning commission           | 19,775                  | 19,775            | 16,353            | (3,422)                                                    |
| Postage                       | 1,500                   | 1,500             | 435               | (1,065)                                                    |
| Printing & publications       | 7,850                   | 7,850             | 7,937             | 87                                                         |
| Membership fees               | 2,440                   | 2,440             | 1,976             | (464)                                                      |
| Utilities                     | 1,200                   | 1,200             | 2,484             | 1,284                                                      |
| Repairs and maintenance       | 2,000                   | 2,000             | 314               | (1,686)                                                    |
| Other Professional Services   | 1,500                   | 21,500            | 211               | (21,289)                                                   |
| Office supplies               | 3,800                   | 8,800             | 6,810             | (1,990)                                                    |
| Gas, oil, diesel, etc.        | 1,365                   | 1,365             | 228               | (1,137)                                                    |
| Miscellaneous                 | 16,340                  | 19,740            | 8,722             | (11,018)                                                   |
| Noncapital expenditures       | 5,400                   | 239,126           | 69,046            | (170,080)                                                  |
|                               | <u>703,104</u>          | <u>965,230</u>    | <u>708,589</u>    | <u>(256,641)</u>                                           |
| General government buildings: |                         |                   |                   |                                                            |
| Current:                      |                         |                   |                   |                                                            |
| Salaries                      | 204,040                 | 204,040           | 207,185           | 3,145                                                      |
| Employee benefits and taxes   | 67,955                  | 67,955            | 67,736            | (219)                                                      |
| Utilities                     | 86,200                  | 86,200            | 71,845            | (14,355)                                                   |
| Repairs and maintenance       | 30,500                  | 30,500            | 26,272            | (4,228)                                                    |
| Other contractual services    | 20,000                  | 26,840            | 20,277            | (6,563)                                                    |
| Inmate crew expense           | -                       | -                 | 629               | 629                                                        |
| Small equipment               | 2,000                   | 2,000             | 2,132             | 132                                                        |
| Operating supplies            | 9,700                   | 9,700             | 6,900             | (2,800)                                                    |
| Janitorial supplies           | 8,500                   | 8,500             | 7,709             | (791)                                                      |
| Gas, oil, diesel, etc.        | 7,500                   | 7,500             | 2,602             | (4,898)                                                    |
| Miscellaneous                 | 42,500                  | 42,500            | 2,324             | (40,176)                                                   |
| Noncapital expenditures       | 214,600                 | 287,326           | 13,287            | (274,039)                                                  |
| Capital outlay                | -                       | -                 | 243,272           | 243,272                                                    |
|                               | <u>\$ 693,495</u>       | <u>\$ 773,061</u> | <u>\$ 672,170</u> | <u>\$ (100,891)</u>                                        |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

| Expenditures:                 | Budgeted Amounts |                  | Actual           | Variance with<br>Final Budget<br>Over<br>(Under) |
|-------------------------------|------------------|------------------|------------------|--------------------------------------------------|
|                               | Original         | Final            |                  |                                                  |
| General government:           |                  |                  |                  |                                                  |
| Codes:                        |                  |                  |                  |                                                  |
| Current:                      |                  |                  |                  |                                                  |
| Salaries                      | \$ 689,084       | \$ 773,520       | \$ 694,791       | \$ (78,729)                                      |
| Employee benefits and taxes   | 219,900          | 243,755          | 212,837          | (30,918)                                         |
| Postage                       | 500              | 500              | 117              | (383)                                            |
| Printing & publications       | 8,700            | 8,700            | 8,431            | (269)                                            |
| Membership fees               | 3,500            | 3,500            | 5,077            | 1,577                                            |
| Utilities                     | 7,000            | 7,000            | 8,775            | 1,775                                            |
| Repairs and maintenance       | 5,500            | 5,500            | 3,569            | (1,931)                                          |
| Other Professional Services   | 10,000           | 110,000          | 51,212           | (58,788)                                         |
| Office supplies               | 4,000            | 4,000            | 2,050            | (1,950)                                          |
| Gas, oil, diesel, etc.        | 10,500           | 10,500           | 13,327           | 2,827                                            |
| Miscellaneous                 | 18,900           | 18,900           | 51,076           | 32,176                                           |
| Noncapital expenditures       | 6,000            | 6,000            | 1,936            | (4,064)                                          |
|                               | <u>983,584</u>   | <u>1,191,875</u> | <u>1,053,198</u> | <u>(138,677)</u>                                 |
| Community services:           |                  |                  |                  |                                                  |
| Current:                      |                  |                  |                  |                                                  |
| July 4th celebration          | 20,000           | 28,925           | 17,850           | (11,075)                                         |
| Appropriations to non profits | 231,000          | 251,000          | 251,000          | -                                                |
|                               | <u>251,000</u>   | <u>279,925</u>   | <u>268,850</u>   | <u>(11,075)</u>                                  |
| Total general government      | <u>8,348,767</u> | <u>9,318,659</u> | <u>7,715,356</u> | <u>(1,603,303)</u>                               |
| Public safety:                |                  |                  |                  |                                                  |
| Police:                       |                  |                  |                  |                                                  |
| Current:                      |                  |                  |                  |                                                  |
| Salaries                      | 4,903,215        | 4,981,345        | 4,840,465        | (140,880)                                        |
| Employee benefits and taxes   | 1,712,344        | 1,729,862        | 1,573,823        | (156,039)                                        |
| Postage                       | 3,000            | 3,000            | 3,832            | 832                                              |
| Printing & publications       | 29,400           | 30,825           | 33,692           | 2,867                                            |
| Membership fees               | 3,500            | 18,710           | 18,566           | (144)                                            |
| Public relations              | 1,500            | 2,500            | 1,075            | (1,425)                                          |
| Utilities                     | 86,600           | 86,600           | 81,090           | (5,510)                                          |
| Physicals                     | 8,000            | 8,000            | 13,566           | 5,566                                            |
| Data processing services      | 30,000           | 30,000           | 17,670           | (12,330)                                         |
| Repairs and maintenances      | 89,500           | 89,500           | 105,701          | 16,201                                           |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                               | <b>Budgeted Amounts</b> |                  |                  | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|-------------------------------|-------------------------|------------------|------------------|------------------------------------------------------------|
| <b>Expenditures:</b>          | <b>Original</b>         | <b>Final</b>     | <b>Actual</b>    |                                                            |
| Public safety:                |                         |                  |                  |                                                            |
| Police:                       |                         |                  |                  |                                                            |
| Current:                      |                         |                  |                  |                                                            |
| Travel                        | \$ 8,000                | \$ 8,000         | \$ 8,081         | \$ 81                                                      |
| Other contractual services    | 40,000                  | 44,378           | 37,356           | (7,022)                                                    |
| Inmate crew expense           | 1,500                   | 1,500            | 985              | (515)                                                      |
| Reserve officers expense      | 10,000                  | 10,000           | 6,968            | (3,032)                                                    |
| Office supplies               | 5,100                   | 5,100            | 3,903            | (1,197)                                                    |
| Small office equipment        | 3,000                   | 3,000            | 4,540            | 1,540                                                      |
| Operating supplies            | 40,750                  | 40,750           | 41,864           | 1,114                                                      |
| Janitorial supplies           | 5,000                   | 5,000            | 3,740            | (1,260)                                                    |
| Clothing and uniforms         | 38,300                  | 38,300           | 49,991           | 11,691                                                     |
| Fire arm supplies             | 20,000                  | 20,000           | 20,199           | 199                                                        |
| Other operating supplies      | 3,000                   | 3,000            | 3,458            | 458                                                        |
| Gas, oil, diesel, etc.        | 150,500                 | 150,500          | 168,456          | 17,956                                                     |
| Other supplies                | 3,000                   | 3,000            | 2,240            | (760)                                                      |
| Traffic light camera expense  | 120,000                 | 120,000          | 87,736           | (32,264)                                                   |
| Other grants and donations    | 784,195                 | 1,023,718        | 684,283          | (339,435)                                                  |
| Noncapital expenditures       | 280,000                 | 300,185          | 86,242           | (213,943)                                                  |
| Capital outlay                | -                       | -                | 210,459          | 210,459                                                    |
|                               | <u>8,379,404</u>        | <u>8,756,773</u> | <u>8,109,981</u> | <u>(646,792)</u>                                           |
| Fire department:              |                         |                  |                  |                                                            |
| Current:                      |                         |                  |                  |                                                            |
| Salaries                      | 4,335,729               | 4,292,679        | 4,262,681        | (29,998)                                                   |
| Employee benefits and taxes   | 1,477,496               | 1,453,654        | 1,429,157        | (24,497)                                                   |
| Radio and television services | 3,500                   | 3,500            | 2,969            | (531)                                                      |
| Printing & publications       | 3,050                   | 3,050            | 1,866            | (1,184)                                                    |
| Membership fees               | 20,000                  | 20,000           | 5,629            | (14,371)                                                   |
| Utilities                     | 54,000                  | 54,000           | 51,975           | (2,025)                                                    |
| Physicals                     | 12,000                  | 12,000           | 6,861            | (5,139)                                                    |
| Repairs and maintenance       | 90,000                  | 90,000           | 152,912          | 62,912                                                     |
| Travel                        | 25,000                  | 25,000           | 18,624           | (6,376)                                                    |
| Other contractual services    | 15,000                  | 15,000           | 22,001           | 7,001                                                      |
| Training                      | 80,000                  | 80,000           | 80,311           | 311                                                        |
| Office supplies               | 2,000                   | 2,000            | 1,433            | (567)                                                      |
| Small office equipment        | 4,500                   | 4,500            | 1,220            | (3,280)                                                    |
| Operating supplies            | 22,000                  | 22,000           | 7,841            | (14,159)                                                   |
| Janitorial supplies           | 8,000                   | 8,000            | 6,452            | (1,548)                                                    |
| Clothing and uniforms         | 30,000                  | 31,940           | 31,754           | (186)                                                      |
| Fire prevention supplies      | 8,500                   | 8,500            | 7,637            | (863)                                                      |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                             | <u>Budgeted Amounts</u> |                     |                     | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|-----------------------------|-------------------------|---------------------|---------------------|------------------------------------------------------------|
| <b>Expenditures:</b>        | <u>Original</u>         | <u>Final</u>        | <u>Actual</u>       |                                                            |
| Fire department:            |                         |                     |                     |                                                            |
| Current:                    |                         |                     |                     |                                                            |
| Gas, oil, diesel, etc.      | \$ 50,000               | \$ 50,000           | \$ 66,945           | \$ 16,945                                                  |
| Miscellaneous               | 20,500                  | 20,500              | 16,733              | (3,767)                                                    |
| Noncapital expenditures     | 318,252                 | 1,253,243           | 61,073              | (1,192,170)                                                |
| Capital outlay              | -                       | -                   | 1,058,544           | 1,058,544                                                  |
|                             | <u>6,579,527</u>        | <u>7,449,566</u>    | <u>7,294,618</u>    | <u>(154,948)</u>                                           |
| Total public safety         | <u>14,958,931</u>       | <u>16,206,339</u>   | <u>15,404,599</u>   | <u>(801,740)</u>                                           |
| Engineering:                |                         |                     |                     |                                                            |
| Current:                    |                         |                     |                     |                                                            |
| Salaries                    | 442,134                 | 442,134             | 442,107             | (27)                                                       |
| Employee benefits and taxes | 134,617                 | 134,617             | 137,741             | 3,124                                                      |
| Printing                    | 2,000                   | 2,000               | 1,275               | (725)                                                      |
| Licenses                    | 3,600                   | 3,600               | 2,980               | (620)                                                      |
| Membership fees             | 2,010                   | 2,010               | 1,812               | (198)                                                      |
| Utilities                   | 3,070                   | 3,070               | 2,602               | (468)                                                      |
| Street lights               | 300,000                 | 300,000             | 299,439             | (561)                                                      |
| Professional services       | 40,000                  | 40,000              | 27,458              | (12,542)                                                   |
| Repairs and maintenance     | 3,500                   | 3,500               | 703                 | (2,797)                                                    |
| Other contractual services  | 25,000                  | 83,163              | 63,746              | (19,417)                                                   |
| Office supplies             | 2,000                   | 2,000               | 521                 | (1,479)                                                    |
| Operating supplies          | 20,800                  | 20,800              | 2,350               | (18,450)                                                   |
| Gas, oil, diesel, etc.      | 4,750                   | 5,250               | 3,159               | (2,091)                                                    |
| Permit fees                 | 3,460                   | 3,460               | 3,460               | -                                                          |
| Miscellaneous               | 5,965                   | 156,934             | 133,273             | (23,661)                                                   |
| Noncapital expenditures     | 1,960,000               | 8,323,240           | 739,671             | (7,583,569)                                                |
| Capital outlay              | -                       | -                   | 1,218,597           | 1,218,597                                                  |
| Total engineering           | <u>\$ 2,952,906</u>     | <u>\$ 9,525,778</u> | <u>\$ 3,080,894</u> | <u>\$ (6,444,884)</u>                                      |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                         | <u>Budgeted Amounts</u> |                     |                     | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|-----------------------------------------|-------------------------|---------------------|---------------------|------------------------------------------------------------|
| <b>Expenditures:</b>                    | <u>Original</u>         | <u>Final</u>        | <u>Actual</u>       |                                                            |
| Public works:                           |                         |                     |                     |                                                            |
| Current:                                |                         |                     |                     |                                                            |
| Salaries                                | \$ 220,146              | \$ 220,146          | \$ 217,795          | \$ (2,351)                                                 |
| Employee benefits and taxes             | 64,257                  | 64,257              | 54,632              | (9,625)                                                    |
| Utilities                               | 1,200                   | 1,200               | 741                 | (459)                                                      |
| Repairs and maintenance                 | 4,000                   | 4,000               | 7,297               | 3,297                                                      |
| Gas, oil, diesel, etc.                  | 1,500                   | 1,500               | 811                 | (689)                                                      |
| Miscellaneous                           | 15,700                  | 18,383              | 17,258              | (1,125)                                                    |
| Noncapital expenditures                 | 195,000                 | 306,487             | 106,664             | (199,823)                                                  |
| Capital outlay                          | -                       | -                   | 35,607              | 35,607                                                     |
| Total public works                      | <u>501,803</u>          | <u>615,973</u>      | <u>440,805</u>      | <u>(175,168)</u>                                           |
| Highways and streets:                   |                         |                     |                     |                                                            |
| Current:                                |                         |                     |                     |                                                            |
| Salaries                                | 845,357                 | 845,357             | 762,129             | (83,228)                                                   |
| Employee benefits and taxes             | 319,753                 | 319,753             | 270,733             | (49,020)                                                   |
| Utilities                               | 13,200                  | 13,200              | 15,842              | 2,642                                                      |
| Physicals                               | 1,000                   | 1,000               | 2,044               | 1,044                                                      |
| Repairs and maintenance                 | 166,000                 | 166,000             | 169,994             | 3,994                                                      |
| Travel                                  | 1,000                   | 1,000               | 433                 | (567)                                                      |
| Other contractual services              | 1,250                   | 1,250               | 1,920               | 670                                                        |
| Operating supplies                      | 5,400                   | 5,400               | 4,533               | (867)                                                      |
| Agricultural and horticultural supplies | 6,500                   | 6,500               | 2,257               | (4,243)                                                    |
| Janitorial supplies                     | 1,000                   | 1,000               | 1,082               | 82                                                         |
| Clothing and uniforms                   | 6,500                   | 6,500               | 6,559               | 59                                                         |
| Other operating supplies                | 1,500                   | 1,500               | 1,951               | 451                                                        |
| Gas, oil, diesel, etc.                  | 62,000                  | 62,000              | 71,836              | 9,836                                                      |
| Consumable tools                        | 3,500                   | 3,500               | 1,481               | (2,019)                                                    |
| Sign parts and supplies                 | 15,000                  | 16,060              | 10,813              | (5,247)                                                    |
| Demolition and mowing                   | 16,000                  | 27,050              | 29,640              | 2,590                                                      |
| Other supplies                          | 1,500                   | 1,500               | 2,297               | 797                                                        |
| Salt                                    | 20,000                  | 20,000              | -                   | (20,000)                                                   |
| Drainage material                       | 40,000                  | 40,000              | 13,353              | (26,647)                                                   |
| Inmate crew                             | 14,000                  | 14,000              | 9,191               | (4,809)                                                    |
| Miscellaneous                           | 4,150                   | 4,150               | 1,527               | (2,623)                                                    |
| Noncapital expenditures                 | 377,000                 | 551,412             | -                   | (551,412)                                                  |
| Capital outlay                          | -                       | -                   | 251,247             | 251,247                                                    |
| Total highways and streets              | <u>\$ 1,921,610</u>     | <u>\$ 2,108,132</u> | <u>\$ 1,630,862</u> | <u>\$ (477,270)</u>                                        |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                             | <u>Budgeted Amounts</u> |                     |                     | <u>Variance with<br/>Final Budget<br/>Over<br/>(Under)</u> |
|-----------------------------|-------------------------|---------------------|---------------------|------------------------------------------------------------|
| <b>Expenditures:</b>        | <u>Original</u>         | <u>Final</u>        | <u>Actual</u>       |                                                            |
| Vehicle maintenance:        |                         |                     |                     |                                                            |
| Current:                    |                         |                     |                     |                                                            |
| Salaries                    | \$ 245,470              | \$ 245,470          | \$ 244,369          | \$ (1,101)                                                 |
| Employee benefits and taxes | 81,854                  | 81,854              | 80,873              | (981)                                                      |
| Utilities                   | 11,500                  | 11,500              | 12,098              | 598                                                        |
| Repairs and maintenance     | 179,000                 | 214,000             | 212,199             | (1,801)                                                    |
| Operating supplies          | 3,500                   | 3,500               | 2,230               | (1,270)                                                    |
| Clothing and uniforms       | 1,400                   | 1,400               | 1,049               | (351)                                                      |
| Maintenance supplies        | 1,000                   | 1,000               | 310                 | (690)                                                      |
| Gas, oil, diesel, etc.      | 6,000                   | 6,000               | 3,170               | (2,830)                                                    |
| Miscellaneous               | 3,300                   | 3,300               | 1,431               | (1,869)                                                    |
| Noncapital expenditures     | 38,000                  | 38,000              | 924                 | (37,076)                                                   |
| Capital outlay              | -                       | -                   | 28,379              | 28,379                                                     |
|                             | <u>571,024</u>          | <u>606,024</u>      | <u>587,032</u>      | <u>(18,992)</u>                                            |
| Parks and recreation        |                         |                     |                     |                                                            |
| Civic Center:               |                         |                     |                     |                                                            |
| Current:                    |                         |                     |                     |                                                            |
| Salaries                    | 583,311                 | 590,195             | 702,208             | 112,013                                                    |
| Employee benefits and taxes | 118,712                 | 119,895             | 123,368             | 3,473                                                      |
| Postage                     | 2,100                   | 2,100               | 2,120               | 20                                                         |
| Printing and publications   | 6,000                   | 6,000               | 7,141               | 1,141                                                      |
| Utilities                   | 250,600                 | 250,600             | 191,259             | (59,341)                                                   |
| Professional services       | 3,000                   | 3,000               | -                   | (3,000)                                                    |
| Employee physicals          | 1,000                   | 1,000               | 2,141               | 1,141                                                      |
| Repairs and maintenance     | 28,000                  | 28,000              | 40,132              | 12,132                                                     |
| Other contractual services  | 120,000                 | 120,000             | 100,306             | (19,694)                                                   |
| Operating supplies          | 61,000                  | 61,000              | 92,708              | 31,708                                                     |
| Food                        | 40,000                  | 40,000              | 63,634              | 23,634                                                     |
| Janitorial supplies         | 15,000                  | 15,000              | 11,580              | (3,420)                                                    |
| Miscellaneous               | 16,500                  | 17,367              | 15,161              | (2,206)                                                    |
| Noncapital expenditures     | 390,000                 | 436,856             | 179,834             | (257,022)                                                  |
| Capital outlay              | -                       | -                   | 127,166             | 127,166                                                    |
|                             | <u>\$ 1,635,223</u>     | <u>\$ 1,691,013</u> | <u>\$ 1,658,758</u> | <u>\$ (32,255)</u>                                         |

*The accompanying notes are an integral part of these financial statements*



**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

| Expenditures:                           | Budgeted Amounts |                | Actual         | Variance with<br>Final Budget<br>Over<br>(Under) |
|-----------------------------------------|------------------|----------------|----------------|--------------------------------------------------|
|                                         | Original         | Final          |                |                                                  |
| Golf course:                            |                  |                |                |                                                  |
| Current:                                |                  |                |                |                                                  |
| Salaries                                | \$ 402,507       | \$ 402,507     | \$ 379,049     | \$ (23,458)                                      |
| Employee benefits and taxes             | 113,175          | 113,175        | 112,825        | (350)                                            |
| Printing and publications               | 2,150            | 2,150          | 302            | (1,848)                                          |
| Membership fees                         | 1,600            | 1,600          | 1,738          | 138                                              |
| Utilities                               | 43,800           | 43,800         | 27,548         | (16,252)                                         |
| Physicals                               | 200              | 200            | 196            | (4)                                              |
| Repairs and maintenance                 | 7,500            | 7,500          | 1,299          | (6,201)                                          |
| Other contractual services              | 25,000           | 25,000         | 2,820          | (22,180)                                         |
| Items for resale                        | 25,000           | 25,000         | 18,663         | (6,337)                                          |
| Operating supplies                      | 20,500           | 20,500         | 22,937         | 2,437                                            |
| Agricultural and horticultural supplies | 76,000           | 76,000         | 47,613         | (28,387)                                         |
| Food                                    | 35,000           | 35,000         | 30,108         | (4,892)                                          |
| Clothing and uniforms                   | 3,200            | 3,200          | 3,035          | (165)                                            |
| Gas, oil, diesel, etc.                  | 14,000           | 14,000         | 14,765         | 765                                              |
| Other equipment parts                   | 30,000           | 30,000         | 26,914         | (3,086)                                          |
| Repair parts for water/sewer lines      | 4,000            | 4,000          | 3,128          | (872)                                            |
| Beer for resale                         | 15,000           | 15,000         | 15,105         | 105                                              |
| Discount credit card                    | 12,000           | 12,000         | 14,466         | 2,466                                            |
| Miscellaneous                           | 300              | 300            | -              | (300)                                            |
| Noncapital expenditures                 | 30,000           | 30,000         | -              | (30,000)                                         |
|                                         | <u>860,932</u>   | <u>860,932</u> | <u>722,511</u> | <u>(138,421)</u>                                 |
| Parks:                                  |                  |                |                |                                                  |
| Current:                                |                  |                |                |                                                  |
| Salaries                                | 1,195,466        | 1,201,311      | 1,088,658      | (112,653)                                        |
| Employee benefits and taxes             | 355,556          | 356,560        | 348,576        | (7,984)                                          |
| Printing and publication                | 4,800            | 4,800          | 1,567          | (3,233)                                          |
| Memberships                             | 800              | 800            | 2,871          | 2,071                                            |
| Public relations                        | 15,000           | 15,000         | 14,991         | (9)                                              |
| Utilities                               | 110,000          | 110,000        | 97,642         | (12,358)                                         |
| Repairs and maintenance                 | 47,000           | 62,000         | 72,033         | 10,033                                           |
| Travel                                  | 2,000            | 2,000          | 1,572          | (428)                                            |
| Other contractual services              | 10,000           | 10,000         | 30,464         | 20,464                                           |
| Inmate crew meals                       | 8,000            | 8,000          | 9,057          | 1,057                                            |
| Small equipment                         | 9,100            | 9,100          | 7,491          | (1,609)                                          |
| Operating supplies                      | 120,000          | 120,000        | 88,886         | (31,114)                                         |
| Agricultural and horticultural supplies | 25,000           | 25,000         | 17,112         | (7,888)                                          |
| Food                                    | 50,000           | 50,000         | 20,411         | (29,589)                                         |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                              | <b>Budgeted Amounts</b> |                  |                  | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|------------------------------|-------------------------|------------------|------------------|------------------------------------------------------------|
| <b>Expenditures:</b>         | <b>Original</b>         | <b>Final</b>     | <b>Actual</b>    |                                                            |
| Parks:                       |                         |                  |                  |                                                            |
| Gas, oil, diesel, etc.       | 50,000                  | 50,000           | 59,209           | 9,209                                                      |
| Miscellaneous                | 4,150                   | 4,150            | 943              | (3,207)                                                    |
| Noncapital expenditures      | 225,000                 | 522,196          | 163,426          | (358,770)                                                  |
| Capital outlay               | -                       | -                | 322,091          | 322,091                                                    |
|                              | <u>2,231,872</u>        | <u>2,550,917</u> | <u>2,347,000</u> | <u>(203,917)</u>                                           |
| Total parks and recreation   | <u>4,728,027</u>        | <u>5,102,862</u> | <u>4,728,269</u> | <u>(374,593)</u>                                           |
| Economic development agency: |                         |                  |                  |                                                            |
| Current:                     |                         |                  |                  |                                                            |
| Salaries                     | 212,378                 | 212,378          | 206,084          | (6,294)                                                    |
| Employee benefits and taxes  | 58,680                  | 58,680           | 59,563           | 883                                                        |
| Printing & publications      | 25,750                  | 25,750           | 23,968           | (1,782)                                                    |
| Membership fees              | 13,000                  | 13,000           | 14,813           | 1,813                                                      |
| Public relations             | 28,000                  | 37,595           | 27,819           | (9,776)                                                    |
| Utilities                    | 2,300                   | 2,300            | 1,562            | (738)                                                      |
| Repairs and maintenance      | 1,000                   | 1,000            | 1,534            | 534                                                        |
| Professional services        | 40,000                  | 75,000           | 61,788           | (13,212)                                                   |
| Travel                       | 8,000                   | 8,000            | 7,488            | (512)                                                      |
| Office supplies              | 2,000                   | 2,000            | 2,660            | 660                                                        |
| Industrial Development Board | 5,400                   | 152,400          | 153,593          | 1,193                                                      |
| Gas, oil, diesel, etc.       | 2,000                   | 2,000            | 424              | (1,576)                                                    |
| Miscellaneous                | 350                     | 350              | 316              | (34)                                                       |
| Noncapital expenditures      | -                       | -                | 8,361            | 8,361                                                      |
|                              | <u>398,858</u>          | <u>590,453</u>   | <u>569,973</u>   | <u>(20,480)</u>                                            |
| Economic Development Utility |                         |                  |                  |                                                            |
| Current:                     |                         |                  |                  |                                                            |
| Professional Services        | 75,000                  | 125,000          | 39,093           | (85,907)                                                   |
| Grants and donations         | -                       | 191,950          | 129,559          | (62,391)                                                   |
|                              | <u>75,000</u>           | <u>316,950</u>   | <u>168,652</u>   | <u>(148,298)</u>                                           |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**GENERAL FUND**  
**STATEMENT OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                                                          | <b>Budgeted Amounts</b>   |                           |                       | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|--------------------------------------------------------------------------|---------------------------|---------------------------|-----------------------|------------------------------------------------------------|
| <b>Expenditures:</b>                                                     | <b>Original</b>           | <b>Final</b>              | <b>Actual</b>         |                                                            |
| Debt service:                                                            |                           |                           |                       |                                                            |
| Principal                                                                | 1,750,000                 | 1,750,000                 | 1,839,745             | 89,745                                                     |
| Interest                                                                 | 861,956                   | 861,956                   | 861,956               | -                                                          |
| Bond fees                                                                | 1,400                     | 1,400                     | 812                   | (588)                                                      |
|                                                                          | <u>2,613,356</u>          | <u>2,613,356</u>          | <u>2,702,513</u>      | <u>89,157</u>                                              |
| <br>Total expenditures                                                   | <br><u>37,070,282</u>     | <br><u>47,004,526</u>     | <br><u>37,028,955</u> | <br><u>(9,975,571)</u>                                     |
| <br><b>Excess (deficiency) of revenues<br/>over (under) expenditures</b> | <br>(3,265,132)           | <br>(10,526,701)          | <br>(2,296,635)       | <br>8,230,066                                              |
| <br><b>Other financing sources (uses)</b>                                |                           |                           |                       |                                                            |
| In lieu of tax payments - utility                                        | 1,709,000                 | 1,709,000                 | 1,635,255             | (73,745)                                                   |
| Transfers out                                                            | <u>(20,000)</u>           | <u>(82,000)</u>           | <u>(82,000)</u>       | <u>-</u>                                                   |
| Total other financing sources (uses)                                     | <u>1,689,000</u>          | <u>1,627,000</u>          | <u>1,553,255</u>      | <u>(73,745)</u>                                            |
| <br><b>Net changes in fund balances</b>                                  | <br><u>\$ (1,576,132)</u> | <br><u>\$ (8,899,701)</u> | <br>(743,380)         | <br><u>\$ 8,156,321</u>                                    |
| <br>Fund balance - beginning                                             |                           |                           | <u>18,673,662</u>     |                                                            |
| <br>Fund balance - ending                                                |                           |                           | <u>\$ 17,930,282</u>  |                                                            |

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF FIDUCIARY NET POSITION**  
**PENSION TRUST FUND - ELECTRIC DEPT.**  
For the Fiscal Year Ended June 30, 2018

**Assets**

|                                         |                  |
|-----------------------------------------|------------------|
| Cash and cash equivalents               | \$ 129,284       |
| Receivables:                            |                  |
| Employee contributions                  | 4,751            |
| Investment income                       | 34,991           |
| Investments:                            |                  |
| Certificates of deposit                 | 449,222          |
| Mutual funds                            | 1,967,147        |
| US government and municipal obligations | 1,342,489        |
| Corporate bonds and debentures          | 2,243,263        |
| Common stocks                           | <u>3,151,543</u> |

|                     |                         |
|---------------------|-------------------------|
| <b>Total assets</b> | <b><u>9,322,690</u></b> |
|---------------------|-------------------------|

**Liabilities**

|                            |               |
|----------------------------|---------------|
| Payables:                  |               |
| Trustee/Custody fees       | 232           |
| Investment management fees | <u>10,909</u> |

|                          |                      |
|--------------------------|----------------------|
| <b>Total liabilities</b> | <b><u>11,141</u></b> |
|--------------------------|----------------------|

|                                             |                            |
|---------------------------------------------|----------------------------|
| <b>Net position restricted for pensions</b> | <b><u>\$ 9,311,549</u></b> |
|---------------------------------------------|----------------------------|

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**STATEMENT OF CHANGES IN FIDUCIARY NET POSITION**  
**PENSION TRUST FUND - ELECTRIC DEPT.**  
For the Fiscal Year Ended June 30, 2018

**Additions**

Contributions:

|                     |                |
|---------------------|----------------|
| Employees           | \$ 62,395      |
| Employer            | <u>800,000</u> |
| Total contributions | <u>862,395</u> |

Investment income:

|                                               |                 |
|-----------------------------------------------|-----------------|
| Net appreciation in fair value of investments | 395,476         |
| Interest and dividends                        | <u>214,546</u>  |
|                                               | 610,022         |
| Less: investment fees                         | <u>(44,369)</u> |
| Net investment gain                           | <u>565,653</u>  |

|                        |                         |
|------------------------|-------------------------|
| <b>Total additions</b> | <b><u>1,428,048</u></b> |
|------------------------|-------------------------|

**Deductions**

|                  |                |
|------------------|----------------|
| Benefit payments | <u>492,024</u> |
|------------------|----------------|

|                         |                       |
|-------------------------|-----------------------|
| <b>Total deductions</b> | <b><u>492,024</u></b> |
|-------------------------|-----------------------|

|                               |                |
|-------------------------------|----------------|
| <b>Change in net position</b> | <b>936,024</b> |
|-------------------------------|----------------|

|                                |                  |
|--------------------------------|------------------|
| Total net position - beginning | <u>8,375,525</u> |
|--------------------------------|------------------|

|                                    |                            |
|------------------------------------|----------------------------|
| <b>Total net position - ending</b> | <b><u>\$ 9,311,549</u></b> |
|------------------------------------|----------------------------|

*The accompanying notes are an integral part of these financial statements*

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

**NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

**A. Reporting Entity**

The City of Gallatin, Tennessee (City), operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, cemetery maintenance, sanitation collection and disposal, recreation, water and sewer, electricity, gas, and general administrative services. As required by generally accepted accounting principles, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

**Related organizations**

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority, but the City's accountability for this organization does not extend beyond making the appointments. The Board of the Authority is appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Authority, and cannot impose its will upon the operations of the Authority. Accordingly, the Authority has not been included in the reporting entity.

**Joint venture**

The City is a participant in the Sumner County Resource Authority, a joint venture, in which it retains an ongoing financial interest. The Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville and operates a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Authority are available from the City Finance Director.

**B. Government-wide and Fund Financial Statements**

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the activities of the primary government. For the most part, the effect of the interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of the given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

**C. Measurement Focus, Basis of Accounting, and Financial Statements Presentation**

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary and fiduciary fund financial statements. Revenues are recorded when earned and expenses recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within sixty days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, gross receipt taxes, sales taxes, grants, and interest associated with the current fiscal period are all considered to be susceptible to accrual and have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The City reports the following major governmental funds:

The general fund is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The general fund also includes the accounting for all solid waste revenues and expenditures.

The capital projects fund focuses on project-to-date costs for many projects within the City.

The City reports the following major proprietary funds:

The electric fund accounts for the activities of the government's electric distribution operations.

The water and sewer fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations and collection system.

The gas fund accounts for the activities of the government's gas distribution operations.

Additionally, the City reports the following fiduciary fund:

The Electric Department's pension trust fund is used to account for assets held for benefits related to the Gallatin Department of Electricity's pension plan.

The financial statements of the City are prepared in accordance with generally accepted accounting principles. The Governmental Accounting Standards Board (GASB) is the accepted standard

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

setting body for establishing governmental accounting and financial reporting principles. The more significant accounting policies of the City are described here with Note 1.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility funds and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and delivering goods in connection with the proprietary fund's principal ongoing operations. The principal operating revenues of the electric and the water and sewer funds are charges for sales to customers for sales and service. The water and sewer fund also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for the enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

**D. Assets, Liabilities, and Net Position or Equity**

**Deposits and Investments**

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statutes authorize the City to invest in certificates of deposit, obligations of the U.S. Treasury agencies and instrumentalities, obligations guaranteed by the U.S. government or its agencies, repurchase agreements, and the state's investment pool.

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool shares.

**Receivables and Payables**

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on



**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**

June 30, 2018

January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1, the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgment.

**Inventories and Prepaid Items**

Inventories of the Water, Sewer, and Gas Funds are valued at the lower cost or market using a weighted-average flow assumption. Inventory of the Electric system is stated at average cost as determined by the moving average inventory method. Inventory of the General fund consists of expendable supplies held for consumption. Governmental fund inventories are recorded at cost under the consumption method.

**Restricted Assets**

The City elects to use restricted assets before unrestricted assets when the situation arises where either can be used.

**Capital Assets**

Capital assets, including property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than \$2,500 and an estimated useful life in excess of two years. All land, construction in progress, and works of art will be included. The electric, water and sewer, and gas funds use a threshold of \$500 and an estimated useful life in excess of five years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed.

Capital assets of the City are depreciated using the straight line method over the following useful lives:

|                                         |               |
|-----------------------------------------|---------------|
| Buildings and improvements              | 25 - 50 years |
| Transmission and distribution systems   | 10 - 50 years |
| General plant                           | 10 - 50 years |
| Machinery, equipment, and rolling stock | 3 - 10 years  |
| Office furniture and equipment          | 3 - 10 years  |
| Improvements other than buildings       | 50 years      |

**Compensated Absences**

Vacation pay is accumulated by classified full-time employees according to the following schedule:

| <u>Years Service</u> | <u>Annual Vacation Leave</u> |
|----------------------|------------------------------|
| 0 - 1 years          | 5 days                       |
| 2 - 5 years          | 10 days                      |
| 6 - 10 years         | 12 days                      |
| 11 - 15 years        | 15 days                      |
| 16 - 18 years        | 18 days                      |
| 19 or more years     | 21 days                      |

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

Sick leave is accumulated at the rate of one day per month (same for the Electric fund). At retirement, an employee will be paid accumulated sick leave ranging from 20-50% based on either their age or years of service on effective date of retirement.

**Long-term Obligations**

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

**Deferred Outflows/Inflows of Resources**

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then. The items that qualify for reporting as a deferred outflows of resources are unavailable and are disclosed on pages 11 and 18.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time. The items that qualify for reporting as a deferred inflows or resources are unavailable and are disclosed on pages 12, 14 and 19.

The City reports unavailable property taxes, unavailable court fines revenue, and public safety revenues as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year and held evidence funds are reported. The City reports loss on bond refunding as a deferred inflow of resources in the statement of net position as well.

**Impact of other recently issued accounting pronouncements**

In June 2015, the GASB issued Statement No. 75 – *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, effective for financial statements for periods beginning after June 15, 2017. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

assessments of accountability and interperiod equity, and creating additional transparency. This Statement replaces the requirements of Statement No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB. The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local government employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed. The City implemented this statement in the current year and it resulted in a restatement in the Electric fund.

**Net position flow assumption**

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City’s policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

**Fund balance**

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

***Nonspendable fund balance***

This classification includes amounts that are (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The “not in spendable form” criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

***Restricted fund balance***

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

***Committed fund balance***

This classification includes amounts that can only be used for the specific purposes determined by the City’s highest level of decision-making authority, (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30<sup>th</sup>, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

***Assigned fund balance***

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the general fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a simple majority vote. Upon passage of a budget ordinance where fund balance is used as a source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

***Unassigned fund balance***

This fund balance is the residual classification for the general fund. It is also used to report negative fund balances in other governmental funds.

The City will maintain a minimum unassigned fund balance in the general fund equivalent to 20% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that results in the minimum unassigned general fund balance to drop below 20%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, by increasing revenues or pursuing other funding sources, or by a combination of the two.

**Fund balance flow assumptions**

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned and unassigned fund balance in the governmental fund financial statements a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

**Net Position**

Restricted net position are net position less related liabilities reported in the government-wide statement of net position that have limitation imposed on their use through constitutional provisions or enabling legislation or through external restrictions imposed by creditors, grantors, contributors, legislation, or the other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it. When committed, assigned, and unassigned funds are available for expenditure, committed funds should be spent first, assigned funds second, and unassigned funds last.

Net Investment in Capital Assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

**Estimates**

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

**NOTE 2 - RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS**

**A. Explanation of Certain Differences Between the Governmental Fund Statement of Revenues, Expenditures, and Changes in Fund Balances and the Government-wide Statement of Activities**

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances - total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that "Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period." The details of this \$3,441,634 difference are as follows:

|                                                                                                                                            |                            |
|--------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| Capital outlay                                                                                                                             | \$ 6,077,113               |
| Depreciation expense                                                                                                                       | <u>(2,635,479)</u>         |
| <b>Net adjustment to reduce net changes in fund balance - total governmental funds to arrive at net position - governmental activities</b> | <b><u>\$ 3,441,634</u></b> |

Another element of that reconciliation states that "Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds." The details of this (\$366,825) difference are as follows:

|                                                                                                                                            |                            |
|--------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| Change in deferred property taxes                                                                                                          | \$ (371,983)               |
| Change in deferred red light revenue                                                                                                       | <u>5,158</u>               |
| <b>Net adjustment to reduce net changes in fund balance - total governmental funds to arrive at net position - governmental activities</b> | <b><u>\$ (366,825)</u></b> |

**NOTE 3 - STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY**

**A. Budgetary Information**

Annual budgets are adopted on a basis consistent with generally accepted accounting principles for the general fund and special revenue funds excluding the capital projects funds. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to year end, the Director of Finance and Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1<sup>st</sup>. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.
4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

5. Formal budgetary integration is employed as a management control device during the year for all funds excluding the Electric Fund.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year end.

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City's policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

**NOTE 4 - DETAILED NOTES ON ALL FUNDS**

**A. Deposits and Investments**

As of June 30, 2018, the City of Gallatin, Tennessee's Electric Department had \$4,573,824 and the General fund had \$2,960,297 invested in certificates of deposit with local financial institutions. As of June 30, 2018, the cemetery trust fund had unrated stock investments with no maturity.

**Interest Rate Risk**

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

**Custodial Credit Risk**

The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in Note 1. State statute required that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations and federally chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amount of funds invested in the repurchase transaction. As of June 30, 2018, all bank deposits were fully collateralized or insured.

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

**B. Receivables**

Receivables as of the year end for the government's individual major funds and nonmajor and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

|                                    | General              | Capital Projects | Electric Division   | Water & Sewer Division | Gas Division        | Nonmajor and Other Funds | Total                |
|------------------------------------|----------------------|------------------|---------------------|------------------------|---------------------|--------------------------|----------------------|
| Receivables:                       |                      |                  |                     |                        |                     |                          |                      |
| Property taxes                     | \$ 11,671,689        | \$ -             | \$ -                | \$ -                   | \$ -                | \$ -                     | \$ 11,671,689        |
| Interest                           | 322,658              | -                | -                   | -                      | -                   | 11,209                   | 333,867              |
| Accounts                           | 487,767              | -                | 7,633,914           | 1,170,433              | 1,816,282           | 76,731                   | 11,185,127           |
| Fines                              | 2,054,494            | -                | -                   | -                      | -                   | -                        | 2,054,494            |
| Grants                             | 80,371               | 28,926           | -                   | -                      | -                   | -                        | 109,297              |
| Intergovernmental                  | 2,658,475            | -                | -                   | -                      | -                   | -                        | 2,658,475            |
| Other                              | -                    | -                | -                   | 5,295                  | 7,576               | 170,910                  | 183,781              |
| Gross receivables                  | 17,275,454           | 28,926           | 7,633,914           | 1,175,728              | 1,823,858           | 258,850                  | 28,196,730           |
| Less: Allowance for uncollectibles | (2,346,388)          | -                | -                   | (341,099)              | (32,841)            | (18,614)                 | (2,738,942)          |
| <b>Net total receivable</b>        | <b>\$ 14,929,066</b> | <b>\$ 28,926</b> | <b>\$ 7,633,914</b> | <b>\$ 834,629</b>      | <b>\$ 1,791,017</b> | <b>\$ 240,236</b>        | <b>\$ 25,457,788</b> |

Governmental funds report unavailable revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenue). At the end of the current fiscal year, various components of unavailable revenue reported in the governmental funds were as follows:

|                                                                | Unavailable          | Unearned         |
|----------------------------------------------------------------|----------------------|------------------|
| Delinquent property taxes receivable                           | \$ 198,995           | \$ -             |
| Interest and penalty on property taxes receivable              | 260,282              | -                |
| 2018 property tax assessment                                   | 11,123,823           | -                |
| Grants                                                         | -                    | 6,620            |
| Drug fund revenue held                                         | -                    | 47,977           |
| Court fines                                                    | 29,011               | -                |
| <b>Total unavailable revenue for fund financial statements</b> | <b>\$ 11,612,111</b> | <b>\$ 54,597</b> |

**C. Capital Assets**

Capital asset activity for the year ended June 30, 2018, was as follows:

|                                             | Beginning Balance | Additions | Disposals | Transfers   | Ending Balance |
|---------------------------------------------|-------------------|-----------|-----------|-------------|----------------|
| Governmental activities:                    |                   |           |           |             |                |
| Capital assets, not being depreciated:      |                   |           |           |             |                |
| Land                                        | \$ 14,339,334     | \$ 13,704 | \$ -      | \$ -        | \$ 14,353,038  |
| Construction in progress                    | 5,771,224         | 881,599   | -         | (6,608,112) | 44,711         |
| Total capital assets, not being depreciated | 20,110,558        | 895,303   | -         | (6,608,112) | 14,397,749     |

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

|                                                    | <b>Beginning<br/>Balance</b> | <b>Additions</b>           | <b>Disposals</b>   | <b>Transfers</b>   | <b>Ending<br/>Balance</b>   |
|----------------------------------------------------|------------------------------|----------------------------|--------------------|--------------------|-----------------------------|
| Capital assets being depreciated:                  |                              |                            |                    |                    |                             |
| Buildings                                          | 17,203,678                   | 1,479,202                  | -                  | -                  | 18,682,880                  |
| Improvements other than buildings                  | 58,564,982                   | 6,383,526                  | -                  | 6,608,112          | 71,556,620                  |
| Vehicles                                           | 12,570,592                   | 1,534,582                  | -                  | -                  | 14,105,174                  |
| Office equipment                                   | 2,308,416                    | 24,627                     | -                  | -                  | 2,333,043                   |
| Equipment                                          | 3,616,092                    | 643,873                    | -                  | 1                  | 4,259,966                   |
| Total capital assets being depreciated             | <u>94,263,760</u>            | <u>10,065,810</u>          | <u>-</u>           | <u>6,608,113</u>   | <u>110,937,683</u>          |
| Less accumulated depreciation for:                 |                              |                            |                    |                    |                             |
| Buildings and improvements                         | 6,756,790                    | 393,440                    | -                  | -                  | 7,150,230                   |
| Improvements other than buildings                  | 13,314,396                   | 1,077,638                  | -                  | -                  | 14,392,034                  |
| Vehicles                                           | 10,017,458                   | 816,429                    | -                  | -                  | 10,833,887                  |
| Office equipment                                   | 1,909,689                    | 154,450                    | -                  | -                  | 2,064,139                   |
| Equipment                                          | 2,793,670                    | 193,522                    | -                  | -                  | 2,987,192                   |
| Total accumulated depreciation                     | <u>34,792,003</u>            | <u>2,635,479</u>           | <u>-</u>           | <u>-</u>           | <u>37,427,482</u>           |
| Total capital assets being depreciated, net        | <u>59,471,757</u>            | <u>7,430,331</u>           | <u>-</u>           | <u>6,608,113</u>   | <u>73,510,201</u>           |
| <b>Governmental activities capital assets, net</b> | <b><u>\$ 79,582,315</u></b>  | <b><u>\$ 8,325,634</u></b> | <b><u>\$ -</u></b> | <b><u>\$ 1</u></b> | <b><u>\$ 87,907,950</u></b> |

  

|                                              | <b>Beginning<br/>Balance</b> | <b>Additions</b>            | <b>Disposal</b>           | <b>Adjustments/<br/>Transfers</b> | <b>Ending<br/>Balance</b>    |
|----------------------------------------------|------------------------------|-----------------------------|---------------------------|-----------------------------------|------------------------------|
| Business-type activities:                    |                              |                             |                           |                                   |                              |
| Capital assets, not being depreciated:       |                              |                             |                           |                                   |                              |
| Land                                         | \$ 2,946,001                 | \$ 440,628                  | \$ -                      | \$ -                              | \$ 3,386,629                 |
| Construction in progress                     | <u>2,545,696</u>             | <u>2,040,638</u>            | <u>-</u>                  | <u>(447,892)</u>                  | <u>4,138,442</u>             |
| Total capital assets, not being depreciated  | <u>5,491,697</u>             | <u>2,481,266</u>            | <u>-</u>                  | <u>(447,892)</u>                  | <u>7,525,071</u>             |
| Capital assets being depreciated:            |                              |                             |                           |                                   |                              |
| Transmission plant                           | 780,905                      | -                           | -                         | -                                 | 780,905                      |
| Distribution plant                           | 194,367,671                  | 14,695,679                  | 148,769                   | 447,892                           | 209,362,473                  |
| General plant                                | 3,912,931                    | 155,429                     | 29,052                    | -                                 | 4,039,308                    |
| Buildings                                    | 43,110,257                   | -                           | -                         | -                                 | 43,110,257                   |
| Operating equipment                          | 2,727,951                    | -                           | -                         | -                                 | 2,727,951                    |
| Rolling stock                                | 3,150,798                    | 34,677                      | -                         | -                                 | 3,185,475                    |
| Office furniture and equipment               | <u>705,930</u>               | <u>-</u>                    | <u>-</u>                  | <u>-</u>                          | <u>705,930</u>               |
| Total capital assets being depreciated       | <u>248,756,443</u>           | <u>14,885,785</u>           | <u>177,821</u>            | <u>447,892</u>                    | <u>263,912,299</u>           |
| Less accumulated depreciation for:           |                              |                             |                           |                                   |                              |
| Transmission plant                           | 391,390                      | 22,326                      | -                         | -                                 | 413,716                      |
| Distribution plant                           | 80,054,666                   | 4,500,669                   | 218,358                   | -                                 | 84,336,977                   |
| General plant                                | 2,292,383                    | 192,853                     | 29,052                    | -                                 | 2,456,184                    |
| Buildings                                    | 6,612,550                    | 944,787                     | -                         | 6,551,810                         | 14,109,147                   |
| Operating equipment                          | 2,155,273                    | 92,536                      | -                         | -                                 | 2,247,809                    |
| Rolling stock                                | 2,408,952                    | 249,237                     | -                         | -                                 | 2,658,189                    |
| Office furniture and equipment               | <u>601,968</u>               | <u>21,867</u>               | <u>-</u>                  | <u>-</u>                          | <u>623,835</u>               |
| Total accumulated depreciation               | <u>94,517,182</u>            | <u>6,024,275</u>            | <u>247,410</u>            | <u>6,551,810</u>                  | <u>106,845,857</u>           |
| Total capital assets being depreciated, net  | <u>154,239,261</u>           | <u>8,861,510</u>            | <u>(69,589)</u>           | <u>(6,103,918)</u>                | <u>157,066,442</u>           |
| Business-type activities capital assets, net | <u>\$ 159,730,958</u>        | <u>\$ 11,342,776</u>        | <u>\$ (69,589)</u>        | <u>\$ (6,551,810)</u>             | <u>\$ 164,591,513</u>        |
| <b>Total capital assets, net</b>             | <b><u>\$ 239,313,273</u></b> | <b><u>\$ 19,668,410</u></b> | <b><u>\$ (69,589)</u></b> | <b><u>\$ (6,551,809)</u></b>      | <b><u>\$ 252,499,463</u></b> |



**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

Included in the additions for the governmental activities are \$4,884,000 in donated infrastructure from developers.

Acquisition adjustments – Acquisition adjustments represent the excess of purchase prices over depreciated cost of additions to the electric plant acquired from others. The acquisition adjustments are being amortized against income on a straight line basis as determined by the Tennessee Valley Authority. The total cost was \$2,355,534 with current year amortization of \$191,136 and total accumulated amortization of \$2,203,360 for an ending balance of \$152,174.

Depreciation expense was charged to functions/programs of the primary government as follows:

|                                                              |                            |
|--------------------------------------------------------------|----------------------------|
| Governmental activities:                                     |                            |
| General government                                           | \$ 1,221,563               |
| Public safety                                                | 793,341                    |
| Environmental services                                       | 1,000                      |
| Highways and streets                                         | 257,329                    |
| Parks and recreation                                         | 362,246                    |
| <b>Total depreciation expense - governmental activities</b>  | <b><u>\$ 2,635,479</u></b> |
| Business-type activities:                                    |                            |
| Electric                                                     | \$ 1,611,841               |
| Water and sewer                                              | 3,283,149                  |
| Gas                                                          | 1,036,445                  |
| Electric charged to other accounts                           | 92,840                     |
| <b>Total depreciation expense - business-type activities</b> | <b><u>\$ 6,024,275</u></b> |

**D. Interfund Receivables, Payables, and Transfers**

All interfund balances were repaid at year end. The following is a summary of transfers during the year ended June 30, 2018:

| Transfers From                          | Transfers To                | Amount                     |
|-----------------------------------------|-----------------------------|----------------------------|
| General Fund                            | Environmental Services Fund | \$ 20,000                  |
| General Fund                            | Capital Projects            | 62,000                     |
| Water and Sewer Fund                    | General Fund                | 517,760                    |
| Gas Fund                                | General Fund                | 338,600                    |
| Electric Fund                           | General Fund                | 778,895                    |
| Total                                   |                             | 1,717,255                  |
| Governmental fund activities eliminated |                             | (82,000)                   |
| <b>Total government-wide</b>            |                             | <b><u>\$ 1,635,255</u></b> |

The purposes of the transfers are noted below:

- The transfer between the general fund and the environmental services fund are for the purpose of funding their post-closure expense commitment related to the Capps Gap landfill.
- The transfer between the general fund and the capital projects fund was related to a called performance bond for infrastructure work at Far Away Hills subdivision.
- The transfers between the proprietary funds and the general fund are for the purpose of transferring in lieu of tax payments

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

**E. Long-term Debt**

General long-term debt at June 30, 2018, is comprised of the following:

**Bonds Payable**

|                                                                                                                                                              |                   |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|
| General Obligation Improvement Bonds, Series 2014, due in annual installments from \$375,000 to \$1,090,000 through January 2034, interest at 2.00% to 5.00% | 12,100,000        |
| General Obligation Bonds, Series 2016, due in annual installments from \$430,000 to \$700,000 through January 2036, interest at 2.00% to 5.00%               | <u>10,140,000</u> |
| Total bonds payable                                                                                                                                          | <u>22,240,000</u> |

**Notes Payable**

|                                                                                                                                                 |                      |
|-------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|
| Capital Outlay Note, Series 2008, due in annual installments From \$355,000 to \$460,000, through January 2019 plus interest at 3.75% to 4.625% | 460,000              |
| Note with Sumner County Board of Education to pay liquor tax collections that should have been transferred as collected in prior years          | <u>89,745</u>        |
| Total notes payable                                                                                                                             | <u>549,745</u>       |
| Total general long-term debt                                                                                                                    | <u>\$ 22,789,745</u> |

The aforementioned bonds and notes are secured by the full faith and credit of the City. During 2018, debt service for the aforementioned debt was provided by the City General Fund.

Long-term debt of the proprietary funds at June 30, 2018, is comprised of the following:

**TVA Winterization Contracts**

|                                                                                                                                                             |         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| Loans from TVA for home weatherization loans made by the Electric Department to customers, paid annually over a 10 year period, at interest of 6.0% to 8.0% | 117,448 |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|

**Bonds Payable**

|                                                                                                                                                                              |                  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| Water and Sewer Revenue Bonds, Series 2015, due in annual installments from \$500,000 to \$1,825,000 through January 2040, interest at 3.00% to 5.00%                        | 22,570,000       |
| Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014, due in annual installments from \$265,000 to \$570,000 through August 2030, interest at 2.00% to 5.00% | 3,765,000        |
| Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, due in annual installments from \$25,000 to \$635,000 through July 2032, interest at 2.00% to 3.625%   | <u>7,620,000</u> |

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

Total proprietary long-term debt \$ 34,072,448

The aforementioned notes are secured by the full faith and credit of the City. During 2018, debt service for the aforementioned debt was provided solely by the City's Proprietary Funds.

The annual requirements, by type of issue, to amortize all long-term debt outstanding except accrued annual leave, OPEB liability, and Net Pension Liability at June 30, 2018, are as follows:

| Year<br>Ending<br>June 30, | Electric Department |                  | Notes             |                  | Bonds                |                      | Total                |                      |
|----------------------------|---------------------|------------------|-------------------|------------------|----------------------|----------------------|----------------------|----------------------|
|                            | Notes               |                  | Notes             |                  | Bonds                |                      | Total                |                      |
|                            | Principal           | Interest         | Principal         | Interest         | Principal            | Interest             | Principal            | Interest             |
| 2019                       | \$ 35,037           | \$ 6,312         | \$ 549,745        | \$ 21,276        | \$ 3,065,000         | \$ 2,113,236         | \$ 3,649,782         | \$ 2,140,824         |
| 2020                       | 28,830              | 4,713            | -                 | -                | 3,130,000            | 2,007,156            | 3,158,830            | 2,011,869            |
| 2021                       | 23,016              | 2,432            | -                 | -                | 3,220,000            | 1,894,136            | 3,243,016            | 1,896,568            |
| 2022                       | 15,384              | 1,272            | -                 | -                | 3,295,000            | 1,805,810            | 3,310,384            | 1,807,082            |
| 2023                       | 9,030               | 516              | -                 | -                | 3,385,000            | 1,679,661            | 3,394,030            | 1,680,177            |
| 2024-2028                  | 6,151               | 189              | -                 | -                | 18,175,000           | 6,288,373            | 18,181,151           | 6,288,562            |
| 2029-2033                  | -                   | -                | -                 | -                | 17,480,000           | 2,904,288            | 17,480,000           | 2,904,288            |
| 2034-2038                  | -                   | -                | -                 | -                | 3,855,000            | 445,000              | 3,855,000            | 445,000              |
| 2039                       | -                   | -                | -                 | -                | 590,000              | 32,263               | 590,000              | 32,263               |
|                            | <u>\$ 117,448</u>   | <u>\$ 15,434</u> | <u>\$ 549,745</u> | <u>\$ 21,276</u> | <u>\$ 56,195,000</u> | <u>\$ 19,169,923</u> | <u>\$ 56,862,193</u> | <u>\$ 19,206,633</u> |

Debt expense associated with the above bond issues was recorded as other assets and is being amortized on a straight-line basis over the life of the issue.

All significant debt covenants and restrictions as set forth in the bond agreements were complied with.

Long-term liability activity for the year ended June 30, 2018, was as follows:

|                                  | Beginning<br>Balance | Additions        | Retirements         | Ending<br>Balance    | Due Within<br>One Year |
|----------------------------------|----------------------|------------------|---------------------|----------------------|------------------------|
| <b>Governmental activities:</b>  |                      |                  |                     |                      |                        |
| Notes payable                    | \$ 1,074,490         | \$ -             | \$ 524,745          | \$ 549,745           | \$ 549,745             |
| General obligation bonds         | 23,555,000           | -                | 1,315,000           | 22,240,000           | 1,335,000              |
| Premium on bond issue            | 1,893,435            | -                | 111,917             | 1,781,518            | 113,386                |
| Compensated absences             | 1,513,138            | -                | 37,398              | 1,475,740            | 100,000                |
|                                  | <u>\$ 28,036,063</u> | <u>\$ -</u>      | <u>\$ 1,989,060</u> | <u>\$ 26,047,003</u> | <u>\$ 2,098,131</u>    |
| <b>Business-type activities:</b> |                      |                  |                     |                      |                        |
| Notes payable                    | \$ 124,150           | \$ -             | \$ 124,150          | \$ -                 | \$ -                   |
| TVA winterization contracts      | 192,342              | -                | 74,894              | 117,448              | 35,037                 |
| Revenue and tax bonds            | 35,785,000           | -                | 1,830,000           | 33,955,000           | 1,730,000              |
| Premium on bond issue            | 3,356,633            | -                | 173,626             | 3,183,007            | 173,626                |
| Compensated absences             | 717,495              | 54,257           | -                   | 771,752              | 157,716                |
|                                  | <u>\$ 40,175,620</u> | <u>\$ 54,257</u> | <u>\$ 2,202,670</u> | <u>\$ 38,027,207</u> | <u>\$ 2,096,379</u>    |

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

Within the City's governmental activities, compensated absences are generally liquidated by the general fund.

**Industrial Development Bonds**

The City, through its Industrial Development Board, has in the past authorized issuance of various Industrial Revenue Bonds to provide financial assistance to private sector entities for the acquisition of industrial and commercial facilities deemed to be in the public interest. The bonds are secured by the property financed and payable solely from payments received on the underlying mortgage loans. Neither the City, State, nor any political subdivision thereof is obligated in any manner for repayment of the bonds. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements.

**Advance Refunding of Bonds**

In August 2014 the City issued \$5.46 million in Water and Sewer Revenue Refunding and Improvement Bonds with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including a \$44,654 premium and \$12,704 in issuance costs were used to advance refund \$870 thousand of outstanding Water and Sewer Revenue and Tax bonds Series 2004 with an interest rates ranging from 3.375% to 3.50%. \$874,336 of the net proceeds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds has been removed from the financial statements. This refunding decreases total debt service payments over the next 3 years by an estimated \$33 thousand resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$32 thousand.

In August 2014 the City issued \$14.185 million in General Obligation Refunding and Improvement Bond with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including an \$884,045 premium and \$157,253 in issuance costs were used to advance refund \$5.595 of the \$6.47 million of outstanding General Obligation Public Improvement bonds Series 2007 with interest rates ranging from 3.57% to 5.00%. \$6,098,495 of the net proceeds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds have been removed from the financial statements. This refunding decreases total debt service payments over the next 12 years by an estimated \$284 thousand resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$249 thousand.

In May 2015 the City issued \$25.00 million in Water and Sewer Revenue Refunding Bonds with interest rates ranging from 3.00% to 5.00%. A portion of the proceeds, including a \$2,216,189 premium and \$175,930 in issuance costs were used to advance refund \$22.56 million of outstanding Water and Sewer Revenue and Tax bonds Series 2008 with interest rates ranging from 3.50% to 5.00%. \$22.48 million of the net proceeds plus \$2.68 million of debt service reserve funds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds have been removed from the financial statements. This refunding decreases total debt service payments over the next 12 years by an estimated \$2.15 million resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$1.28 million.

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**

June 30, 2018

In prior years the City has defeased certain bonds by placing the proceeds of new bonds in irrevocable trusts to provide for all future debt service requirement on the retired bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. As of June 30, 2018, outstanding bonds considered as defeased were as follows:

|                                                           |              |
|-----------------------------------------------------------|--------------|
| General Obligation Public Improvement Bonds – Series 2007 | \$ 5,130,000 |
| Water and Sewer Revenue and Tax Bonds – Series 2008       | \$20,010,000 |

**NOTE 5 - OTHER INFORMATION**

**A. Risk Management**

**City of Gallatin**

The City is exposed to various risks of losses related to torts, theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverage. The City joined the Tennessee Municipal League Risk Pool (Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claim history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

**Gallatin Department of Electricity**

Gallatin Electric Department is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. During the year ended June 30, 2018, the Utility purchased commercial insurance for all of the above risks. Settled claims have not exceeded this commercial coverage in any of the past three years and there has been no significant reduction in the amount of coverage.

**B. Commitments**

The City purchases natural gas under various contracts requiring the purchase of minimum quantities of natural gas from suppliers at costs based upon national index prices. Natural gas purchases exceeding the specified minimum quantities are made at the going market value. City management believes any risk associated with the minimum purchase quantities as specified in the aforementioned contracts to be minimal. Further, the City is committed under various natural gas transportation agreements requiring specified minimum transmission capacities.

The City has entered into an agreement with the Sumner County Resource Authority (the Authority), a joint venture between the City, Sumner County, and the City of Hendersonville, TN, which provides that in the event the Authority's revenues are insufficient to cover the costs of operation and debt retirement the County and Cities shall pay such deficit in the proportions of 3/7, 2/7, and 2/7, respectively. These same entities have executed a "contract in Lieu of Performance Bond" with the State of Tennessee for financial assurance of the closure and post closure costs of the landfill should the Authority be unable to do so.

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

The authority operates primarily as a solid waste transfer station. The City utilizes the Authority for solid waste disposal purposes at essentially the same cost per ton as in prior years. There is uncertainty as to the future operations of the Authority, as well as, the costs relative to the change in operations, or possible dissolution.

The Authority as of June 30, 2018, which is the latest available financial statement date, has net investment in capital assets in the amount of \$1,427,381 and an unrestricted net deficit of (\$147,062) as compared to \$1,388,162 and (\$1,282,276) for the year 2017. During 2018, the City provided deficit funding in the amount of \$0 and paid the Resource Authority \$591,193 in tipping fees for solid waste.

**C. Contingent Liabilities**

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; although, the City's management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, although, legal counsel does not expect any possible liability to exceed the City's limits of insurance.

**D. Power Contract**

The Utility has a power contract with the Tennessee Valley Authority (TVA); whereby, the electric system purchases all its electric power from TVA and is subject to certain restrictions and conditions as provided for in the power contract. Such restrictions include, but are not limited to, prohibitions against furnishings, advancing, lending, pledging, or otherwise diverting System funds, revenues, or property to other operations of the county and the purchase or payment of or providing security for indebtedness on other obligations applicable to such other operations.

**E. Employee Retirement Systems and Pension Plans**

**City of Gallatin**

***Plan description***

The City (exclusive of the electric utility) participates in the State of Tennessee 401k plan (the plan) with a Roth option. Employees of the City's Municipal Service departments, Water and Sewer Utility Fund, and Natural Gas Utility Fund are eligible to participate in the Plan. The Plan assets are not held by the City and the City does not exercise a trustee responsibility over such assets nor does the City actively participate in the Plan's management or administration, which is delegated to the City of Gallatin Pension Committee. The Pension Committee has designated Retire Ready TN as a third-party administrator. Accordingly, the City does not meet the criteria necessary for presentation of the Plan as a fiduciary fund of the City.

***Funding policy***

The City's Plan allows employees to make tax deferred contributions into self-directed investments of as much as allowable under the Internal Revenue Code. During the fiscal year, the City contributed 5% of the employee's annual compensation and matched up to an additional 4% of the employee's contribution. Employees are not eligible to participate until after one year of

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**

June 30, 2018

employment. The vesting of employer contributions increases from 20% in year 1, with 20% annual increases until contributions are 100% vested after 5 years in the plan. If an employee leaves employment before the vesting period is complete, the forfeiture is put into a forfeiture account that can be used to pay expenses related to the plan. The City had no forfeitures in 2018. At calendar year-end, any unused forfeitures are distributed pro-rata to the other members of the plan.

***Annual pension cost***

The City's maximum contribution to the Plan is defined as up to 9% of an eligible employee's annual compensation. The City contributed \$1,466,658 on behalf of the employees during calendar year 2018.

**Gallatin Department of Electricity**

***Plan description***

The Gallatin Department of Electricity Employee's Pension Plan is a single-employer defined benefit pension plan administered by the Gallatin Electric Power Board. The Electric Plan provides retirement, disability, and death benefits to the Electric Plan members and their beneficiaries. While the Electric Plan covers substantially all Department employees, it was closed to new entrants effective 3/1/2016. The authority to establish and amend benefit provisions of the Electric Plan is assigned to the Gallatin Electric Power Board. The Electric Plan issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 615-452-5152.

***Plan membership***

At June 30, 2016 the plan membership consisted of:

|                                                                  |          |
|------------------------------------------------------------------|----------|
| Inactive employees or beneficiaries currently receiving benefits | 16       |
| Inactive employees entitled to but not yet receiving benefits    | 5        |
| Active employees                                                 | 29       |
|                                                                  | <hr/> 50 |

***Funding policy***

The contribution requirements of the Electric Plan members and the department are established and may be amended by the Gallatin Electric Power Board. Electric Plan members are required to contribute 3% of their annual covered salary. The Department is required to contribute at an actuarially determined rate. The current rate is 20.41% of annual covered payroll. The Department contributed \$1,040,000 applicable to FY 2017, of which \$1,040,000 was contributed by end of the fiscal year.

***Net Pension Liability***

The Electric Department's net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date.

***Actuarial assumptions***

The actuarial assumptions used to determine the net pension liability as of June 30, 2017 were as follows:

# CITY OF GALLATIN, TENNESSEE

## NOTES TO FINANCIAL STATEMENTS

June 30, 2018

|                                    |                                               |
|------------------------------------|-----------------------------------------------|
| Social Security Wage Base Increase | 2.50 percent per year                         |
| Salary Increases                   | 4.00 percent per year                         |
| Investment rate of return          | 7.00 percent, compounded annually             |
| Cost of Living                     | 1.50 percent per year of orig. benefit amount |

Mortality rates were based on the SOA RP-2014 Total Data Set with projection MP-2016.

The long-term expected rate of return on pension plan investment was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

| Asset Class                | Target Allocation | Long-Term Expected Real Rate of Return |
|----------------------------|-------------------|----------------------------------------|
| B/C Intrm US Govt/Cr Index | Up to 60%         | 2.66%                                  |
| S&P 500 Index              | Up to 40%         | 7.75%                                  |

### **Discount Rate**

The discount rate used to measure the total pension liability was 7.0 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that GDE contributions will be made at rates equal to the difference between actuarially determined contribution rates and the employee rate. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

| <u>Changes in Net Pension Liability</u>    |                               |                             |                             |
|--------------------------------------------|-------------------------------|-----------------------------|-----------------------------|
|                                            | Increase (Decrease)           |                             |                             |
|                                            | Total Pension Liability (TPL) | Plan Fiduciary Net Position | Net Pension Liability (NPL) |
|                                            | (a)                           | (b)                         | (a) - (b)                   |
| <b>Balances of 6/30/16</b>                 | \$ 9,847,345                  | \$ 7,131,105                | \$ 2,716,240                |
| Changes for the year:                      |                               |                             |                             |
| Service Cost                               | 177,907                       | -                           | 177,907                     |
| Interest                                   | 685,170                       | -                           | 685,170                     |
| Difference in expected & actual experience | (295,965)                     | -                           | (295,965)                   |
| Contributions - Employer                   | -                             | 1,040,000                   | (1,040,000)                 |
| Contributions - Employee                   | -                             | 62,487                      | (62,487)                    |
| Net Investment Income                      | -                             | 663,332                     | (663,332)                   |
| Benefit payments                           | (482,369)                     | (482,369)                   | -                           |
| Change of assumptions                      | -                             | -                           | -                           |
| Administrative expense                     | -                             | (39,030)                    | 39,030                      |
| <b>Net Changes</b>                         | <b>84,743</b>                 | <b>1,244,420</b>            | <b>(1,159,677)</b>          |
| <b>Balances as of 6/30/17</b>              | <b>\$ 9,932,088</b>           | <b>\$ 8,375,525</b>         | <b>\$ 1,556,563</b>         |

### **Sensitivity of the Net Pension Liability to Changes in the Discount Rate**

The following presents the net pension liability of GDE, calculated using the discount rate of 7.0 percent, as well as what GDE's net pension liability would be if it were calculated using a discount



**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**

June 30, 2018

rate that is 1-percentage-point lower (6.0 percent) of 1-percentage-point higher (8.0 percent) than the current rate:

|                             | <u>1% Decrease</u> | <u>Current Rate</u> | <u>1% Increase</u> |
|-----------------------------|--------------------|---------------------|--------------------|
| Interest Rate               | 6.00%              | 7.00%               | 8.00%              |
| Total Pension Liability     | \$ 11,178,256      | \$ 9,932,088        | \$ 8,883,607       |
| Plan Fiduciary Net Position | \$ 8,375,525       | \$ 8,375,525        | \$ 8,375,525       |
| Net Pension Liability       | \$ 2,802,731       | \$ 1,556,563        | \$ 508,082         |

| <u>Pension Expense</u>                          | <u>2017</u>       |
|-------------------------------------------------|-------------------|
| <b>Components of Pension Expense</b>            |                   |
| Service Cost                                    | \$ 177,907        |
| Interest on TPL                                 | 685,170           |
| Difference between Expected & Actual Experience | (40,220)          |
| Change of Assumptions                           | 18,207            |
| Employee Contributions                          | (62,487)          |
| Projected Earnings on Assets                    | (519,171)         |
| Difference between Expected & Actual Earnings   | 54,536            |
| Pension Plan administrative expense             | 39,030            |
| Total Expense                                   | <u>\$ 352,972</u> |

The total expense represents the amount of pension expense recognized in the FY 2018 financial statements.

***Deferred Outflow of Resources and Deferred Inflow of Resources***

For the year ended June 30, 2018, the Department reported balances in deferred outflow of resources and deferred inflow of resources related to pension from the following sources:

|                                                                                | <u>Deferred Outflow<br/>of Resources</u> | <u>Deferred Inflow of<br/>Resources</u> |
|--------------------------------------------------------------------------------|------------------------------------------|-----------------------------------------|
| Differences between expected and actual experience                             | \$ 15,128                                | \$ 253,805                              |
| Change of assumptions                                                          | 653,920                                  | 337,332                                 |
| Difference between expected and actual earnings<br>on pension plan investments | 311,128                                  | 158,398                                 |
| <b>Totals to be amortized</b>                                                  | 980,176                                  | 749,535                                 |
| Contributions made subsequent to the measurement date                          | 800,000                                  | -                                       |
|                                                                                | <u>\$ 1,780,176</u>                      | <u>\$ 749,535</u>                       |

Amount reported as deferred outflow of resources and deferred inflow of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

|            |           |
|------------|-----------|
| 2018       | \$ 32,524 |
| 2019       | 75,593    |
| 2020       | 7,407     |
| 2021       | (50,846)  |
| 2022       | (22,013)  |
| Thereafter | 187,976   |

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**

June 30, 2018

**F. Other Post Employment Benefits**

***Gallatin Department of Electricity***

***Plan Description***

The Electric Fund Post Retirement Medical Plan ("PRMP is a single employer defined benefit plan administered by the department). The Plan provides supplemental health insurance premium reimbursements to eligible retirees. The criteria to determine eligibility includes years of services and employee age at date of retirement. Eligible retirees may receive up to \$150 per month for reimbursement of their supplemental health insurance premiums. The plan was closed to new entrants effective March 1, 2016. Authority to establish and amend this benefit provision is assigned to the Gallatin Electric Power Board. The PRMP issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 1-615-452-5152.

| <u>Plan membership</u>                             |           |
|----------------------------------------------------|-----------|
| At June 30, 2017 the plan membership consisted of: |           |
| Inactive employees receiving benefits              | 12        |
| Active employees                                   | 30        |
|                                                    | <u>42</u> |

***Total OPEB Liability***

The Electric Department's total OPEB liability of \$472,634 was measured as of June 30, 2017 by applying projections to roll forward the actuarial valuation dated July 1, 2016.

***Actuarial assumptions and other inputs***

The total OPEB liability in the July 1, 2016 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

|                             |                                   |
|-----------------------------|-----------------------------------|
| Inflation                   | 2.0 percent per year              |
| Salary increases            | 2.5 percent per year              |
| Discount rate               | 3.58 percent, as of June 30, 2017 |
| Healthcare cost trend rates | None assumed                      |
| Participation rate          | 100 percent assumed               |

The discount rate was based on the Bond Buyer's 20-year Bond Index.

Mortality rates were based on the RP-2014 fully generational mortality table for males and females, with improvement scale MP-2016.

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

Changes in Total OPEB Liability

|                                            | Total OPEB Liability |
|--------------------------------------------|----------------------|
| <b>Balances of 6/30/16</b>                 | \$ 516,997           |
| Changes for the year:                      |                      |
| Service Cost                               | 9,220                |
| Interest                                   | 14,641               |
| Difference in expected & actual experience | 3,563                |
| Benefit payments                           | (25,113)             |
| Change of assumptions                      | (46,674)             |
| <b>Net Changes</b>                         | <b>(44,363)</b>      |
| <b>Balances as of 6/30/17</b>              | <b>\$ 472,634</b>    |

Changes of assumptions and other inputs reflect a change in the discount rate from 2.85% as of June 30, 2016 to 3.58% as of June 30, 2017.

***Sensitivity of the Total OPEB Liability to changes in the Discount Rate***

The following presents the total OPEB liability of the Department, as well as what the Department's total OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (2.58 percent) or one percentage point higher (4.58 percent) than the current discount rate:

| Sensitivity of Total OPEB Liability to Changes in the Discount Rate<br>at June 30, 2017 |             |              |             |
|-----------------------------------------------------------------------------------------|-------------|--------------|-------------|
|                                                                                         | 1% Decrease | Current Rate | 1% Increase |
| Interest Rate                                                                           | 2.58%       | 3.58%        | 4.58%       |
| Total OPEB Liability                                                                    | \$ 538,341  | \$ 472,634   | \$ 418,405  |

***OPEB Expense and Deferred Outflows and Deferred Inflows of Resources***

For the year ended June 30, 2017, the Department had OPEB expense of \$18,584. At June 30, 2017, the Department had deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

|                                                       | Deferred Outflow of<br>Resources | Deferred Inflow of<br>Resources |
|-------------------------------------------------------|----------------------------------|---------------------------------|
| Differences between expected and actual experience    | \$ 3,127                         | \$ -                            |
| Change of assumptions                                 | -                                | 40,961                          |
| <b>Totals to be amortized</b>                         | <b>3,127</b>                     | <b>40,961</b>                   |
| Contributions made subsequent to the measurement date | 15,914                           | -                               |
|                                                       | <b>\$ 19,041</b>                 | <b>\$ 40,961</b>                |

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

|                     |            |
|---------------------|------------|
| Year ended June 30: |            |
| 2018                | \$ (5,277) |
| 2019                | (5,277)    |
| 2020                | (5,277)    |
| 2021                | (5,277)    |
| 2022                | (5,277)    |
| Thereafter          | (11,449)   |

**G. Defined Contribution Plan**

***Gallatin Department of Electricity***

***Plan Description***

The Electric Department entered into an agreement with the State of Tennessee to participate in the State of Tennessee Deferred Compensation Plan II – 401(k) Defined Contribution Plan with a ROTH option effective 3/1/2016. The Plan will be administered by the Treasurer for the State of Tennessee which has an agreement with Empower Retirement for the enrollment, deferrals, advisory services and many other administrative aspects. The Plan assets are not held by the Department and the Department does not exercise a trustee responsibility over such assets. This will be the only plan offered to employees hired after 3/1/2016 and will also be available to those employees hired before 3/1/2016 on a voluntary basis.

***Funding Policy***

The Plan allows employees to make tax deferred contributions into self-directed investments as much as allowable under the Internal Revenue Code. For employees hired after 3/1/2016, the Department will match 200% of Participant elective deferrals of up to 5% of Compensation. The vested interest of each participant, with respect to matching contributions, will be as follows:

20% after one year of service  
40% after two years of service  
60% after three years of service  
80% after four years of service  
100% after five years of service

Any forfeitures will be used first to reduce the employer's matching contributions and then to offset plan expenses. As of June 30, 2018, there have been no forfeitures. For employees hired before 3/1/2016, they can make elective deferrals into the plan with no matching contribution from the Department.

***Annual Cost***

The Department's maximum contribution to the Plan is defined as up to 10% of an eligible employee's annual compensation. The Department contributed \$18,732 on behalf of the eligible employees during the fiscal year ended June 30, 2018. There were no outstanding contributions at June 30, 2018.

**H. Tax Abatements**

The City negotiates property tax abatement agreements on an individual basis. The City has tax abatement agreements with several companies in the current fiscal year:

**CITY OF GALLATIN, TENNESSEE**  
**NOTES TO FINANCIAL STATEMENTS**  
June 30, 2018

| <b>Entity and Terms</b>                                                                                                                                                                                                                                                                                         | <b>Percentage of Taxes Abated During<br/>Year Ended June 30, 2018</b> | <b>Amount of Taxes Abated during<br/>Year Ended June 30, 2018</b> |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|-------------------------------------------------------------------|
| NHC Healthcare- Sumner LLC - Effective May 2016 with a 100% real and personal property tax reduction; Real property tax abatement reduces by 10% annually from 2018 - 2021, 20% annually from 2022-2024, which will result in a full property tax payment while personal property tax will be zero through 2018 | 100% Real and Personal Property                                       | 87,439                                                            |
| American Colors, Inc. - Effective December 28, 2015 with a 100% real and personal property tax reduction; Real property tax abatement changes to 50% abatement for tax years 2017 & 2018, 20% in 2019, and no abatement in 2020.                                                                                | 100% Real and Personal Property                                       | 9,324                                                             |
| Bradford Company - Effective April 13, 2016 with a 100% real and personal property tax reduction; Real property changes to 50% in 2019 - 2020, 40% in 2021, 30% in 2022, 20% in 2023, and no abatements thereafter; Personal property taxes is 30% in 2019 and no abatements thereafter.                        | 100% Real and Personal Property                                       | 10,213                                                            |

**I. Restatement of Beginning Net Position – Implementation of GASB Statement 75**

A restatement was necessary with the implementation of GASB Statement 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. The net OPEB liability attributable to periods prior to 7/1/2016 was determined to be \$516,997. With this implementation, an adjustment was also necessary to reflect any employer contributions made to the plan since the beginning of the measurement period which was July 1, 2016 through June 30, 2017. The contributions made during fiscal year 2017 was \$25,112. Prior to the implementation of GASB 75, the Department reported OPEB according to GASB 45 and had a liability recorded for \$135,428. Therefore, the net adjustment for the GASB 75 implementation was \$356,457. This amount was recorded as a restatement to fiscal year 2018 beginning net position.

**J. Prior Period Adjustment**

As of June 30, 2018, a prior period adjustment was made in the Water & Sewer fund's capital assets. There were \$6,551,810 of capital assets that had not been depreciating in the Distribution System. Upon further investigation, these were assets that were fully depreciated before the system conversion almost a decade ago. These assets were adjusted to being fully depreciated through a prior period adjustment of \$6,551,810.

## **REQUIRED SUPPLEMENTARY INFORMATION**

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF CHANGES IN THE PLAN'S NET PENSION LIABILITY**  
**AND RELATED RATIOS - ELECTRIC DEPARTMENT**  
June 30, 2018

|                                                                              | 2017                | 2016                | 2015                |
|------------------------------------------------------------------------------|---------------------|---------------------|---------------------|
| <b>Total Pension Liability</b>                                               |                     |                     |                     |
| Service Cost                                                                 | \$ 177,907          | \$ 165,004          | \$ 160,612          |
| Interest                                                                     | 685,170             | 659,028             | 652,294             |
| Changes of benefit terms                                                     | -                   | -                   | -                   |
| Differences between expected & actual experience                             | (295,965)           | -                   | -                   |
| Changes of assumptions                                                       | -                   | (468,590)           | -                   |
| Benefit payments / refunds                                                   | (482,369)           | (445,233)           | (403,705)           |
| Net change in Total Pension Liability                                        | 84,743              | (89,791)            | 409,201             |
| Total Pension Liability - beginning                                          | 9,847,345           | 9,937,136           | 9,527,935           |
| Total Pension Liability - ending (a)                                         | <u>\$ 9,932,088</u> | <u>\$ 9,847,345</u> | <u>\$ 9,937,136</u> |
| <b>Plan Fiduciary Net Position</b>                                           |                     |                     |                     |
| Contributions - Employer                                                     | \$ 1,040,000        | \$ 666,994          | \$ 385,256          |
| Contributions - Member                                                       | 62,487              | 65,855              | 61,065              |
| Net investment income                                                        | 663,332             | 185,887             | 118,499             |
| Benefit payments / refunds                                                   | (482,369)           | (445,233)           | (403,705)           |
| Administrative expense                                                       | (39,030)            | (34,134)            | (32,684)            |
| Other                                                                        | -                   | -                   | -                   |
| Net change in fiduciary net position                                         | 1,244,420           | 439,369             | 128,431             |
| Plan fiduciary net position - beginning                                      | 7,131,105           | 6,691,736           | 6,563,305           |
| Plan fiduciary net position - ending (b)                                     | <u>\$ 8,375,525</u> | <u>\$ 7,131,105</u> | <u>\$ 6,691,736</u> |
| Plan's net pension liability - ending (a) - (b)                              | \$ 1,556,563        | \$ 2,716,240        | \$ 3,245,400        |
| Plan's fiduciary net position as a percentage of the total pension liability | 84.33%              | 72.42%              | 67.34%              |
| Covered-employee payroll                                                     | \$ 2,043,550        | \$ 2,030,845        | \$ 1,952,736        |
| Plan's net pension liability as a percentage of covered-employee payroll     | 76.17%              | 133.75%             | 166.20%             |

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF CONTRIBUTIONS**  
**LAST TEN FISCAL YEARS**  
**ELECTRIC DEPARTMENT**  
June 30, 2018

|                                                                  | 2018       | 2017       | 2016       | 2015       | 2014       | 2013       | 2012       | 2011       | 2010       | 2009       |
|------------------------------------------------------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
| Actuarially determined contributions                             | \$ 417,159 | \$ 417,159 | \$ 385,256 | \$ 385,256 | \$ 257,050 | \$ 272,060 | \$ 276,205 | \$ 269,919 | \$ 265,701 | \$ 216,100 |
| Contributions in relation to actuarially determined contribution | 800,000    | 1,040,000  | 666,994    | 385,256    | 257,050    | 272,060    | 276,205    | 269,919    | 265,701    | 216,100    |
| Contribution deficiency (excess)                                 | (382,841)  | (622,841)  | (281,738)  | -          | -          | -          | -          | -          | -          | -          |
| Covered-employee payroll                                         | 1,958,148  | 2,043,550  | 2,030,845  | 1,952,736  | 1,960,720  | 1,968,593  | 1,998,592  | 1,953,105  | 1,922,583  | 1,696,231  |
| Contributions as a percentage of covered payroll                 | 40.85%     | 50.89%     | 32.84%     | 19.73%     | 13.11%     | 13.82%     | 13.82%     | 13.82%     | 13.82%     | 12.74%     |

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule3 is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

Notes to Schedule

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which contributions are reported.

Methods and assumptions used to determine contribution rates:

|                               |                                                                                                            |
|-------------------------------|------------------------------------------------------------------------------------------------------------|
| Actuarial cost method         | Entry age normal level dollar                                                                              |
| Amortization method           | Level dollar                                                                                               |
| Remaining amortization period | 24                                                                                                         |
| Asset valuation method        | Fair market value                                                                                          |
| Inflation                     | 2.00%                                                                                                      |
| Salary increases              | 4.00%                                                                                                      |
| Investment rate of return     | 7.00%                                                                                                      |
| Retirement age                | Normal retirement age is 65; it is assumed early retirement occurs according to the withdrawal rate table. |
| Mortality                     | SOA RP-2014 Total Dataset Adjusted to 2006 with Scale MP-2016                                              |

*See independent auditor's report.*



**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF CHANGES IN THE TOTAL OPEB LIABILITY AND RELATED RATIOS -**  
**ELECTRIC**  
June 30, 2018

|                                                    | <u>2017</u>              |
|----------------------------------------------------|--------------------------|
| <b>Total OPEB liability</b>                        |                          |
| Service cost                                       | \$ 9,220                 |
| Interest                                           | 14,641                   |
| Changes of benefit terms                           | -                        |
| Differences between expected and actual experience | 3,563                    |
| Changes of assumptions or other inputs             | (46,674)                 |
| Benefit payments                                   | <u>(25,113)</u>          |
| <b>Net change in total OPEB liability</b>          | (44,363)                 |
| <b>Total OPEB liability - beginning</b>            | <u>516,997</u>           |
| <b>Total OPEB liability - ending</b>               | <u><u>\$ 472,634</u></u> |

Notes to Schedule:

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

|      |       |
|------|-------|
| 2016 | 2.85% |
| 2017 | 3.58% |

*See independent auditor's report.*

## **SUPPLEMENTARY AND OTHER INFORMATION SECTION**

## **NONMAJOR GOVERNMENTAL FUNDS**

### **SPECIAL REVENUE FUNDS:**

Special Revenue Funds account for specific revenues that are legally restricted to expenditure purposes. The Special Revenue Funds are:

Special Services Fund - To account for sex offender registry payments that are used for specific purposes and private donations to be used for the "Shop with a Cop" Christmas program.

Drug Fund - To account for the resources used for the operation of drug enforcement activities by the City.

Environmental Services Fund - To account for the resources used for the garbage collection activities by the City.

### **INDUSTRIAL DEVELOPMENT BOARD**

The Industrial Development Board is used to account for economic development activity in the City.

### **PERMANENT FUNDS:**

Permanent Funds account for specific revenues for which the corpus of the donation are restricted by external donors. The Permanent Funds are:

Thomas Witherspoon Fund - To account for a donation that was received to make loans to graduating seniors to be used for college.

Cemetery Trust Fund - To account for donations that were received to maintain the cemetery in perpetuity.

**CITY OF GALLATIN, TENNESSEE  
COMBINING BALANCE SHEET  
OTHER GOVERNMENTAL FUNDS**

June 30, 2018

|                                                                            | <b>Special Revenue Funds</b> |                  |                               | <b>Industrial</b>        | <b>Permanent Funds</b>    |                       |                     |
|----------------------------------------------------------------------------|------------------------------|------------------|-------------------------------|--------------------------|---------------------------|-----------------------|---------------------|
|                                                                            | <b>Special Services</b>      | <b>Drug</b>      | <b>Environmental Services</b> | <b>Development Board</b> | <b>Thomas Witherspoon</b> | <b>Cemetery Trust</b> | <b>Totals</b>       |
| <b>Assets</b>                                                              |                              |                  |                               |                          |                           |                       |                     |
| Cash and cash equivalents                                                  | \$ 2,667,402                 | \$ 17,431        | \$ 856,782                    | \$ 104,287               | \$ 248,012                | \$ 7,678              | \$ 3,901,592        |
| Investments                                                                | -                            | -                | -                             | -                        | -                         | 21,025                | 21,025              |
| Receivables:                                                               |                              |                  |                               |                          |                           |                       |                     |
| Accounts                                                                   | -                            | -                | 76,731                        | -                        | -                         | -                     | 76,731              |
| Interest                                                                   | -                            | -                | -                             | -                        | 11,080                    | 129                   | 11,209              |
| Other                                                                      | -                            | -                | -                             | -                        | 152,296                   | -                     | 152,296             |
| Inventory                                                                  | -                            | -                | 14,168                        | -                        | -                         | -                     | 14,168              |
| <b>Total assets</b>                                                        | <b>\$ 2,667,402</b>          | <b>\$ 17,431</b> | <b>\$ 947,681</b>             | <b>\$ 104,287</b>        | <b>\$ 411,388</b>         | <b>\$ 28,832</b>      | <b>\$ 4,177,021</b> |
| <b>Liabilities, deferred inflows of resources, and fund balances</b>       |                              |                  |                               |                          |                           |                       |                     |
| Liabilities                                                                |                              |                  |                               |                          |                           |                       |                     |
| Accounts payable                                                           | \$ -                         | \$ 147           | \$ 84,480                     | \$ -                     | \$ -                      | \$ -                  | \$ 84,627           |
| Unearned evidence funds                                                    | 47,977                       | -                | -                             | -                        | -                         | -                     | 47,977              |
| Performance deposits                                                       | 2,606,511                    | -                | -                             | -                        | -                         | -                     | 2,606,511           |
| Total liabilities                                                          | 2,654,488                    | 147              | 84,480                        | -                        | -                         | -                     | 2,739,115           |
| Fund balances                                                              |                              |                  |                               |                          |                           |                       |                     |
| Nonspendable:                                                              |                              |                  |                               |                          |                           |                       |                     |
| Funds held in trust                                                        | -                            | -                | -                             | -                        | 15,000                    | 21,025                | 36,025              |
| Inventory                                                                  | -                            | -                | 14,168                        | -                        | -                         | -                     | 14,168              |
| Restricted:                                                                |                              |                  |                               |                          |                           |                       |                     |
| Funds held in trust                                                        | -                            | -                | -                             | -                        | 396,388                   | -                     | 396,388             |
| Environmental services                                                     | -                            | -                | 849,033                       | -                        | -                         | -                     | 849,033             |
| Economic development                                                       | -                            | -                | -                             | 104,287                  | -                         | -                     | 104,287             |
| Drug enforcement                                                           | -                            | 17,284           | -                             | -                        | -                         | -                     | 17,284              |
| Assigned for:                                                              |                              |                  |                               |                          |                           |                       |                     |
| Police special projects                                                    | 12,914                       | -                | -                             | -                        | -                         | -                     | 12,914              |
| Cemetery use                                                               | -                            | -                | -                             | -                        | -                         | 7,807                 | 7,807               |
| Total fund balances                                                        | 12,914                       | 17,284           | 863,201                       | 104,287                  | 411,388                   | 28,832                | 1,437,906           |
| <b>Total liabilities, deferred inflows of resources, and fund balances</b> | <b>\$ 2,667,402</b>          | <b>\$ 17,431</b> | <b>\$ 947,681</b>             | <b>\$ 104,287</b>        | <b>\$ 411,388</b>         | <b>\$ 28,832</b>      | <b>\$ 4,177,021</b> |

See independent auditor's report.

**CITY OF GALLATIN, TENNESSEE**  
**COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES**  
**OTHER GOVERNMENTAL FUNDS**  
For the Fiscal Year Ended June 30, 2018

|                                                                  | <b>Special Revenue Funds</b> |                         |                               | <b>Industrial</b>        | <b>Permanent Funds</b>    |                         |                            |
|------------------------------------------------------------------|------------------------------|-------------------------|-------------------------------|--------------------------|---------------------------|-------------------------|----------------------------|
|                                                                  | <b>Special Services</b>      | <b>Drug</b>             | <b>Environmental Services</b> | <b>Development Board</b> | <b>Thomas Witherspoon</b> | <b>Cemetery Trust</b>   | <b>Totals</b>              |
| <b>Revenues</b>                                                  |                              |                         |                               |                          |                           |                         |                            |
| Charges for services                                             | \$ -                         | \$ -                    | \$ 2,018,864                  | \$ -                     | \$ -                      | \$ -                    | \$ 2,018,864               |
| Fines and forfeitures                                            | 3,450                        | 112,764                 | -                             | -                        | -                         | -                       | 116,214                    |
| Other                                                            | 22,830                       | -                       | 54,011                        | 101,696                  | 10,598                    | 1,410                   | 190,545                    |
| Total revenues                                                   | <u>26,280</u>                | <u>112,764</u>          | <u>2,072,875</u>              | <u>101,696</u>           | <u>10,598</u>             | <u>1,410</u>            | <u>2,325,623</u>           |
| <b>Expenditures</b>                                              |                              |                         |                               |                          |                           |                         |                            |
| Current                                                          |                              |                         |                               |                          |                           |                         |                            |
| Public safety                                                    | 29,333                       | 76,338                  | -                             | -                        | -                         | -                       | 105,671                    |
| Environmental services                                           | -                            | -                       | 1,921,514                     | -                        | -                         | -                       | 1,921,514                  |
| Economic development                                             | -                            | -                       | -                             | 5,239                    | -                         | -                       | 5,239                      |
| Capital outlay                                                   | -                            | 129,021                 | -                             | -                        | -                         | -                       | 129,021                    |
| Total expenditures                                               | <u>29,333</u>                | <u>205,359</u>          | <u>1,921,514</u>              | <u>5,239</u>             | <u>-</u>                  | <u>-</u>                | <u>2,161,445</u>           |
| <b>Excess (deficiency) of revenues over (under) expenditures</b> | <u><b>(3,053)</b></u>        | <u><b>(92,595)</b></u>  | <u><b>151,361</b></u>         | <u><b>96,457</b></u>     | <u><b>10,598</b></u>      | <u><b>1,410</b></u>     | <u><b>164,178</b></u>      |
| <b>Other financing sources (uses)</b>                            |                              |                         |                               |                          |                           |                         |                            |
| Transfers to/from other funds                                    | -                            | -                       | 20,000                        | -                        | -                         | -                       | 20,000                     |
| Total other financing sources (uses)                             | <u>-</u>                     | <u>-</u>                | <u>20,000</u>                 | <u>-</u>                 | <u>-</u>                  | <u>-</u>                | <u>20,000</u>              |
| <b>Net changes in fund balances</b>                              | <u><b>(3,053)</b></u>        | <u><b>(92,595)</b></u>  | <u><b>171,361</b></u>         | <u><b>96,457</b></u>     | <u><b>10,598</b></u>      | <u><b>1,410</b></u>     | <u><b>184,178</b></u>      |
| Fund balance - beginning                                         | <u>15,967</u>                | <u>109,879</u>          | <u>691,840</u>                | <u>7,830</u>             | <u>400,790</u>            | <u>27,422</u>           | <u>1,253,728</u>           |
| <b>Fund balance - ending</b>                                     | <u><b>\$ 12,914</b></u>      | <u><b>\$ 17,284</b></u> | <u><b>\$ 863,201</b></u>      | <u><b>\$ 104,287</b></u> | <u><b>\$ 411,388</b></u>  | <u><b>\$ 28,832</b></u> | <u><b>\$ 1,437,906</b></u> |

See independent auditor's report.

**CITY OF GALLATIN, TENNESSEE**  
**SPECIAL SERVICES FUND**  
**SCHEDULE OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                    | <b>Budgeted Amounts</b> |                   |                  | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|------------------------------------|-------------------------|-------------------|------------------|------------------------------------------------------------|
|                                    | <b>Original</b>         | <b>Final</b>      | <b>Actual</b>    |                                                            |
| <b>Revenues</b>                    |                         |                   |                  |                                                            |
| Fines and forfeitures:             |                         |                   |                  |                                                            |
| Sex offender registry              | \$ 5,000                | \$ 5,000          | \$ 3,450         | \$ (1,550)                                                 |
| Other:                             |                         |                   |                  |                                                            |
| Donations                          | 20,000                  | 20,000            | 22,812           | 2,812                                                      |
| Interest                           | -                       | -                 | 18               | 18                                                         |
| Total revenues                     | <u>25,000</u>           | <u>25,000</u>     | <u>26,280</u>    | <u>1,280</u>                                               |
| <b>Expenditures</b>                |                         |                   |                  |                                                            |
| Public safety:                     |                         |                   |                  |                                                            |
| Police:                            |                         |                   |                  |                                                            |
| Current:                           |                         |                   |                  |                                                            |
| Office supplies                    | 5,000                   | 5,000             | 1,186            | (3,814)                                                    |
| Grants and donations               | <u>20,000</u>           | <u>28,150</u>     | <u>28,147</u>    | <u>(3)</u>                                                 |
| Total expenditures                 | <u>25,000</u>           | <u>33,150</u>     | <u>29,333</u>    | <u>(3,817)</u>                                             |
| <b>Net changes in fund balance</b> | <b>\$ -</b>             | <b>\$ (8,150)</b> | <b>(3,053)</b>   | <b>\$ 5,097</b>                                            |
| Fund balance - beginning           |                         |                   | <u>15,967</u>    |                                                            |
| Fund balance - ending              |                         |                   | <u>\$ 12,914</u> |                                                            |

*See independent auditor's report.*

**CITY OF GALLATIN, TENNESSEE**  
**DRUG FUND**  
**SCHEDULE OF REVENUES, EXPENDITURES, AND**  
**CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                    | <b>Budgeted Amounts</b> |                    |                  | <b>Variance with<br/>Final Budget<br/>Over<br/>(Under)</b> |
|------------------------------------|-------------------------|--------------------|------------------|------------------------------------------------------------|
|                                    | <b>Original</b>         | <b>Final</b>       | <b>Actual</b>    |                                                            |
| <b>Revenues</b>                    |                         |                    |                  |                                                            |
| Fines and forfeitures              | \$ 193,000              | \$ 206,000         | \$ 102,436       | \$ (103,564)                                               |
| Interest                           | -                       | -                  | 153              | 153                                                        |
| Contributions                      | -                       | -                  | 10,175           | 10,175                                                     |
| Total revenues                     | <u>193,000</u>          | <u>206,000</u>     | <u>112,764</u>   | <u>(93,236)</u>                                            |
| <b>Expenditures</b>                |                         |                    |                  |                                                            |
| Public safety:                     |                         |                    |                  |                                                            |
| Police:                            |                         |                    |                  |                                                            |
| Current:                           |                         |                    |                  |                                                            |
| Supplies                           | 50,000                  | 63,000             | 63,321           | 321                                                        |
| Noncapital expenditures            | 143,000                 | 179,004            | 13,017           | (165,987)                                                  |
| Capital Outlay                     | -                       | -                  | 129,021          | 129,021                                                    |
| Total expenditures                 | <u>193,000</u>          | <u>242,004</u>     | <u>205,359</u>   | <u>(36,645)</u>                                            |
| <b>Net changes in fund balance</b> | <b>\$ -</b>             | <b>\$ (36,004)</b> | <b>(92,595)</b>  | <b>\$ (56,591)</b>                                         |
| Fund balance - beginning           |                         |                    | <u>109,879</u>   |                                                            |
| Fund balance - ending              |                         |                    | <u>\$ 17,284</u> |                                                            |

*See independent auditor's report.*

**CITY OF GALLATIN, TENNESSEE  
ENVIRONMENTAL SERVICES FUND  
SCHEDULE OF REVENUES, EXPENDITURES, AND  
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**  
For the Fiscal Year Ended June 30, 2018

|                                                             | <u>Budgeted Amounts</u> |                     | <u>Actual</u>     | <u>Variance with<br/>Final Budget<br/>Over<br/>(Under)</u> |
|-------------------------------------------------------------|-------------------------|---------------------|-------------------|------------------------------------------------------------|
|                                                             | <u>Original</u>         | <u>Final</u>        |                   |                                                            |
| <b>Revenues</b>                                             |                         |                     |                   |                                                            |
| Charges for services                                        | \$ 1,950,000            | \$ 1,950,000        | \$ 2,018,864      | \$ 68,864                                                  |
| Other:                                                      |                         |                     |                   |                                                            |
| Sale of supplies                                            | 60,000                  | 60,000              | 52,952            | (7,048)                                                    |
| Miscellaneous                                               | -                       | -                   | 1,059             | 1,059                                                      |
| Total revenues                                              | <u>2,010,000</u>        | <u>2,010,000</u>    | <u>2,072,875</u>  | <u>62,875</u>                                              |
| <b>Expenditures</b>                                         |                         |                     |                   |                                                            |
| Environmental services:                                     |                         |                     |                   |                                                            |
| Current:                                                    |                         |                     |                   |                                                            |
| Salaries                                                    | 583,148                 | 583,148             | 578,395           | (4,753)                                                    |
| Employee benefits and taxes                                 | 253,405                 | 253,405             | 253,254           | (151)                                                      |
| Insurance                                                   | 30,000                  | 30,000              | 39,409            | 9,409                                                      |
| Utilities                                                   | 15,650                  | 15,650              | 18,302            | 2,652                                                      |
| Repairs and maintenance                                     | 61,500                  | 61,500              | 56,987            | (4,513)                                                    |
| Other contractual services                                  | 550,000                 | 875,000             | 714,255           | (160,745)                                                  |
| Supplies                                                    | 8,000                   | 8,000               | 7,494             | (506)                                                      |
| Gas, oil, diesel, etc.                                      | 101,000                 | 101,000             | 78,627            | (22,373)                                                   |
| Supplies for resale                                         | 50,000                  | 50,000              | 46,095            | (3,905)                                                    |
| Natural materials                                           | 75,000                  | 75,000              | 59,129            | (15,871)                                                   |
| Professional services                                       | 67,008                  | 67,008              | 68,750            | 1,742                                                      |
| Miscellaneous                                               | 10,950                  | 10,950              | 817               | (10,133)                                                   |
| Capital outlay                                              | <u>213,000</u>          | <u>213,000</u>      | <u>-</u>          | <u>(213,000)</u>                                           |
| Total expenditures                                          | <u>2,018,661</u>        | <u>2,343,661</u>    | <u>1,921,514</u>  | <u>(422,147)</u>                                           |
| Excess (deficiency) of revenue<br>over (under) expenditures | <u>(8,661)</u>          | <u>(333,661)</u>    | <u>151,361</u>    | <u>485,022</u>                                             |
| <b>Other financing sources (uses)</b>                       |                         |                     |                   |                                                            |
| Transfers in                                                | <u>20,000</u>           | <u>20,000</u>       | <u>20,000</u>     | <u>-</u>                                                   |
| Total other financing sources (uses)                        | <u>20,000</u>           | <u>20,000</u>       | <u>20,000</u>     | <u>-</u>                                                   |
| <b>Net changes in fund balance</b>                          | <u>\$ 11,339</u>        | <u>\$ (313,661)</u> | <u>171,361</u>    | <u>\$ 485,022</u>                                          |
| Fund balance - beginning                                    |                         |                     | <u>691,840</u>    |                                                            |
| Fund balance - ending                                       |                         |                     | <u>\$ 863,201</u> |                                                            |

*See independent auditor's report.*



**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF CHANGES IN PROPERTY TAXES RECEIVABLE**  
For the Fiscal Year Ended June 30, 2017

| <b>Tax Levy<br/>for Year</b>           | <b>Tax<br/>Rate</b> | <b>Tax Levy</b> | <b>Beginning<br/>Outstanding<br/>Taxes</b> | <b>Additions<br/>and<br/>Adjustments</b> | <b>Collections</b>  | <b>Ending<br/>Outstanding<br/>Taxes</b> | <b>Outstanding<br/>Taxes Being<br/>Collected by<br/>Chancery Court</b> |
|----------------------------------------|---------------------|-----------------|--------------------------------------------|------------------------------------------|---------------------|-----------------------------------------|------------------------------------------------------------------------|
| 2017                                   | 0.99                | \$10,827,979    | \$ -                                       | \$ 10,816,990                            | \$10,579,355        | \$ 237,635                              | \$ -                                                                   |
| 2016                                   | 0.99                | 10,619,974      | 507,054                                    | -                                        | 446,857             | 60,197                                  | 60,197                                                                 |
| 2015                                   | 0.99                | 10,090,162      | 210,669                                    | -                                        | 168,503             | 42,166                                  | 42,166                                                                 |
| 2014                                   | 0.99                | 9,610,494       | 67,670                                     | -                                        | 30,144              | 37,526                                  | 37,526                                                                 |
| 2013                                   | 0.99                | 9,546,819       | 45,427                                     | -                                        | 19,794              | 25,633                                  | 25,633                                                                 |
| 2012                                   | 0.99                | 9,413,801       | 30,905                                     | -                                        | 7,189               | 23,716                                  | 23,716                                                                 |
| 2011                                   | 0.99                | 9,438,136       | 27,946                                     | -                                        | 7,133               | 20,813                                  | 20,813                                                                 |
| 2010                                   | 0.99                | 8,947,608       | 26,254                                     | -                                        | 3,014               | 23,240                                  | 23,240                                                                 |
| 2009                                   | 0.99                | 8,655,224       | 32,044                                     | -                                        | 2,479               | 29,565                                  | 29,565                                                                 |
| 2008                                   | 1.12                | 8,154,892       | 37,666                                     | 9,709                                    | -                   | 47,375                                  | 47,375                                                                 |
| 2007                                   | 1.12                | 7,525,767       | 29,418                                     | (29,418)                                 | -                   | -                                       | -                                                                      |
|                                        |                     |                 | <u>\$ 1,015,053</u>                        | <u>\$ 10,797,281</u>                     | <u>\$11,264,468</u> | <u>\$ 547,866</u>                       | <u>\$ 310,231</u>                                                      |
| Above balances represented as follows: |                     |                 |                                            |                                          |                     |                                         |                                                                        |
| Considered current revenue             |                     |                 |                                            |                                          |                     | 32,351                                  |                                                                        |
| Allowance for uncollectible accounts   |                     |                 |                                            |                                          |                     | 316,520                                 |                                                                        |
| Unavailable revenue                    |                     |                 |                                            |                                          |                     | 198,995                                 |                                                                        |
|                                        |                     |                 |                                            |                                          |                     | 547,866                                 |                                                                        |
| 2018 property tax assessment           |                     |                 |                                            |                                          |                     | 11,123,823                              |                                                                        |
| <b>Total taxes receivable</b>          |                     |                 |                                            |                                          |                     | <b>\$ 11,671,689</b>                    |                                                                        |

*See independent auditor's report.*

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF ELECTRIC RATES IN FORCE**  
June 30, 2018

**Residential Rate Schedule:**

|                                                |          |
|------------------------------------------------|----------|
| Customer charge - per delivery point per month | \$ 13.55 |
| Energy charge - cents per kWh                  | 0.08972  |

**General Power Schedule:**

|                                                                     |             |
|---------------------------------------------------------------------|-------------|
| GSA (Demand 0-5,000 kW demand)                                      |             |
| Customer charge - per delivery point per month                      | \$ 16.60    |
| 1. Less than 50kW demand and not more than 15,000 kWh               |             |
| Energy charge - cents per kWh                                       | 0.10172     |
| 2. Between 51 and 1,000 kW demand with energy usage over 15,000 kWh |             |
| Customer charge - per delivery point per month                      | \$ 40.00    |
| Demand charges - per kW per month                                   |             |
| 0-50 kW                                                             | -           |
| More than 50 to 1,000 kW, per kW                                    | 10.34       |
| Energy charge - cents per kWh                                       |             |
| First 15,000 kWh per month                                          | 0.09448     |
| Additional kWh per month                                            | 0.06459     |
| 3. Between 1,001 and 5,000 kW demand                                |             |
| Customer charge - per delivery point per month                      | \$ 150.00   |
| Demand charges - per kW per month                                   |             |
| 0-1,000 kW, per kW                                                  | 10.38       |
| More than 1,000 to 5,000 kW, per kW                                 | 14.41       |
| Energy charge - cents per kWh                                       | 0.06455     |
| GSB (5,001 - 15,000 kW demand)                                      |             |
| Customer charge - per delivery point per month                      | \$ 1,500.00 |
| Demand charges - per kW per month                                   |             |
| Onpeak demand - per kW per month                                    | 10.61       |
| Max Demand - per kW per month                                       | 5.09        |
| Offpeak Excess of Contract Demand - per kW per month                | 10.61       |
| Energy charge:                                                      |             |
| Onpeak kWh                                                          | 0.09255     |
| Offpeak kWh First 200 HUD                                           | 0.06820     |
| Offpeak kWh Next 200 HUD                                            | 0.02296     |
| Additional HUD                                                      | 0.01962     |
| MSB                                                                 |             |
| Customer charge - per delivery point per month                      | \$ 1,500.00 |
| Demand charges - per kW per month                                   |             |
| Onpeak demand - per kW per month                                    | 9.97        |
| Max Demand - per kW per month                                       | 2.18        |
| Offpeak Excess of Contract Demand - per kW per month                | 9.97        |
| Energy charge - cents per kWh                                       |             |
| Onpeak kWh                                                          | 0.07372     |
| Offpeak kWh First 200 HUD                                           | 0.04938     |
| Offpeak kWh Next 200 HUD                                            | 0.02046     |
| Additional HUD                                                      | 0.01798     |

*See independent auditor's report.*

**CITY OF GALLATIN, TENNESEE**  
**SCHEDULE OF ELECTRIC RATES IN FORCE**  
June 30, 2018

**General Power Schedule (Continued):**

|                                                      |    |          |
|------------------------------------------------------|----|----------|
| MSD (Demand over 25,000 kW)                          |    |          |
| Customer charge - per delivery point per month       | \$ | 1,500.00 |
| Demand charges - per kW per month                    |    |          |
| Onpeak demand - per kW per month                     |    | 9.97     |
| Max Demand - per kW per month                        |    | 1.56     |
| Offpeak Excess of Contract Demand - per kW per month |    | 9.97     |
| Energy charge - cents per kWh                        |    |          |
| Onprsk kWh                                           |    | 0.07042  |
| Offpeak kWh first 200 HUD                            |    | 0.04608  |
| Offpeak kWh next 200 HUD                             |    | 0.02019  |
| Additional HUD                                       |    | 0.01962  |
| OUTDOOR LIGHTING                                     |    |          |
| 73 LED                                               | \$ | 10.78    |
| 113 LED                                              |    | 15.70    |
| 100 Watt H.P.S.                                      |    | 9.05     |
| 150 Watt H.P.S.                                      |    | 11.99    |
| 175 Watt M.V.                                        |    | 9.44     |
| 250 Watt H.P.S.                                      |    | 14.96    |
| 400 Watt H.P.S.                                      |    | 18.99    |
| Outdoor lighting kWh                                 |    | 0.06699  |

**Number of customers:**

|                                      | 2018          | 2017          |
|--------------------------------------|---------------|---------------|
| Residential                          | 16,410        | 15,692        |
| Commercial and industrial            | 3,277         | 2,814         |
| Street and athletic fields           | 54            | 54            |
| Individually billed outdoor lighting | 28            | 36            |
|                                      | <u>19,769</u> | <u>18,596</u> |

*See independent auditor's report.*



**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF GAS RATES IN FORCE**  
June 30, 2018

**Residential and commercial - inside city**

|                                        |    |      |
|----------------------------------------|----|------|
| First 200 cubic feet                   | \$ | 3.50 |
| All usage over 200 cubic feet, per ccf |    | 0.84 |

**Residential and commercial - outside city**

|                                        |    |      |
|----------------------------------------|----|------|
| First 200 cubic feet                   | \$ | 3.85 |
| All usage over 200 cubic feet, per ccf |    | 0.92 |

**Industrial**

|                    |    |      |
|--------------------|----|------|
| All usage, per ccf | \$ | 0.84 |
|--------------------|----|------|

**Preferred interruptible**

|                    |    |      |
|--------------------|----|------|
| All usage, per ccf | \$ | 0.57 |
|--------------------|----|------|

**Interruptible**

|                                            |    |      |
|--------------------------------------------|----|------|
| First 100,000 cubic feet                   | \$ | 0.47 |
| All usage over 100,000 cubic feet, per ccf | \$ | 0.42 |

**Number of customers:**

|               | 2018          | 2017          |
|---------------|---------------|---------------|
| Residential   | 11,364        | 10,961        |
| Commercial    | 893           | 813           |
| Industrial    | 39            | 38            |
| Interruptible | 5             | 6             |
|               | <u>12,301</u> | <u>11,818</u> |

*See independent auditor's report.*

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF UNACCOUNTED FOR WATER**  
 JUNE 30, 2018

| AWWA Free Water Audit Software:<br>Reporting Worksheet                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                   |                                                                                                          |                         | WAS v5.0<br>American Water Works Association<br>Copyright © 2014. All Rights Reserved.                                                                                                          |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div style="border: 1px solid black; padding: 2px; margin-bottom: 5px;"> <span style="border: 1px solid black; padding: 0 5px;">?</span> Click to access definition         </div> <div style="border: 1px solid black; padding: 2px;"> <span style="border: 1px solid black; padding: 0 5px;">+</span> Click to add a comment         </div>                                         |                                                                                                                                                                                                   | Water Audit Report for: <b>City of Gallatin (0000253)</b><br>Reporting Year: <b>2018</b> 7/2017 - 6/2018 |                         |                                                                                                                                                                                                 |
| Please enter data in the white cells below. Where available, metered values should be used; if metered values are unavailable please estimate a value. Indicate your confidence in the accuracy of the input data by grading each component (n/a or 1-10) using the drop-down list to the left of the input cell. Hover the mouse over the cell to obtain a description of the grades |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| All volumes to be entered as: MILLION GALLONS (US) PER YEAR                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| To select the correct data grading for each input, determine the highest grade where the utility meets or exceeds all criteria for that grade and all grades below                                                                                                                                                                                                                    |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>WATER SUPPLIED</b>                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                   | Master Meter and Supply Error Adjustments                                                                |                         |                                                                                                                                                                                                 |
| <----- Enter grading in column 'E' and 'J' ----->                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Volume from own sources:                                                                                                                                                                                                                                                                                                                                                              | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px;">2,585.848</div>                                      | MG/Yr                   |                                                                                                                                                                                                 |
| Water imported:                                                                                                                                                                                                                                                                                                                                                                       | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">n/a</span> | <div style="border: 1px solid black; padding: 2px;">0.000</div>                                          | MG/Yr                   |                                                                                                                                                                                                 |
| Water exported:                                                                                                                                                                                                                                                                                                                                                                       | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px;">0.000</div>                                          | MG/Yr                   |                                                                                                                                                                                                 |
| <b>WATER SUPPLIED:</b>                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">2,585.848</div>            | MG/Yr                   |                                                                                                                                                                                                 |
| Enter negative % or value for under-registration<br>Enter positive % or value for over-registration                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>AUTHORIZED CONSUMPTION</b>                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Billed metered:                                                                                                                                                                                                                                                                                                                                                                       | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px;">1,833.689</div>                                      | MG/Yr                   |                                                                                                                                                                                                 |
| Billed unmetered:                                                                                                                                                                                                                                                                                                                                                                     | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">n/a</span> | <div style="border: 1px solid black; padding: 2px;">0.000</div>                                          | MG/Yr                   |                                                                                                                                                                                                 |
| Unbilled metered:                                                                                                                                                                                                                                                                                                                                                                     | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">10</span>  | <div style="border: 1px solid black; padding: 2px;">59.483</div>                                         | MG/Yr                   |                                                                                                                                                                                                 |
| Unbilled unmetered:                                                                                                                                                                                                                                                                                                                                                                   | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">15.205</div>               | MG/Yr                   |                                                                                                                                                                                                 |
| <b>AUTHORIZED CONSUMPTION:</b>                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">1,908.377</div>            | MG/Yr                   |                                                                                                                                                                                                 |
| Click here: <span style="border: 1px solid black; padding: 0 5px;">?</span> for help using option buttons below                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>WATER LOSSES (Water Supplied - Authorized Consumption)</b>                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">677.471</div>              | MG/Yr                   |                                                                                                                                                                                                 |
| <b>Apparent Losses</b>                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Unauthorized consumption:                                                                                                                                                                                                                                                                                                                                                             | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">6.465</div>                | MG/Yr                   |                                                                                                                                                                                                 |
| Default option selected for unauthorized consumption - a grading of 5 is applied but not displayed                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Customer metering inaccuracies:                                                                                                                                                                                                                                                                                                                                                       | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">19.123</div>               | MG/Yr                   |                                                                                                                                                                                                 |
| Systematic data handling errors:                                                                                                                                                                                                                                                                                                                                                      | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">4.584</div>                | MG/Yr                   |                                                                                                                                                                                                 |
| Default option selected for Systematic data handling errors - a grading of 5 is applied but not displayed                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>Apparent Losses:</b>                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">30.172</div>               | MG/Yr                   |                                                                                                                                                                                                 |
| <b>Real Losses (Current Annual Real Losses or CARL)</b>                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>Real Losses = Water Losses - Apparent Losses:</b>                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">647.299</div>              | MG/Yr                   |                                                                                                                                                                                                 |
| <b>WATER LOSSES:</b>                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">677.471</div>              | MG/Yr                   |                                                                                                                                                                                                 |
| <b>NON-REVENUE WATER</b>                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>NON-REVENUE WATER:</b>                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">752.159</div>              | MG/Yr                   |                                                                                                                                                                                                 |
| = Water Losses + Unbilled Metered + Unbilled Unmetered                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>SYSTEM DATA</b>                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Length of mains:                                                                                                                                                                                                                                                                                                                                                                      | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px;">345.0</div>                                          | miles                   |                                                                                                                                                                                                 |
| Number of active AND inactive service connections:                                                                                                                                                                                                                                                                                                                                    | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">10</span>  | <div style="border: 1px solid black; padding: 2px;">15,797</div>                                         |                         |                                                                                                                                                                                                 |
| Service connection density:                                                                                                                                                                                                                                                                                                                                                           | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px; background-color: yellow;">46</div>                   | conn./mile main         |                                                                                                                                                                                                 |
| Are customer meters typically located at the curbstop or property line?                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                   |                                                                                                          |                         | <span style="border: 1px solid black; padding: 0 5px;">Yes</span>                                                                                                                               |
| Average length of customer service line:                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                   |                                                                                                          |                         | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span> |
| Average length of customer service line has been set to zero and a data grading score of 10 has been applied                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Average operating pressure:                                                                                                                                                                                                                                                                                                                                                           | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">6</span>   | <div style="border: 1px solid black; padding: 2px;">95.0</div>                                           | psi                     |                                                                                                                                                                                                 |
| <b>COST DATA</b>                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Total annual cost of operating water system:                                                                                                                                                                                                                                                                                                                                          | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">8</span>   | <div style="border: 1px solid black; padding: 2px;">\$4,116,972</div>                                    | \$/Year                 |                                                                                                                                                                                                 |
| Customer retail unit cost (applied to Apparent Losses):                                                                                                                                                                                                                                                                                                                               | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">9</span>   | <div style="border: 1px solid black; padding: 2px;">\$3.59</div>                                         | \$/100 cubic feet (ccf) |                                                                                                                                                                                                 |
| Variable production cost (applied to Real Losses):                                                                                                                                                                                                                                                                                                                                    | <span style="border: 1px solid black; padding: 0 5px;">+</span> <span style="border: 1px solid black; padding: 0 5px;">?</span> <span style="border: 1px solid black; padding: 0 5px;">8</span>   | <div style="border: 1px solid black; padding: 2px;">\$709.61</div>                                       | \$/Million gallons      | <input type="checkbox"/> Use Customer Retail Unit Cost to value real losses                                                                                                                     |
| <b>WATER AUDIT DATA VALIDITY SCORE:</b>                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| *** YOUR SCORE IS: 85 out of 100 ***                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| A weighted scale for the components of consumption and water loss is included in the calculation of the Water Audit Data Validity Score                                                                                                                                                                                                                                               |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| <b>PRIORITY AREAS FOR ATTENTION:</b>                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| Based on the information provided, audit accuracy can be improved by addressing the following components:                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| 1: Volume from own sources                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| 2: Unauthorized consumption                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |
| 3: Systematic data handling errors                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                   |                                                                                                          |                         |                                                                                                                                                                                                 |

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF UNACCOUNTED FOR WATER**  
 JUNE 30, 2018

| AWWA Free Water Audit Software:<br>System Attributes and Performance Indicators                                                                              |                                                                                                                               | WAS v5.0<br>American Water Works Association<br>Copyright © 2014. All Rights Reserved.                           |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| Water Audit Report for: <span style="border: 1px solid black; padding: 2px;">City of Gallatin (0000253)</span>                                               |                                                                                                                               |                                                                                                                  |
| Reporting Year: <span style="border: 1px solid black; padding: 2px;">2018</span> <span style="border: 1px solid black; padding: 2px;">7/2017 - 6/2018</span> |                                                                                                                               |                                                                                                                  |
| *** YOUR WATER AUDIT DATA VALIDITY SCORE IS: 85 out of 100 ***                                                                                               |                                                                                                                               |                                                                                                                  |
| <b>System Attributes:</b>                                                                                                                                    |                                                                                                                               |                                                                                                                  |
|                                                                                                                                                              | Apparent Losses:                                                                                                              | <span style="border: 1px solid black; padding: 2px;">30.172</span> MG/Yr                                         |
|                                                                                                                                                              | + Real Losses:                                                                                                                | <span style="border: 1px solid black; padding: 2px;">647.299</span> MG/Yr                                        |
|                                                                                                                                                              | = <b>Water Losses:</b>                                                                                                        | <span style="border: 1px solid black; padding: 2px;">677.471</span> MG/Yr                                        |
|                                                                                                                                                              | <span style="background-color: #4F81BD; color: white; padding: 2px;">?</span> Unavoidable Annual Real Losses (UARL):          | <span style="border: 1px solid black; padding: 2px;">146.88</span> MG/Yr                                         |
|                                                                                                                                                              | Annual cost of Apparent Losses:                                                                                               | <span style="border: 1px solid black; padding: 2px;">\$144,798</span>                                            |
|                                                                                                                                                              | Annual cost of Real Losses:                                                                                                   | <span style="border: 1px solid black; padding: 2px;">\$459,330</span> Valued at <b>Variable Production Cost</b>  |
|                                                                                                                                                              |                                                                                                                               | Return to Reporting Worksheet to change this assumption                                                          |
| <b>Performance Indicators:</b>                                                                                                                               |                                                                                                                               |                                                                                                                  |
| <b>Financial:</b>                                                                                                                                            | Non-revenue water as percent by volume of Water Supplied:                                                                     | <span style="border: 1px solid black; padding: 2px;">29.1%</span>                                                |
|                                                                                                                                                              | Non-revenue water as percent by cost of operating system:                                                                     | <span style="border: 1px solid black; padding: 2px;">16.0%</span> Real Losses valued at Variable Production Cost |
| <b>Operational Efficiency:</b>                                                                                                                               | Apparent Losses per service connection per day:                                                                               | <span style="border: 1px solid black; padding: 2px;">5.23</span> gallons/connection/day                          |
|                                                                                                                                                              | Real Losses per service connection per day:                                                                                   | <span style="border: 1px solid black; padding: 2px;">112.26</span> gallons/connection/day                        |
|                                                                                                                                                              | Real Losses per length of main per day*:                                                                                      | <span style="border: 1px solid black; padding: 2px;">N/A</span>                                                  |
|                                                                                                                                                              | Real Losses per service connection per day per psi pressure:                                                                  | <span style="border: 1px solid black; padding: 2px;">1.18</span> gallons/connection/day/psi                      |
|                                                                                                                                                              | From Above, Real Losses = Current Annual Real Losses (CARL):                                                                  | <span style="border: 1px solid black; padding: 2px;">647.30</span> million gallons/year                          |
|                                                                                                                                                              | <span style="background-color: #4F81BD; color: white; padding: 2px;">?</span> Infrastructure Leakage Index (ILI) [CARL/UARL]: | <span style="border: 1px solid black; padding: 2px;">4.41</span>                                                 |

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF PRINCIPAL AND INTEREST REQUIREMENTS**  
**GENERAL OBLIGATION DEBT - CITY**  
June 30, 2018

| Year<br>Ended<br>June 30, | G.O. Refunding<br>Bonds Series 2014 |                     | G.O. Bonds<br>Series 2016 |                     | 2009 Capital<br>Outlay Note |                  | Sumner<br>County<br>Note | Total Requirements   |                     |                      |
|---------------------------|-------------------------------------|---------------------|---------------------------|---------------------|-----------------------------|------------------|--------------------------|----------------------|---------------------|----------------------|
|                           | Principal                           | Interest            | Principal                 | Interest            | Principal                   | Interest         | Principal                | Principal            | Interest            | Total                |
| 2019                      | \$ 860,000                          | \$ 409,250          | \$ 475,000                | \$ 377,650          | \$ 460,000                  | \$ 21,276        | \$ 89,745                | \$ 1,884,745         | \$ 808,176          | \$ 2,692,921         |
| 2020                      | 875,000                             | 374,850             | 480,000                   | 363,400             | -                           | -                | -                        | 1,355,000            | 738,250             | 2,093,250            |
| 2021                      | 910,000                             | 339,850             | 485,000                   | 344,200             | -                           | -                | -                        | 1,395,000            | 684,050             | 2,079,050            |
| 2022                      | 930,000                             | 321,650             | 490,000                   | 334,500             | -                           | -                | -                        | 1,420,000            | 656,150             | 2,076,150            |
| 2023                      | 950,000                             | 293,750             | 500,000                   | 310,000             | -                           | -                | -                        | 1,450,000            | 603,750             | 2,053,750            |
| 2024                      | 975,000                             | 270,000             | 510,000                   | 285,000             | -                           | -                | -                        | 1,485,000            | 555,000             | 2,040,000            |
| 2025                      | 1,010,000                           | 221,250             | 520,000                   | 259,500             | -                           | -                | -                        | 1,530,000            | 480,750             | 2,010,750            |
| 2026                      | 1,050,000                           | 180,850             | 530,000                   | 233,500             | -                           | -                | -                        | 1,580,000            | 414,350             | 1,994,350            |
| 2027                      | 1,090,000                           | 138,850             | 540,000                   | 207,000             | -                           | -                | -                        | 1,630,000            | 345,850             | 1,975,850            |
| 2028                      | 450,000                             | 106,150             | 555,000                   | 185,400             | -                           | -                | -                        | 1,005,000            | 291,550             | 1,296,550            |
| 2029                      | 460,000                             | 92,650              | 570,000                   | 163,200             | -                           | -                | -                        | 1,030,000            | 255,850             | 1,285,850            |
| 2030                      | 475,000                             | 78,850              | 585,000                   | 140,400             | -                           | -                | -                        | 1,060,000            | 219,250             | 1,279,250            |
| 2031                      | 490,000                             | 64,600              | 600,000                   | 117,000             | -                           | -                | -                        | 1,090,000            | 181,600             | 1,271,600            |
| 2032                      | 505,000                             | 49,900              | 620,000                   | 99,000              | -                           | -                | -                        | 1,125,000            | 148,900             | 1,273,900            |
| 2033                      | 525,000                             | 34,119              | 640,000                   | 80,400              | -                           | -                | -                        | 1,165,000            | 114,519             | 1,279,519            |
| 2034                      | 545,000                             | 17,713              | 660,000                   | 61,200              | -                           | -                | -                        | 1,205,000            | 78,913              | 1,283,913            |
| 2035                      | -                                   | -                   | 680,000                   | 41,400              | -                           | -                | -                        | 680,000              | 41,400              | 721,400              |
| 2036                      | -                                   | -                   | 700,000                   | 21,000              | -                           | -                | -                        | 700,000              | 21,000              | 721,000              |
|                           | <u>\$ 12,100,000</u>                | <u>\$ 2,994,282</u> | <u>\$ 10,140,000</u>      | <u>\$ 3,623,750</u> | <u>\$ 460,000</u>           | <u>\$ 21,276</u> | <u>\$ 89,745</u>         | <u>\$ 22,789,745</u> | <u>\$ 6,639,308</u> | <u>\$ 29,429,053</u> |

See independent auditor's report.



**CITY OF GALLATIN, TENNESSEE**  
**PROPRIETARY FUNDS - WATER AND SEWER**  
**SCHEDULE OF LONG-TERM DEBT**

June 30, 2018

| <b>Water &amp; Sewer Department</b> |                                                        |                     |                                               |                   |                                               |                     |                           |                      |                      |
|-------------------------------------|--------------------------------------------------------|---------------------|-----------------------------------------------|-------------------|-----------------------------------------------|---------------------|---------------------------|----------------------|----------------------|
| <b>Year Ended<br/>June 30,</b>      | <b>Water &amp; Sewer<br/>Rev &amp; Tax Bond - 2011</b> |                     | <b>Water &amp; Sewer<br/>Refunding - 2014</b> |                   | <b>Water &amp; Sewer<br/>Refunding - 2015</b> |                     | <b>Total Requirements</b> |                      |                      |
|                                     | <b>Principal</b>                                       | <b>Interest</b>     | <b>Principal</b>                              | <b>Interest</b>   | <b>Principal</b>                              | <b>Interest</b>     | <b>Principal</b>          | <b>Interest</b>      | <b>Total</b>         |
| 2019                                | \$ 405,000                                             | \$ 235,023          | \$ 265,000                                    | \$ 149,625        | \$ 1,060,000                                  | \$ 941,688          | \$ 1,730,000              | \$ 1,326,336         | \$ 3,056,336         |
| 2020                                | 420,000                                                | 222,644             | 265,000                                       | 136,375           | 1,090,000                                     | 909,887             | 1,775,000                 | 1,268,906            | 3,043,906            |
| 2021                                | 430,000                                                | 209,898             | 270,000                                       | 123,000           | 1,125,000                                     | 877,188             | 1,825,000                 | 1,210,086            | 3,035,086            |
| 2022                                | 440,000                                                | 196,848             | 275,000                                       | 109,375           | 1,160,000                                     | 843,437             | 1,875,000                 | 1,149,660            | 3,024,660            |
| 2023                                | 450,000                                                | 183,498             | 285,000                                       | 95,375            | 1,200,000                                     | 797,038             | 1,935,000                 | 1,075,911            | 3,010,911            |
| 2024                                | 460,000                                                | 169,848             | 315,000                                       | 80,375            | 1,255,000                                     | 749,037             | 2,030,000                 | 999,260              | 3,029,260            |
| 2025                                | 490,000                                                | 155,598             | 325,000                                       | 64,375            | 1,305,000                                     | 698,838             | 2,120,000                 | 918,811              | 3,038,811            |
| 2026                                | 505,000                                                | 141,304             | 330,000                                       | 49,650            | 1,350,000                                     | 646,637             | 2,185,000                 | 837,591              | 3,022,591            |
| 2027                                | 520,000                                                | 126,560             | 340,000                                       | 37,950            | 1,400,000                                     | 599,388             | 2,260,000                 | 763,898              | 3,023,898            |
| 2028                                | 535,000                                                | 110,401             | 355,000                                       | 27,525            | 1,460,000                                     | 543,387             | 2,350,000                 | 681,313              | 3,031,313            |
| 2029                                | 555,000                                                | 93,023              | 365,000                                       | 16,725            | 1,515,000                                     | 484,988             | 2,435,000                 | 594,736              | 3,029,736            |
| 2030                                | 570,000                                                | 74,599              | 375,000                                       | 5,625             | 1,575,000                                     | 424,387             | 2,520,000                 | 504,611              | 3,024,611            |
| 2031                                | 590,000                                                | 54,869              | -                                             | -                 | 1,655,000                                     | 345,638             | 2,245,000                 | 400,507              | 2,645,507            |
| 2032                                | 615,000                                                | 33,781              | -                                             | -                 | 1,735,000                                     | 262,887             | 2,350,000                 | 296,668              | 2,646,668            |
| 2033                                | 635,000                                                | 11,509              | -                                             | -                 | 1,825,000                                     | 176,138             | 2,460,000                 | 187,647              | 2,647,647            |
| 2034                                | -                                                      | -                   | -                                             | -                 | 230,000                                       | 84,887              | 230,000                   | 84,887               | 314,887              |
| 2035                                | -                                                      | -                   | -                                             | -                 | 240,000                                       | 73,388              | 240,000                   | 73,388               | 313,388              |
| 2036                                | -                                                      | -                   | -                                             | -                 | 255,000                                       | 61,387              | 255,000                   | 61,387               | 316,387              |
| 2037                                | -                                                      | -                   | -                                             | -                 | 265,000                                       | 48,638              | 265,000                   | 48,638               | 313,638              |
| 2038                                | -                                                      | -                   | -                                             | -                 | 280,000                                       | 35,387              | 280,000                   | 35,387               | 315,387              |
| 2039                                | -                                                      | -                   | -                                             | -                 | 290,000                                       | 21,388              | 290,000                   | 21,388               | 311,388              |
| 2040                                | -                                                      | -                   | -                                             | -                 | 300,000                                       | 10,875              | 300,000                   | 10,875               | 310,875              |
|                                     | <u>\$ 7,620,000</u>                                    | <u>\$ 2,019,403</u> | <u>\$ 3,765,000</u>                           | <u>\$ 895,975</u> | <u>\$ 22,570,000</u>                          | <u>\$ 9,636,513</u> | <u>\$ 33,955,000</u>      | <u>\$ 12,551,891</u> | <u>\$ 46,506,891</u> |

*See independent auditor's report.*

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS**  
For the Fiscal Year Ended June 30, 2018

|                                                                 | <u>CFDA<br/>Number</u> | <u>Pass Through<br/>Agency<br/>Grant Number</u> | <u>Expenditures</u> |
|-----------------------------------------------------------------|------------------------|-------------------------------------------------|---------------------|
| <b>U.S. Department of Transportation</b>                        |                        |                                                 |                     |
| Passed Through the Tennessee Department of Transportation:      |                        |                                                 |                     |
| Highway Planning and Construction Cluster:                      |                        |                                                 |                     |
| IT Signal Grant                                                 | 20.205*                | 83LPLM-F3-110 / CM-9306(21)                     | 3,978               |
| Safe Routes to Schools - Rucker Stewart                         | 20.205*                | SRTS-4569(10) / 83LPLM                          | 2,400               |
| City Wide Sidewalk Grant                                        | 20.205*                | TAP-M-9306(22) / 83LPLM                         | 3,320               |
| Albert Gallatin/Hattentrack Extension                           | 20.205*                | STP-M-8300(70)                                  | 591,219             |
| Total Highway Planning and Construction Cluster                 |                        |                                                 | 600,917             |
| Passed Through the Tennessee Governor's Highway Safety Office : |                        |                                                 |                     |
| Alcohol Related Reconstruction and Education                    | 20.607                 | Z17THS168                                       | 23,497              |
| Total U.S. Department of Transportation                         |                        |                                                 | 624,414             |
| <b>U.S. Department of Justice</b>                               |                        |                                                 |                     |
| Bulletproof Vest Partnership Program                            | 16.607                 | 2013BUBX13070337                                | 175                 |
| Law Enforcement Assistance to FBI Police Training               | 16.300                 | N/A                                             | 15,109              |
| Total U.S. Department of Justice                                |                        |                                                 | 15,284              |
| <b>U.S. Department of Housing and Urban Development</b>         |                        |                                                 |                     |
| Passed Through the Tennessee Housing Development Agency:        |                        |                                                 |                     |
| Home Investment Partnership Program                             | 14.239                 | HM-12-12                                        | 146,726             |
| Total U.S. Department of HUD                                    |                        |                                                 | 146,726             |
| Total Federal Awards                                            |                        |                                                 | \$ 786,424          |

\*Denotes Major Federal Program

**Note 1 - Basis of Presentation**

The accompanying schedule of expenditures of federal awards and state financial assistance (the "Schedule") includes the federal award and state financial assistance activity of the City under programs of the federal government and State of Tennessee for the year ended June 30, 2018. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

**Note 2 - Summary of Significant Accounting Policies**

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

*See independent auditor's report.*

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF STATE FINANCIAL ASSISTANCE**  
For the Fiscal Year Ended June 30, 2018

|                                                                   | <u>State<br/>Grant Number</u> | <u>Disbursements</u>  |
|-------------------------------------------------------------------|-------------------------------|-----------------------|
| <b>Tennessee Department of Transportation</b>                     |                               |                       |
| Greenlea Dr Extension                                             | 33007-33517                   | \$ <u>63,947</u>      |
| <b>Tennessee Department of Economic and Community Development</b> |                               |                       |
| Greenlea Blvd. Extension                                          | N/A                           | <u>440,799</u>        |
| <b>Tennessee Department of Conservation</b>                       |                               |                       |
| Recycling Equipment Glass Crucher Grant                           | 32701-2938                    | <u>13,889</u>         |
| <br>Total State Financial Assistance                              |                               | <br><u>\$ 518,635</u> |

**Note 1 - Basis of Presentation**

The accompanying schedule of expenditures of federal awards and state financial assistance (the "Schedule") includes the federal award and state financial assistance activity of the City under programs of the federal government and State of Tennessee for the year ended June 30, 2018. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

**Note 2 - Summary of Significant Accounting Policies**

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

## **STATISTICAL SECTION**

## **CITY OF GALLATIN, TENNESSEE STATISTICAL SECTION DIVIDER PAGE**

This part of the City of Gallatin, Tennessee's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements and note disclosures says about the City's overall financial health.

### **Contents:**

#### **Financial Trends**

These Schedules contain trend information to help readers understand how the City's financial performance and well-being have changed over time..... 83

#### **Revenue Capacity**

These Schedules contain information to help readers assess the City's most significant local revenue source - its property taxes..... 88

#### **Debt Capacity**

These Schedules present information to help readers assess the affordability of the City's current levels of outstanding debt and the City's ability to issue additional debt in the future..... 91

#### **Demographic and Economic Information**

These Schedules offer demographic and economic indicators to help readers understand the environment within which the City's financial activities take place. .... 94

#### **Operating Information**

These Schedules contain service and infrastructure data to help readers understand how the information in the City's financial report relates to the services the City provides and the activities it performs..... 96

Except where noted, the information in these Schedules is derived from the City of Gallatin, Tennessee's, comprehensive annual financial reports (or financial statements where applicable) for the relevant years. The City implemented GASB 34 in 2003: Schedules presenting government-wide information include information beginning that year.

**CITY OF GALLATIN, TENNESSEE**  
**FINANCIAL TRENDS INFORMATION -**  
**NET POSITION BY COMPONENT - LAST TEN FISCAL YEARS¹**

(Prepared using the accrual basis of accounting)

|                                                | <u>2018</u>           | <u>2017</u>           | <u>2016</u>           | <u>2015</u>           | <u>2014</u>           | <u>2013</u>           | <u>2012</u>           | <u>2011</u>           | <u>2010</u>           | <u>2009</u>           |
|------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| <b>Governmental activities:</b>                |                       |                       |                       |                       |                       |                       |                       |                       |                       |                       |
| Net investment in capital assets               | \$ 75,402,931         | \$ 67,569,997         | \$ 58,836,309         | \$ 54,468,094         | \$ 48,317,805         | \$ 44,409,934         | \$ 42,147,155         | \$ 46,347,565         | \$ 40,679,786         | \$ 35,081,049         |
| Restricted                                     | 1,298,730             | 1,205,180             | 593,324               | 535,180               | 615,631               | 568,020               | 100,024               | 15,000                | (171,346)             | (60,463)              |
| Unrestricted                                   | <u>17,336,772</u>     | <u>17,025,218</u>     | <u>15,409,177</u>     | <u>13,898,373</u>     | <u>14,232,475</u>     | <u>11,688,071</u>     | <u>10,465,112</u>     | <u>9,546,556</u>      | <u>38,464,287</u>     | <u>13,160,946</u>     |
| Total net position                             | <u>\$ 94,038,433</u>  | <u>\$ 85,800,395</u>  | <u>\$ 74,838,810</u>  | <u>\$ 68,901,647</u>  | <u>\$ 63,165,911</u>  | <u>\$ 56,666,025</u>  | <u>\$ 52,712,291</u>  | <u>\$ 55,909,121</u>  | <u>\$ 78,972,727</u>  | <u>\$ 48,181,532</u>  |
| <b>Business-type activities:</b>               |                       |                       |                       |                       |                       |                       |                       |                       |                       |                       |
| Net investment in capital assets               | \$ 127,605,680        | \$ 120,808,485        | \$ 119,097,460        | \$ 112,025,506        | \$ 107,506,931        | \$ 103,558,594        | \$ 99,420,067         | \$ 99,497,736         | \$ 90,944,012         | \$ 82,808,956         |
| Restricted for workers compensation adjustment | 7,675                 | 7,648                 | 7,621                 | 7,572                 | 7,522                 | 7,473                 | 7,425                 | -                     | -                     | -                     |
| Unrestricted                                   | <u>35,652,720</u>     | <u>37,926,071</u>     | <u>31,826,566</u>     | <u>35,009,804</u>     | <u>32,232,921</u>     | <u>28,661,288</u>     | <u>28,194,323</u>     | <u>26,219,039</u>     | <u>4,919,217</u>      | <u>38,074,203</u>     |
| Total net position                             | <u>\$ 163,266,075</u> | <u>\$ 158,742,204</u> | <u>\$ 150,931,647</u> | <u>\$ 147,042,882</u> | <u>\$ 139,747,374</u> | <u>\$ 132,227,355</u> | <u>\$ 127,621,815</u> | <u>\$ 125,716,775</u> | <u>\$ 95,863,229</u>  | <u>\$ 120,883,159</u> |
| <b>Primary government:</b>                     |                       |                       |                       |                       |                       |                       |                       |                       |                       |                       |
| Net investment in capital assets               | \$ 203,008,611        | \$ 188,378,482        | \$ 177,933,769        | \$ 166,493,600        | \$ 155,824,736        | \$ 147,968,528        | \$ 141,567,222        | \$ 145,845,301        | \$ 131,623,798        | \$ 117,890,005        |
| Restricted                                     | 1,306,405             | 1,212,828             | 600,945               | 542,752               | 623,153               | 575,493               | 107,449               | 15,000                | (171,346)             | (60,463)              |
| Unrestricted                                   | <u>52,989,492</u>     | <u>54,951,289</u>     | <u>47,235,743</u>     | <u>48,908,177</u>     | <u>46,465,396</u>     | <u>40,349,359</u>     | <u>38,659,435</u>     | <u>35,765,595</u>     | <u>43,383,504</u>     | <u>51,235,149</u>     |
| Total net position                             | <u>\$ 257,304,508</u> | <u>\$ 244,542,599</u> | <u>\$ 225,770,457</u> | <u>\$ 215,944,529</u> | <u>\$ 202,913,285</u> | <u>\$ 188,893,380</u> | <u>\$ 180,334,106</u> | <u>\$ 181,625,896</u> | <u>\$ 174,835,956</u> | <u>\$ 169,064,691</u> |

**CITY OF GALLATIN, TENNESSEE  
FINANCIAL TRENDS INFORMATION -  
CHANGE IN NET POSITION - LAST TEN FISCAL YEARS\***

(Prepared using the accrual basis of accounting)

| <b>Governmental activities:</b>  | <b>2018</b>         | <b>2017</b>          | <b>2016</b>         | <b>2015</b>         | <b>2014</b>         | <b>2013</b>         | <b>2012</b>         | <b>2011</b>         | <b>2010</b>         | <b>2009</b>         |
|----------------------------------|---------------------|----------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|
| <b>Revenues:</b>                 |                     |                      |                     |                     |                     |                     |                     |                     |                     |                     |
| <b>Program revenues:</b>         |                     |                      |                     |                     |                     |                     |                     |                     |                     |                     |
| Charges for services             | \$ 7,863,631        | \$ 7,418,973         | \$ 6,069,552        | \$ 5,538,642        | \$ 6,526,770        | \$ 4,075,988        | \$ 4,813,637        | \$ 5,342,165        | \$ 4,462,096        | \$ 4,127,495        |
| Operating grants & contributions | 1,865,673           | 1,275,976            | 1,064,123           | 1,234,427           | 1,527,429           | 1,109,040           | 948,083             | 854,869             | 703,346             | 1,474,369           |
| Capital grants & contributions   | 6,010,371           | 8,921,557            | 4,790,834           | 10,285,239          | 3,533,738           | 3,975,532           | 1,465,557           | 4,020,980           | 2,383,773           | 4,022,806           |
| <b>General revenues:</b>         |                     |                      |                     |                     |                     |                     |                     |                     |                     |                     |
| Property taxes                   | 11,235,726          | 11,367,951           | 10,878,306          | 10,273,533          | 9,930,089           | 9,999,751           | 10,711,682          | 9,823,133           | 9,514,877           | 9,106,950           |
| Sales taxes                      | 11,516,561          | 11,064,266           | 10,074,289          | 9,330,486           | 8,661,499           | 8,014,658           | 7,700,686           | 6,874,129           | 6,422,853           | 6,390,038           |
| Franchise taxes                  | 468,690             | 466,766              | 448,730             | 421,534             | 385,802             | 360,650             | 379,020             | 356,845             | 341,828             | 327,853             |
| Alcoholic beverage taxes         | 1,522,812           | 1,509,842            | 1,260,296           | 1,251,420           | 1,165,299           | 1,117,556           | 1,067,339           | 1,039,948           | 965,092             | 877,642             |
| Business taxes                   | 949,546             | 936,708              | 818,811             | 756,560             | 680,446             | 639,646             | 668,252             | 556,382             | 485,461             | 521,590             |
| Income taxes                     | 439,386             | 662,104              | 946,308             | 913,636             | 793,306             | 520,539             | 859,602             | 688,179             | 758,315             | 80,810              |
| Miscellaneous taxes              | -                   | -                    | -                   | -                   | -                   | -                   | -                   | 1,572               | 2,075               | 2,790               |
| Rental and reimbursements        | -                   | -                    | -                   | -                   | -                   | -                   | -                   | 25,863              | 29,627              | 35,521              |
| Other sources                    | 540,551             | 480,686              | 226,818             | 230,319             | 240,216             | 319,500             | 188,417             | 286,687             | 106,491             | 207,570             |
| Unrestricted interest income     | 303,527             | 246,354              | 115,184             | 68,994              | 79,958              | 28,417              | 5,491               | 28,999              | 100,415             | 519,239             |
| In lieu of taxes and transfers   | 1,635,255           | 1,699,195            | 1,640,386           | 1,545,670           | 1,448,787           | 1,383,147           | 987,430             | 669,414             | 1,396,522           | 1,071,242           |
| <b>Total revenues</b>            | <b>44,351,729</b>   | <b>46,050,378</b>    | <b>38,333,637</b>   | <b>41,850,460</b>   | <b>34,973,339</b>   | <b>31,544,424</b>   | <b>29,795,196</b>   | <b>30,569,165</b>   | <b>27,672,771</b>   | <b>28,765,915</b>   |
| <b>Expenses:</b>                 |                     |                      |                     |                     |                     |                     |                     |                     |                     |                     |
| General government               | 8,545,515           | 7,930,678            | 7,186,551           | 6,432,191           | 5,147,411           | 5,070,240           | 4,753,776           | 5,833,977           | 4,634,869           | 5,936,304           |
| Public safety                    | 14,939,109          | 14,842,150           | 12,701,861          | 12,139,618          | 11,778,255          | 11,626,014          | 11,090,606          | 10,522,520          | 10,583,895          | 10,217,027          |
| Engineering                      | 1,907,119           | 2,224,831            | 1,643,277           | 1,611,956           | 1,412,832           | 1,112,112           | 1,978,103           | 1,648,991           | 395,200             | 636,589             |
| Environmental services           | 2,109,615           | 1,788,412            | 1,701,497           | 1,682,507           | 1,779,918           | 1,637,569           | 1,744,131           | 1,483,595           | 1,504,489           | 1,433,602           |
| Animal control                   | -                   | -                    | -                   | 123,665             | 113,487             | 108,023             | 119,396             | 109,535             | 99,965              | 112,082             |
| Public works                     | 705,505             | 568,139              | 552,190             | 362,748             | 1,163,412           | 1,658,029           | 1,215,578           | 572,127             | 351,059             | 26,564              |
| Highways, streets and roadways   | 1,556,403           | 1,174,314            | 1,359,004           | 1,457,922           | 1,403,207           | 1,208,364           | 1,234,568           | 1,303,547           | 1,421,330           | 2,085,472           |
| Vehicle maintenance              | 562,563             | 549,748              | 459,858             | 418,068             | 420,964             | 403,696             | 404,846             | 393,742             | 403,148             | 376,013             |
| Parks and recreation             | 4,302,313           | 4,639,151            | 4,361,499           | 4,265,685           | 4,043,815           | 4,290,038           | 4,074,264           | 4,182,036           | 3,845,550           | 3,238,619           |
| Economic development             | 615,343             | 448,174              | 1,622,199           | 6,770,860           | 444,972             | 280,227             | 254,355             | 222,988             | 269,588             | 270,456             |
| Interest on debt                 | 765,919             | 923,196              | 808,538             | 653,094             | 481,455             | 433,883             | 472,734             | 484,738             | 487,066             | 785,391             |
| <b>Total expenses</b>            | <b>36,009,404</b>   | <b>35,088,793</b>    | <b>32,396,474</b>   | <b>35,918,314</b>   | <b>28,189,728</b>   | <b>27,828,195</b>   | <b>27,342,357</b>   | <b>26,757,796</b>   | <b>23,996,159</b>   | <b>25,118,119</b>   |
| <b>Change in net position</b>    | <b>\$ 8,342,325</b> | <b>\$ 10,961,585</b> | <b>\$ 5,937,163</b> | <b>\$ 5,932,146</b> | <b>\$ 6,783,611</b> | <b>\$ 3,716,229</b> | <b>\$ 2,452,839</b> | <b>\$ 3,811,369</b> | <b>\$ 3,676,612</b> | <b>\$ 3,647,796</b> |

**CITY OF GALLATIN, TENNESSEE**  
**FINANCIAL TRENDS INFORMATION -**  
**CHANGE IN NET POSITION - LAST TEN FISCAL YEARS\***

(Prepared using the accrual basis of accounting)

| <b>Business-Type activities:</b>    | <b>2018</b>          | <b>2017</b>          | <b>2016</b>          | <b>2015</b>          | <b>2014</b>          | <b>2013</b>         | <b>2012</b>         | <b>2011</b>         | <b>2010</b>         | <b>2009</b>         |
|-------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|---------------------|---------------------|---------------------|---------------------|---------------------|
| <b>Program revenues:</b>            |                      |                      |                      |                      |                      |                     |                     |                     |                     |                     |
| Charges for services                | \$ 102,309,298       | \$ 99,131,412        | \$ 94,763,804        | \$ 98,670,740        | \$ 100,225,082       | \$ 91,501,059       | \$ 87,971,678       | \$ 90,017,001       | \$ 84,620,482       | \$ 85,400,190       |
| Capital grants & contributions      | 5,623,904            | 3,508,042            | 2,490,314            | 1,485,205            | 2,317,854            | 1,152,932           | 675,644             | 685,151             | 253,452             | 1,252,667           |
| <b>General revenues:</b>            |                      |                      |                      |                      |                      |                     |                     |                     |                     |                     |
| Other sources                       | -                    | 147                  | 10,000               | -                    | 487                  | 2,603               | 9,359               | 536,533             | 10,467              | 8,506               |
| Unrestricted interest income        | 197,243              | 134,055              | 142,192              | 108,911              | 95,539               | 121,102             | 146,100             | 153,210             | 200,533             | 437,057             |
| <b>Total revenues</b>               | <b>108,130,445</b>   | <b>102,773,656</b>   | <b>97,406,310</b>    | <b>100,264,856</b>   | <b>102,638,962</b>   | <b>92,777,696</b>   | <b>88,802,781</b>   | <b>91,391,895</b>   | <b>85,084,934</b>   | <b>87,098,420</b>   |
| <b>Expenses:</b>                    |                      |                      |                      |                      |                      |                     |                     |                     |                     |                     |
| Electric                            | 68,464,520           | 68,658,346           | 66,077,111           | 65,953,465           | 65,344,259           | 63,093,670          | 61,686,993          | 60,976,208          | 52,252,566          | 52,075,601          |
| Gas                                 | 13,482,880           | 12,817,606           | 12,360,729           | 14,620,277           | 16,443,781           | 12,848,397          | 13,002,653          | 15,257,278          | 19,064,230          | 19,354,295          |
| Golf                                | -                    | -                    | -                    | -                    | -                    | -                   | -                   | -                   | -                   | 1,011,561           |
| Water & Sewer                       | 13,115,652           | 11,787,952           | 12,582,400           | 10,769,977           | 11,170,248           | 10,846,942          | 11,256,106          | 11,510,424          | 10,386,989          | 10,073,496          |
| In lieu of taxes - transfer         | 1,635,255            | 1,699,195            | 1,640,386            | 1,545,670            | 1,448,787            | 1,383,147           | 987,430             | 669,414             | 1,396,522           | 1,071,241           |
| <b>Total expenses</b>               | <b>96,698,307</b>    | <b>94,963,099</b>    | <b>92,660,626</b>    | <b>92,889,389</b>    | <b>94,407,075</b>    | <b>88,172,156</b>   | <b>86,933,182</b>   | <b>88,413,324</b>   | <b>83,100,307</b>   | <b>83,586,194</b>   |
| <b>Change in net position</b>       | <b>11,432,138</b>    | <b>7,810,557</b>     | <b>4,745,684</b>     | <b>7,375,467</b>     | <b>8,231,887</b>     | <b>4,605,540</b>    | <b>1,869,599</b>    | <b>2,978,571</b>    | <b>1,984,627</b>    | <b>3,512,226</b>    |
| <b>Total change in net position</b> | <b>\$ 19,774,463</b> | <b>\$ 18,772,142</b> | <b>\$ 10,682,847</b> | <b>\$ 13,307,613</b> | <b>\$ 15,015,498</b> | <b>\$ 8,321,769</b> | <b>\$ 4,322,438</b> | <b>\$ 6,789,940</b> | <b>\$ 5,661,239</b> | <b>\$ 7,160,022</b> |



**CITY OF GALLATIN, TENNESSEE**  
**FINANCIAL TRENDS INFORMATION -**  
**FUND BALANCES, GOVERNMENTAL FUNDS - LAST TEN FISCAL YEARS**

(Prepared using the accrual basis of accounting)

|                                | 2018                 | 2017                 | 2016                 | 2015                 | 2014                 | 2013                 | 2012                 | 2011                | 2010                 | 2009             |
|--------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|---------------------|----------------------|------------------|
| <b>Governmental Funds:</b>     |                      |                      |                      |                      |                      |                      |                      |                     |                      |                  |
| <b>(Pre-GASB 54)</b>           |                      |                      |                      |                      |                      |                      |                      |                     |                      |                  |
| <b>Unreserved:</b>             |                      |                      |                      |                      |                      |                      |                      |                     |                      |                  |
| General fund                   | \$ -                 | \$ -                 | \$ -                 | \$ -                 | \$ -                 | \$ -                 | \$ -                 | \$ -                | \$ 10,410,950        | \$ 11,213,358    |
| Special revenue funds          | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                   | (2,955)              | 22,272           |
| Capital projects funds         | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                   | 28,754,178           | (11,509,512)     |
| Permanent funds                | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                   | 374,321              | 353,996          |
| Total unreserved fund balances | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                   | 39,536,494           | 80,114           |
| <b>Reserved</b>                | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                   | (123,720)            | (11,904)         |
| <b>(Post-GASB 54)</b>          |                      |                      |                      |                      |                      |                      |                      |                     |                      |                  |
| <b>Nonspendable</b>            | 1,169,853            | 1,612,302            | 1,065,869            | 173,269              | 86,851               | 105,468              | 84,581               | 101,966             | -                    | -                |
| <b>Restricted</b>              | 1,366,992            | 1,176,985            | 583,621              | 531,907              | 579,606              | 531,995              | 455,722              | 352,817             | -                    | -                |
| <b>Committed</b>               | 156,408              | 284,987              | 209,987              | 205,085              | 205,085              | 226,979              | 184,395              | 173,501             | -                    | -                |
| <b>Assigned</b>                | 11,899,028           | 12,626,737           | 16,335,657           | 8,011,003            | 2,734,115            | 1,915,974            | 2,122,761            | 2,735,185           | -                    | -                |
| <b>Unassigned</b>              | 17,248,650           | 17,730,397           | 16,180,042           | 13,232,920           | 11,455,850           | 8,689,632            | 7,922,642            | 6,542,843           | -                    | -                |
|                                | <b>\$ 31,840,931</b> | <b>\$ 33,431,408</b> | <b>\$ 34,375,176</b> | <b>\$ 22,154,184</b> | <b>\$ 15,061,507</b> | <b>\$ 11,470,048</b> | <b>\$ 10,770,101</b> | <b>\$ 9,906,312</b> | <b>\$ 39,412,774</b> | <b>\$ 68,210</b> |

**CITY OF GALLATIN, TENNESSEE**  
**FINANCIAL TREND INFORMATION -**  
**CHANGES IN FUND BALANCES FOR TOTAL GOVERNMENTAL FUNDS - LAST TEN FISCAL YEARS**

(Prepared using the accrual basis of accounting)

|                                                                  | 2018                      | 2017                      | 2016                      | 2015                      | 2014                    | 2013                    | 2012                 | 2011                      | 2010                      | 2009                      |
|------------------------------------------------------------------|---------------------------|---------------------------|---------------------------|---------------------------|-------------------------|-------------------------|----------------------|---------------------------|---------------------------|---------------------------|
| <b>Revenues</b>                                                  |                           |                           |                           |                           |                         |                         |                      |                           |                           |                           |
| Taxes                                                            | \$ 22,304,176             | \$ 21,677,227             | \$ 20,117,243             | \$ 18,988,744             | \$ 18,393,292           | \$ 17,768,774           | \$ 17,262,010        | \$ 20,056,287             | \$ 19,177,101             | \$ 17,989,604             |
| Licenses                                                         | 2,542,185                 | 2,187,478                 | 1,093,853                 | 760,459                   | 467,638                 | 402,533                 | 315,602              | 247,346                   | 278,110                   | 615,775                   |
| Fines and penalties                                              | 785,160                   | 922,423                   | 983,427                   | 1,051,142                 | 2,556,501               | 884,878                 | 1,479,913            | 2,307,129                 | 1,424,589                 | 1,446,691                 |
| Charges for services                                             | 4,534,678                 | 4,302,069                 | 3,984,098                 | 3,739,436                 | 3,481,559               | 2,849,243               | 2,993,059            | 2,787,690                 | 2,759,398                 | 2,064,030                 |
| Intergovernmental                                                | 6,717,563                 | 6,616,702                 | 10,457,840                | 14,007,953                | 8,668,804               | 6,696,213               | 5,742,786            | 3,325,809                 | 2,466,644                 | 791,301                   |
| Other                                                            | 1,315,537                 | 884,022                   | 414,025                   | 575,308                   | 708,339                 | 544,215                 | 240,819              | 173,100                   | 153,771                   | 606,747                   |
| Total revenues                                                   | <u>38,199,299</u>         | <u>36,589,921</u>         | <u>37,050,486</u>         | <u>39,123,042</u>         | <u>34,276,133</u>       | <u>29,145,856</u>       | <u>28,034,189</u>    | <u>28,897,361</u>         | <u>26,259,613</u>         | <u>23,514,148</u>         |
| <b>Expenditures</b>                                              |                           |                           |                           |                           |                         |                         |                      |                           |                           |                           |
| General government                                               | 7,609,102                 | 6,723,566                 | 5,932,888                 | 5,471,142                 | 4,825,287               | 4,558,323               | 4,443,691            | 4,391,895                 | 4,005,982                 | 4,652,977                 |
| Public safety                                                    | 14,447,340                | 14,122,444                | 12,181,199                | 11,707,728                | 11,452,818              | 10,770,629              | 10,760,468           | 9,960,491                 | 9,841,580                 | 9,688,847                 |
| Engineering                                                      | 1,902,729                 | 2,219,984                 | 1,643,528                 | 1,611,956                 | 1,353,632               | 1,006,769               | 1,955,555            | 746,367                   | 395,200                   | 372,252                   |
| Environmental services                                           | 1,921,514                 | 1,788,412                 | 1,707,426                 | 1,704,725                 | 1,641,126               | 1,525,929               | 1,586,909            | 1,434,591                 | 1,430,341                 | 1,323,296                 |
| Animal control                                                   | -                         | -                         | -                         | 123,665                   | 113,487                 | 108,023                 | 117,017              | 108,815                   | 99,965                    | 90,649                    |
| Public works                                                     | 429,269                   | 330,388                   | 294,737                   | 360,112                   | 453,374                 | 264,185                 | 592,211              | 155,426                   | 152,145                   | 149,677                   |
| Highways and streets                                             | 1,559,615                 | 1,168,778                 | 1,227,048                 | 1,254,942                 | 1,374,830               | 1,100,961               | 1,154,834            | 1,303,547                 | 1,421,330                 | 1,362,428                 |
| Vehicle maintenance                                              | 558,653                   | 551,334                   | 496,426                   | 418,068                   | 418,626                 | 399,019                 | 402,507              | 391,610                   | 403,148                   | 364,901                   |
| Parks and recreation                                             | 4,292,539                 | 4,309,104                 | 4,014,097                 | 3,936,723                 | 3,763,086               | 3,597,451               | 3,731,027            | 3,597,665                 | 3,392,380                 | 2,645,342                 |
| Economic Development Agency                                      | 743,864                   | 445,448                   | 1,622,169                 | 6,769,860                 | 444,972                 | 280,227                 | 254,355              | 211,193                   | 234,598                   | 230,201                   |
| Other program cost                                               | -                         | -                         | -                         | -                         | -                       | -                       | -                    | -                         | (291)                     | 291                       |
| Debt service:                                                    |                           |                           |                           |                           |                         |                         |                      |                           |                           |                           |
| Principal                                                        | 1,839,745                 | 1,754,475                 | 1,205,000                 | 1,385,000                 | 860,000                 | 835,000                 | 800,000              | 775,000                   | 760,000                   | 425,000                   |
| Interest                                                         | 862,768                   | 892,232                   | 572,156                   | 245,373                   | 403,564                 | 431,901                 | 458,795              | 484,739                   | 487,066                   | 627,829                   |
| Capital outlay - capital                                         | 5,257,893                 | 4,926,719                 | 7,385,042                 | 7,610,707                 | 4,787,847               | 5,188,144               | 1,708,556            | 8,825,328                 | 7,077,681                 | 7,085,559                 |
| Total expenditures                                               | <u>41,425,031</u>         | <u>39,232,884</u>         | <u>38,281,716</u>         | <u>42,600,001</u>         | <u>31,892,649</u>       | <u>30,066,561</u>       | <u>27,965,925</u>    | <u>32,386,667</u>         | <u>29,701,125</u>         | <u>29,019,249</u>         |
| <b>Excess (deficiency) of revenues over (under) expenditures</b> | <u><b>(3,225,732)</b></u> | <u><b>(2,642,963)</b></u> | <u><b>(1,231,230)</b></u> | <u><b>(3,476,959)</b></u> | <u><b>2,383,484</b></u> | <u><b>(920,705)</b></u> | <u><b>68,264</b></u> | <u><b>(3,489,306)</b></u> | <u><b>(3,441,512)</b></u> | <u><b>(5,505,101)</b></u> |
| <b>Other financing sources (uses):</b>                           |                           |                           |                           |                           |                         |                         |                      |                           |                           |                           |
| Contributions                                                    | -                         | -                         | -                         | -                         | -                       | -                       | -                    | 19,955                    | 384,662                   | 63,156                    |
| Premiums on bonds issued                                         | -                         | -                         | 1,163,285                 | 884,045                   | -                       | -                       | -                    | -                         | -                         | -                         |
| Proceeds of long-term debt                                       | -                         | -                         | 11,040,000                | 14,185,000                | -                       | -                       | -                    | -                         | -                         | 3,642,438                 |
| Bond issuance costs                                              | -                         | -                         | (121,358)                 | (155,986)                 | -                       | -                       | -                    | -                         | -                         | -                         |
| Repayment from debt refunding                                    | -                         | -                         | -                         | (6,098,495)               | -                       | -                       | -                    | -                         | -                         | -                         |
| Insurance proceeds                                               | -                         | -                         | -                         | -                         | -                       | -                       | -                    | 130,254                   | 74,359                    | 138,900                   |
| Sale of capital assets                                           | -                         | -                         | -                         | -                         | -                       | -                       | -                    | 38,194                    | 8,404                     | 16,684                    |
| In lieu of tax payments from utility*                            | 1,635,255                 | 1,699,195                 | 1,640,386                 | 1,545,670                 | 1,448,787               | 1,383,147               | 987,430              | -                         | -                         | -                         |
| Operating transfers in                                           | -                         | -                         | -                         | -                         | 2,183,420               | 2,866,662               | 1,994,252            | 669,414                   | 1,396,522                 | 1,071,241                 |
| Operating transfers out                                          | -                         | -                         | -                         | -                         | (2,183,420)             | (2,807,596)             | (1,994,252)          | -                         | -                         | -                         |
| Total other financing sources (uses)                             | <u>1,635,255</u>          | <u>1,699,195</u>          | <u>13,722,313</u>         | <u>10,360,234</u>         | <u>1,448,787</u>        | <u>1,442,213</u>        | <u>987,430</u>       | <u>857,817</u>            | <u>1,863,947</u>          | <u>4,932,419</u>          |
| Net changes in fund balances                                     | <u>\$ (1,590,477)</u>     | <u>\$ (943,768)</u>       | <u>\$ 12,491,083</u>      | <u>\$ 6,883,275</u>       | <u>\$ 3,832,271</u>     | <u>\$ 521,508</u>       | <u>\$ 1,055,694</u>  | <u>\$ (2,631,489)</u>     | <u>\$ (1,577,565)</u>     | <u>\$ (572,682)</u>       |
| Debt services as a percentage of non-capital expenditures        | 8.08%                     | 8.36%                     | 6.10%                     | 4.89%                     | 4.89%                   | 5.37%                   | 5.04%                | 5.65%                     | 5.83%                     | 5.04%                     |

**CITY OF GALLATIN, TENNESSEE  
REVENUE CAPACITY INFORMATION  
ASSESSED VALUE AND ESTIMATED ACTUAL VALUE OF TAXABLE PROPERTY -  
LAST TEN TAX YEARS**

| <b>TAX YEAR</b> | <b>APPRAISED VALUE</b>                          |                                |                                           | <b>ASSESSED<br/>VALUE AS A<br/>PERCENTAGE<br/>OF ACTUAL</b> | <b>TOTAL<br/>DIRECT<br/>TAX<br/>RATE*</b> |
|-----------------|-------------------------------------------------|--------------------------------|-------------------------------------------|-------------------------------------------------------------|-------------------------------------------|
|                 | <b>TOTAL<br/>TAXABLE<br/>ASSESSED<br/>VALUE</b> | <b>TAX EXEMPT<br/>PROPERTY</b> | <b>ESTIMATED ACTUAL<br/>TAXABLE VALUE</b> |                                                             |                                           |
| 2018            | \$ 1,093,735,253                                | \$ 21,926,143                  | \$ 3,758,217,774                          | 29.69%                                                      | \$ 0.99                                   |
| 2017            | 1,072,724,646                                   | 23,016,954                     | 3,688,978,706                             | 29.70%                                                      | 0.99                                      |
| 2016            | 1,054,185,684                                   | 23,958,652                     | 3,498,839,903                             | 30.81%                                                      | 0.99                                      |
| 2015            | 970,755,281                                     | 18,537,816                     | 3,050,696,936                             | 32.43%                                                      | 0.99                                      |
| 2014            | 974,737,567                                     | 17,806,242                     | 3,032,204,783                             | 30.31%                                                      | 0.99                                      |
| 2013            | 962,079,513                                     | 17,806,242                     | 2,982,691,390                             | 32.85%                                                      | 0.99                                      |
| 2012            | 944,739,332                                     | 17,321,500                     | 3,148,310,625                             | 30.56%                                                      | 0.99                                      |
| 2011            | 921,041,801                                     | 16,983,625                     | 3,094,122,921                             | 30.32%                                                      | 0.99                                      |
| 2010            | 903,798,781                                     | 16,697,225                     | 3,043,499,576                             | 30.24%                                                      | 0.99                                      |
| 2009            | 772,787,864                                     | 7,559,875                      | 2,634,149,025                             | 29.62%                                                      | 1.12                                      |

\* Per \$100 of assessed valuation

Note - Property of the City is reappraised periodically. For this reason appraised value is considered equal to actual value. All information was pulled from the tax levies by the year noted.

**CITY OF GALLATIN, TENNESSEE  
REVENUE CAPACITY INFORMATION  
PRINCIPAL PROPERTY TAX PAYERS - CURRENT YEAR AND NINE YEARS AGO**

|                                | <b>2018</b>                   |                                           | <b>2009</b>                   |                                           |
|--------------------------------|-------------------------------|-------------------------------------------|-------------------------------|-------------------------------------------|
|                                | <b>ASSESSED<br/>VALUATION</b> | <b>PERCENT<br/>OF TOTAL<br/>VALUATION</b> | <b>ASSESSED<br/>VALUATION</b> | <b>PERCENT<br/>OF TOTAL<br/>VALUATION</b> |
| Sumner Regional Med Ctr        | \$ 83,926,200                 | 7.85%                                     | \$ -                          | 0.00%                                     |
| Gap Inc                        | 65,000,000                    | 6.08%                                     | 68,693,360                    | 8.98%                                     |
| Wellington Farms Apt           | 31,800,000                    | 2.98%                                     | 13,436,880                    | 1.76%                                     |
| Stoneridge Farms Hunt Club LLC | 30,679,200                    | 2.87%                                     | 23,215,427                    | 3.03%                                     |
| MAA BRIK LLC                   | 23,513,500                    | 2.20%                                     | -                             | 0.00%                                     |
| Foxland Crossings LLC          | 22,631,700                    | 2.12%                                     | -                             | 0.00%                                     |
| Sumner Regional Med Ctr        | 21,133,580                    | 1.98%                                     | 16,302,645                    | 2.13%                                     |
| Freewill Baptist Bible         | 17,451,024                    | 1.63%                                     | -                             | 0.00%                                     |
| Hoegananes Corp                | 11,503,534                    | 1.08%                                     | 15,665,973                    | 2.05%                                     |
| YAPP USA Auto Systems INC      | 6,871,854                     | 0.64%                                     | -                             | 0.00%                                     |
| Kennesaw Partners LLC          | -                             | 0.00%                                     | 21,054,720                    | 2.75%                                     |
| Sumner County Plaza LLC        | -                             | 0.00%                                     | 16,762,268                    | 2.19%                                     |
| TLP Development Corp           | -                             | 0.00%                                     | 16,032,840                    | 2.10%                                     |
| R&R Donnelley & Sons Co        | -                             | 0.00%                                     | 7,982,131                     | 1.04%                                     |
| Gap Inc & Subs Ent #90560      | -                             | 0.00%                                     | 6,438,280                     | 0.84%                                     |
| <b>Totals</b>                  | <b>\$ 314,510,592</b>         | <b>29.44%</b>                             | <b>\$ 205,584,524</b>         | <b>26.87%</b>                             |

Information was obtained from the property tax rolls for the years noted.

**CITY OF GALLATIN, TENNESSEE  
REVENUE CAPACITY INFORMATION  
PROPERTY TAX LEVIES AND COLLECTIONS - LAST TEN FISCAL YEARS**

| <b>FISCAL<br/>YEAR</b> | <b>ASSESSED<br/>VALUATION</b> | <b>TOTAL TAX<br/>LEVY</b> | <b>COLLECTED<br/>WITHIN TAX<br/>YEAR OF LEVY</b> | <b>PERCENT<br/>COLLECTED</b> | <b>COLLECTIONS<br/>IN<br/>SUBSEQUENT<br/>YEARS</b> | <b>TOTAL<br/>COLLECTIONS</b> | <b>TOTAL<br/>COLLECTIONS<br/>AS PERCENT<br/>OF TOTAL<br/>LEVY</b> |
|------------------------|-------------------------------|---------------------------|--------------------------------------------------|------------------------------|----------------------------------------------------|------------------------------|-------------------------------------------------------------------|
| 2018                   | \$ 1,093,735,253              | \$ 10,827,979             | \$ 10,579,355                                    | 97.70%                       | \$ -                                               | \$ 10,579,355                | 97.70%                                                            |
| 2017                   | 1,072,724,646                 | 10,619,974                | 9,753,871                                        | 96.67%                       | 805,906                                            | 10,559,777                   | 99.43%                                                            |
| 2016                   | 1,054,185,684                 | 10,090,162                | 9,753,871                                        | 96.67%                       | 294,125                                            | 10,047,996                   | 99.58%                                                            |
| 2015                   | 970,755,281                   | 9,610,494                 | 9,447,813                                        | 98.31%                       | 125,155                                            | 9,572,968                    | 99.61%                                                            |
| 2014                   | 974,737,567                   | 9,546,819                 | 9,336,177                                        | 97.83%                       | 185,009                                            | 9,521,186                    | 99.73%                                                            |
| 2013                   | 962,079,513                   | 9,413,801                 | 9,078,911                                        | 96.92%                       | 311,174                                            | 9,390,085                    | 99.75%                                                            |
| 2012                   | 944,739,332                   | 9,438,136                 | 8,792,522                                        | 93.13%                       | 624,801                                            | 9,417,323                    | 99.78%                                                            |
| 2011                   | 921,041,801                   | 8,947,608                 | 8,756,928                                        | 92.60%                       | 167,440                                            | 8,924,368                    | 99.74%                                                            |
| 2010                   | 903,798,781                   | 8,655,224                 | 8,794,819                                        | 98.29%                       | 121,554                                            | 8,916,373                    | 103.02%                                                           |
| 2009                   | 772,787,864                   | 8,154,892                 | 8,743,629                                        | 101.02%                      | 597,028                                            | 9,340,657                    | 114.54%                                                           |

Assessed valuation amount was taken from the property tax levy for the year noted.

**CITY OF GALLATIN, TENNESSEE  
DEBT CAPACITY INFORMATION  
RATIOS OF OUTSTANDING DEBT BY TYPE - LAST TEN FISCAL YEARS**

| FISCAL<br>YEAR | POPULATION* | PERSONAL<br>INCOME** | GOVERNMENTAL ACTIVITIES        |            |                       | BUSINESS-TYPE ACTIVITIES |            |                                          | TOTAL<br>PRIMARY<br>GOVERNMENT | DEBT PER<br>CAPITA | PERCENT<br>OF<br>PERSONAL<br>INCOME |
|----------------|-------------|----------------------|--------------------------------|------------|-----------------------|--------------------------|------------|------------------------------------------|--------------------------------|--------------------|-------------------------------------|
|                |             |                      | GENERAL<br>OBLIGATION<br>BONDS | NOTES      | TOTAL<br>GOVERNMENTAL | REVENUE &<br>TAX BONDS   | NOTES      | TOTAL<br>BUSINESS-<br>TYPE<br>ACTIVITIES |                                |                    |                                     |
| 2018           | 37,351      | \$ 26,544            | \$ 22,240,000                  | \$ 549,745 | \$ 22,789,745         | \$ 33,955,000            | \$ 117,448 | \$ 34,072,448                            | \$ 56,862,193                  | \$ 1,522.37        | 5.74%                               |
| 2017           | 35,734      | 26,450               | 23,555,000                     | 1,074,490  | 24,629,490            | 35,785,000               | 316,492    | 36,101,492                               | 60,730,982                     | 1,699.53           | 6.43%                               |
| 2016           | 34,473      | 26,708               | 24,805,000                     | 1,579,235  | 26,384,235            | 37,560,000               | 444,889    | 38,004,889                               | 64,389,124                     | 1,867.81           | 6.99%                               |
| 2015           | 33,347      | 26,596               | 13,695,000                     | 2,068,980  | 15,763,980            | 38,890,000               | 413,951    | 39,303,951                               | 55,067,931                     | 1,651.36           | 6.21%                               |
| 2014           | 32,307      | 25,534               | 6,985,000                      | 2,538,725  | 9,523,725             | 32,935,000               | 461,503    | 33,396,503                               | 42,920,228                     | 1,328.51           | 5.20%                               |
| 2013           | 31,414      | 22,963               | 7,480,000                      | 2,455,000  | 9,935,000             | 34,215,000               | 620,751    | 34,835,751                               | 44,770,751                     | 1,425.18           | 6.21%                               |
| 2012           | 30,278      | 23,465               | 7,960,000                      | 2,810,000  | 10,770,000            | 35,680,000               | 744,902    | 36,424,902                               | 47,194,902                     | 1,558.72           | 6.64%                               |
| 2011           | 30,278      | 23,138               | 8,865,000                      | 3,480,000  | 12,345,000            | 32,666,168               | 993,202    | 33,659,370                               | 46,004,370                     | 1,519.40           | 6.57%                               |
| 2010           | 28,677      | 23,138               | 8,865,000                      | 3,480,000  | 12,345,000            | 32,666,168               | 993,202    | 33,659,370                               | 46,004,370                     | 1,604.23           | 6.93%                               |
| 2009           | 28,198      | 23,465               | 13,105,000                     | -          | 13,105,000            | 33,864,444               | 1,117,352  | 34,981,796                               | 48,086,796                     | 1,705.33           | 7.27%                               |

\* SOURCE FOR POPULATION: US Census Bureau

\*\* PERSONAL INCOME amounts were obtained from State estimates.

**CITY OF GALLATIN, TENNESSEE  
DEBT CAPACITY INFORMATION  
RATIOS OF GENERAL BONDED DEBT OUTSTANDING - LAST TEN FISCAL YEARS**

| <b>GOVERNMENTAL ACTIVITIES</b> |                   |                                         |              |                               |                                                      |                                         |                            |                                                                                |                                                           |
|--------------------------------|-------------------|-----------------------------------------|--------------|-------------------------------|------------------------------------------------------|-----------------------------------------|----------------------------|--------------------------------------------------------------------------------|-----------------------------------------------------------|
| <b>FISCAL<br/>YEAR</b>         | <b>POPULATION</b> | <b>GENERAL<br/>OBLIGATION<br/>BONDS</b> | <b>NOTES</b> | <b>TOTAL<br/>GOVERNMENTAL</b> | <b>BUSINESS -<br/>TYPE<br/>ACIVITIES -<br/>NOTES</b> | <b>TOTAL<br/>PRIMARY<br/>GOVERNMENT</b> | <b>APPRAISED<br/>VALUE</b> | <b>RATIO OF<br/>GENERAL<br/>OBLIGATION<br/>DEBT TO<br/>APPRAISED<br/>VALUE</b> | <b>NET GENERAL<br/>OBLIGATION<br/>DEBT PER<br/>CAPITA</b> |
| 2018                           | 37,351            | \$ 22,240,000                           | \$ 549,745   | \$ 22,789,745                 | \$ 117,448                                           | \$ 22,907,193                           | \$ 1,093,735,253           | 2.09%                                                                          | \$ 613.30                                                 |
| 2017                           | 35,734            | 23,555,000                              | 1,074,490    | 24,629,490                    | 316,492                                              | 24,945,982                              | 1,072,724,646              | 2.33%                                                                          | 698.10                                                    |
| 2016                           | 34,473            | 24,805,000                              | 1,579,235    | 26,384,235                    | 444,889                                              | 26,829,124                              | 1,012,571,177              | 2.65%                                                                          | 778.26                                                    |
| 2015                           | 33,347            | 13,695,000                              | 2,068,980    | 15,763,980                    | 413,951                                              | 16,177,931                              | 970,755,281                | 1.67%                                                                          | 485.14                                                    |
| 2014                           | 32,307            | 6,985,000                               | 2,538,725    | 9,523,725                     | 461,503                                              | 9,985,228                               | 974,737,567                | 1.02%                                                                          | 309.07                                                    |
| 2013                           | 31,414            | 7,480,000                               | 2,455,000    | 9,935,000                     | 620,751                                              | 10,555,751                              | 962,079,513                | 1.10%                                                                          | 336.02                                                    |
| 2012                           | 30,278            | 7,960,000                               | 2,810,000    | 10,770,000                    | 744,902                                              | 11,514,902                              | 944,739,332                | 1.22%                                                                          | 380.31                                                    |
| 2011                           | 30,278            | 8,420,000                               | 3,150,000    | 11,570,000                    | 869,052                                              | 12,439,052                              | 921,041,801                | 1.35%                                                                          | 410.83                                                    |
| 2010                           | 28,677            | 8,865,000                               | 3,480,000    | 12,345,000                    | 993,202                                              | 13,338,202                              | 903,798,781                | 1.48%                                                                          | 440.52                                                    |
| 2009                           | 28,198            | 13,105,000                              | -            | 13,105,000                    | 1,117,352                                            | 14,222,352                              | 772,787,864                | 1.84%                                                                          | 495.95                                                    |

\* SOURCE FOR POPULATION: US Census Bureau

**CITY OF GALLATIN, TENNESSEE  
DEBT CAPACITY INFORMATION  
PLEDGED REVENUE COVERAGE - LAST TEN FISCAL YEARS**

| <b>FISCAL YEAR</b> | <b>UTILITY<br/>SERVICE<br/>CHARGES</b> | <b>LESS:<br/>OPERATING<br/>EXPENSES</b> | <b>NET REVENUE<br/>AVAILABLE<br/>FOR DEBT<br/>SERVICE</b> | <b>PRINCIPAL</b> | <b>INTEREST</b> | <b>TOTAL</b> | <b>PERCENT OF<br/>COVERAGE</b> |
|--------------------|----------------------------------------|-----------------------------------------|-----------------------------------------------------------|------------------|-----------------|--------------|--------------------------------|
| 2018               | \$ 14,593,834                          | \$ 8,546,734                            | \$ 6,047,100                                              | \$ 1,730,000     | \$ 1,326,336    | \$ 3,056,336 | 197.85%                        |
| 2017               | 14,190,626                             | 7,221,685                               | 6,968,941                                                 | 1,830,000        | 1,403,935       | 3,233,935    | 215.49%                        |
| 2016               | 13,525,181                             | 7,389,032                               | 6,136,149                                                 | 1,775,000        | 1,460,061       | 3,235,061    | 189.68%                        |
| 2015               | 12,112,544                             | 6,651,379                               | 5,461,165                                                 | 1,330,000        | 1,101,320       | 2,431,320    | 224.62%                        |
| 2014               | 12,259,008                             | 6,548,582                               | 5,710,426                                                 | 1,280,000        | 1,420,441       | 2,700,441    | 211.46%                        |
| 2013               | 11,293,065                             | 5,934,780                               | 5,358,285                                                 | 1,465,000        | 1,464,908       | 2,929,908    | 182.88%                        |
| 2012               | 10,944,632                             | 6,380,348                               | 4,564,284                                                 | 1,334,150        | 1,444,529       | 2,778,679    | 164.26%                        |
| 2011               | 10,784,113                             | 6,825,971                               | 3,958,142                                                 | 1,140,000        | 1,404,543       | 2,544,543    | 155.55%                        |
| 2010               | 9,822,137                              | 6,127,486                               | 3,694,651                                                 | 905,000          | 1,286,094       | 2,191,094    | 168.62%                        |
| 2009               | 9,371,205                              | 5,955,230                               | 3,415,975                                                 | 940,000          | 1,392,100       | 2,332,100    | 146.48%                        |

**Notes:** Details regarding the City's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses. Sales tax increment bonds are backed by the sales tax revenue produced by the sales tax rate in effect when the bonds were issued (2.5 percent) applied to the increase in retail sales in the Commons shopping area since that time.



**CITY OF GALLATIN, TENNESSEE  
DEMOGRAPHIC AND ECONOMIC INFORMATION  
DEMOGRAPHIC AND ECONOMIC STATISTICS - LAST TEN FISCAL YEARS**

| <b>CALENDAR YEAR</b> | <b>CITY<br/>POPULATION*</b> | <b>COUNTY<br/>POPULATION*</b> | <b>PERSONAL<br/>INCOME**</b> | <b>PER CAPITA<br/>PERSONAL<br/>INCOME**</b> | <b>MEDIAN AGE*</b> | <b>COUNTY<br/>SCHOOL<br/>ENROLLMENT<br/>***</b> | <b>COUNTY<br/>UNEMPLOY-<br/>MENT RATE****</b> |
|----------------------|-----------------------------|-------------------------------|------------------------------|---------------------------------------------|--------------------|-------------------------------------------------|-----------------------------------------------|
| 2018                 | 37,351                      | 183,545                       | \$ 49,041                    | \$ 26,544                                   | 37.2               | 29,196                                          | 2.80%                                         |
| 2017                 | 35,734                      | 180,063                       | 47,957                       | 26,450                                      | 36.0               | 29,059                                          | 2.30%                                         |
| 2016                 | 34,473                      | 175,989                       | 46,441                       | 26,708                                      | 37.0               | 29,060                                          | 4.10%                                         |
| 2015                 | 33,347                      | 172,706                       | 46,102                       | 26,596                                      | 37.0               | 28,715                                          | 4.70%                                         |
| 2014                 | 32,307                      | 168,888                       | 45,603                       | 25,534                                      | 37.4               | 28,361                                          | 5.60%                                         |
| 2013                 | 31,414                      | 165,950                       | 42,425                       | 22,963                                      | 37.5               | 28,508                                          | 6.70%                                         |
| 2012                 | 30,278                      | 160,645                       | 45,665                       | 23,465                                      | 36.6               | 28,626                                          | 8.40%                                         |
| 2011                 | 30,278                      | 160,645                       | 45,858                       | 23,138                                      | 36.6               | 27,333                                          | 8.70%                                         |
| 2010                 | 28,677                      | 162,527                       | 45,665                       | 23,465                                      | 38.1               | 27,177                                          | 9.78%                                         |
| 2009                 | 28,198                      | 159,013                       | 48,993                       | 24,631                                      | 37.9               | 26,493                                          | 7.90%                                         |

\* US Census Bureau

\*\* State Estimate

\*\*\* Sumner County School Board

\*\*\*\* Tennessee State Department of Labor, Statistical Services

**Note:** Population, median age, and education level information are based on surveys conducted during the last quarter of the calendar year. Personal income information is a total for the year. Unemployment rate information is an adjusted yearly average. School enrollment is based on the census at the start of the school year.

**CITY OF GALLATIN, TENNESSEE  
DEMOGRAPHIC AND ECONOMIC INFORMATION  
PRINCIPAL EMPLOYERS - CURRENT YEAR AND NINE YEARS AGO**

|                                | 2018             |             |                                                    | 2009             |             |                                                    |
|--------------------------------|------------------|-------------|----------------------------------------------------|------------------|-------------|----------------------------------------------------|
|                                | <u>EMPLOYEES</u> | <u>RANK</u> | <u>PERCENTAGE<br/>OF TOTAL CITY<br/>EMPLOYMENT</u> | <u>EMPLOYEES</u> | <u>RANK</u> | <u>PERCENTAGE<br/>OF TOTAL CITY<br/>EMPLOYMENT</u> |
| Gap, Inc.                      | 1,840            | 1           | 8.36%                                              | 1,100            | 1           | 9.57%                                              |
| Sumner Regional Medical Center | 1,120            | 2           | 5.09%                                              | 1,027            | 2           | 8.93%                                              |
| Vol State Community College    | 838              | 3           | 3.81%                                              | 750              | 3           | 6.52%                                              |
| Servpro Industries             | 475              | 4           | 2.16%                                              | 180              | 10          | 1.57%                                              |
| Yapp Automotive                | 375              | 5           | 1.70%                                              | N/A              | N/A         | N/A                                                |
| ABC Technologies               | 340              | 6           | 1.55%                                              | N/A              | N/A         | N/A                                                |
| Hoeganaes                      | 235              | 7           | 1.07%                                              | N/A              | N/A         | N/A                                                |
| NIC Global                     | 218              | 8           | 0.99%                                              | N/A              | N/A         | N/A                                                |
| ITW CIP                        | 195              | 9           | 0.89%                                              | N/A              | N/A         | N/A                                                |
| Charles C. Park                | 175              | 10          | 0.80%                                              | N/A              | N/A         | N/A                                                |
| Bosch Gallatin                 | N/A              | N/A         | N/A                                                | 385              | 4           | 3.35%                                              |
| R.R. Donnelley                 | N/A              | N/A         | N/A                                                | 320              | 5           | 2.78%                                              |
| ABC Fuel Systems               | N/A              | N/A         | N/A                                                | 275              | 6           | 2.39%                                              |
| G.F. Furniture                 | N/A              | N/A         | N/A                                                | 240              | 7           | 2.09%                                              |
| Crescent Manufacturing         | N/A              | N/A         | N/A                                                | 210              | 8           | 1.83%                                              |
| Fleetwood Homes                | N/A              | N/A         | N/A                                                | 200              | 9           | 1.74%                                              |

**Sources:** Tennessee Department of Labor Workforce & Development and City of Gallatin's Economic Development

**CITY OF GALLATIN, TENNESSEE  
OPERATING INFORMATION  
FULL-TIME EQUIVALENT CITY GOVERNMENT EMPLOYEES BY FUNCTION/PROGRAM, LAST TEN FISCAL YEARS**

| <b>Function/Program</b>     | <b>2018</b> | <b>2017</b> | <b>2016</b> | <b>2015</b> | <b>2014</b> | <b>2013</b> | <b>2012</b> | <b>2011</b> | <b>2010</b> | <b>2009</b> |
|-----------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| <b>General Government:</b>  |             |             |             |             |             |             |             |             |             |             |
| Mayor's Office              | 3           | 3           | 3           | 3           | 3           | 3           | 3           | 3           | 3           | 3           |
| Planning (Combined in 2010) | 9           | 7           | 7           | 6           | 6           | 0           | 0           | 0           | 0           | 6           |
| Finance                     | 6           | 6           | 5           | 5           | 8           | 8           | 8           | 8           | 5           | 4           |
| City Attorney               | 4           | 4           | 3           | 3           | 3           | 3           | 3           | 3           | 3           | 3           |
| Recorder                    | 7           | 6           | 6           | 6           | 7           | 7           | 7           | 7           | 7           | 7           |
| Personnel                   | 3           | 3           | 3           | 2           | 2           | 1           | 2           | 2           | 2           | 2           |
| Codes                       | 15          | 12          | 9           | 10          | 7           | 13          | 13          | 14          | 14          | 8           |
| Economic Development Agency | 3           | 3           | 3           | 2           | 2           | 2           | 2           | 2           | 2           | 2           |
| Information Technology      | 7           | 7           | 6           | 5           | 0           | 0           | 0           | 0           | 3           | 3           |
| <b>Public Safety:</b>       |             |             |             |             |             |             |             |             |             |             |
| Police                      | 99          | 99          | 98          | 93          | 94          | 89          | 88          | 88          | 90          | 90          |
| Fire                        | 98          | 85          | 68          | 72          | 72          | 71          | 71          | 73          | 58          | 58          |
| <b>Public Works</b>         | 50          | 47          | 48          | 47          | 49          | 48          | 49          | 48          | 47          | 45          |
| <b>Leisure Services</b>     | 29          | 29          | 31          | 31          | 31          | 30          | 30          | 29          | 29          | 29          |
| <b>Engineering</b>          | 8           | 7           | 6           | 7           | 6           | 6           | 6           | 5           | 5           | 5           |
| <b>Public Utilities</b>     | 95          | 86          | 88          | 87          | 82          | 85          | 86          | 85          | 84          | 79          |
| <b>Golf Course</b>          | 0           | 0           | 0           | 0           | 0           | 0           | 0           | 0           | 0           | 0           |
| <b>Total</b>                | 436         | 404         | 384         | 379         | 372         | 366         | 368         | 367         | 352         | 344         |

**Sources: PERSONNEL OFFICIAL**

\*AUDITS PRIOR YEARS

2009 numbers include 7 PPT employees and consolidates the 7 Golf personnel under Leisure Services. It does not include 14 unfilled positions (total authorized manning 358).

2010 numbers include 6 PPT employees and combines 6 Planning and 8 Codes employees into one department. It does not include 5 unfilled positions (total authorized manning 357).

2011 numbers include 6 PPT employees and combines 3 IT and 5 Finance. It does not include 6 unfilled positions (total authorized manning 373 as of 6/30/11) (377 as of 7/1/11)

2012 numbers include 3 PPT employees. It does not include 9 unfilled positions (total authorized manning 377 as 6/30/12)

2013 numbers include 3 PPT employees. It does not include 11 unfilled positions (total authorized manning 377 as 6/30/13)

2016 numbers include 4 PPT employees. It does not include 12 unfilled positions (total authorized manning 396 as 6/30/16)

2017 numbers include 4 PPT employees. It does not include 15 unfilled position (total authorized manning as 6/30/17)

**CITY OF GALLATIN, TENNESSEE**  
**OPERATING INFORMATION**  
**OPERATING INDICATORS BY FUNCTION / PROGRAM, LAST TEN FISCAL YEARS**

| FUNCTION / PROGRAM                                         | 2018    | 2017    | 2016    | 2015    | 2014    | 2013    | 2012    | 2011    | 2010    | 2009    |
|------------------------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| <b>Police</b>                                              |         |         |         |         |         |         |         |         |         |         |
| Physical arrests                                           | 3,718   | 3,805   | 3,803   | 3,575   | 3,772   | 4,913   | 4,526   | 4,911   | 5,450   | 6,019   |
| Parking violations                                         | 308     | 279     | 458     | 722     | 420     | 634     | 450     | 1,087   | 815     | 1,216   |
| Traffic violations                                         | 13,436  | 13,824  | 17,393  | 22,643  | 13,231  | 20,494  | 19,237  | 23,657  | 27,906  | 28,272  |
| * Red Light Camera Citations                               | 6,211   | 7,386   | 9,054   | 7,751   | 7,029   | 5,953   | 7,188   | 10,986  | 13,610  | 10,790  |
| <b>Fire</b>                                                |         |         |         |         |         |         |         |         |         |         |
| Emergency responses                                        | 5,636   | 4,192   | 3,917   | 3,390   | 3,120   | 2,973   | 3,016   | 3,176   | 2,474   | 1,901   |
| Fires extinguished                                         | 113     | 133     | 144     | 94      | 120     | 105     | 110     | 102     | 95      | 82      |
| Inspections                                                | 2,423   | 1,658   | 1,664   | 1,413   | 829     | 1,194   | 1,170   | 731     | 810     | 942     |
| <b>Animal Control</b>                                      |         |         |         |         |         |         |         |         |         |         |
| Animals Restrained                                         | 487     | 576     | 622     | N/A     | 388     | 491     | 786     | 765     | 967     | 1,187   |
| <b>Highways and Streets</b>                                |         |         |         |         |         |         |         |         |         |         |
| Street resurfacing (miles)                                 | 6.0     | 3.3     | 4.6     | 6       | 5       | 6       | 8       | 3       | 1       | 7       |
| Potholes repaired                                          | 356     | 314     | 403     | 324     | 546     | 122     | N/A     | N/A     | 398     | 273     |
| <b>Other Public Works</b>                                  |         |         |         |         |         |         |         |         |         |         |
| Utility cuts repaired                                      | N/A     | N/A     | 139     | 138     | 175     | 142     | 142     | 171     | 122     | 147     |
| <b>Parks and Recreation</b>                                |         |         |         |         |         |         |         |         |         |         |
| Athletic field permits issued                              | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     |
| Community center admissions                                | 270,000 | 270,000 | 240,000 | 240,000 | 230,000 | 230,000 | 230,000 | 230,000 | 220,000 | 220,000 |
| <b>Community Service</b>                                   |         |         |         |         |         |         |         |         |         |         |
| Number of organization benefited                           | 14      | 10      | 12      | 16      | 16      | 16      | 16      | 16      | 16      | 17      |
| Number of services benefited                               | 3       | 5       | 4       | 4       | 4       | 4       | 4       | 4       | 4       | 4       |
| <b>Environmental Services</b>                              |         |         |         |         |         |         |         |         |         |         |
| Tons hauled                                                | 16,171  | 16,142  | 12,224  | 11,413  | 11,376  | 11,588  | 10,145  | 11,384  | 11,420  | 11,376  |
| <b>Water</b>                                               |         |         |         |         |         |         |         |         |         |         |
| New connections                                            | 425     | 380     | 316     | 330     | 272     | 238     | 212     | 188     | 183     | 288     |
| Water main breaks                                          | 37      | 37      | 37      | 38      | 40      | 32      | 36      | 48      | 50      | 62      |
| Average daily consumption<br>(thousands of gallons)        | 7,316   | 6,052   | 6,171   | 5,865   | 5,944   | 5,948   | 6,246   | 6,705   | 6,794   | 6,742   |
| Peak daily consumption<br>(thousands of gallons)           | 8,451   | 7,072   | 8,287   | 7,873   | 9,277   | 9,714   | 10,265  | 8,309   | 7,233   | 8,108   |
| <b>Sewer</b>                                               |         |         |         |         |         |         |         |         |         |         |
| Average daily treatment<br>(thousands of gallons)          | 6,282   | 5,902   | 5,808   | 6,435   | 6,992   | 6,285   | 5,621   | 5,835   | 5,392   | 5,172   |
| <b>Electric</b>                                            |         |         |         |         |         |         |         |         |         |         |
| Average daily consumption<br>(thousands of kilowatt hours) | 2,254   | 2,244   | 2,194   | 2,186   | 2,184   | 2,176   | 2,164   | 2,146   | 2,140   | 1,858   |
| <b>Natural Gas</b>                                         |         |         |         |         |         |         |         |         |         |         |
| Average Daily Consumption:                                 |         |         |         |         |         |         |         |         |         |         |
| Summer -April/October<br>(thousands of cubic feet)         | 4,810   | 4,656   | 4,937   | 5,550   | 5,117   | 4,723   | 4,319   | 4,928   | 4,068   | 3,746   |
| Winter-November/March<br>(thousands of cubic feet)         | 10,445  | 7,454   | 7,644   | 9,078   | 9,660   | 8,823   | 6,940   | 9,102   | 7,860   | 7,401   |
| <b>Golf</b>                                                |         |         |         |         |         |         |         |         |         |         |
| Rounds Played                                              | 45,000  | 45,000  | 45,000  | 35,000  | 45,000  | 45,000  | 45,000  | 44,000  | 46,000  | 46,000  |

**Sources:** Various city departments

**Notes:** Indicators are not available for the general government function

**CITY OF GALLATIN, TENNESSEE**  
**OPERATING INFORMATION**  
**CAPITAL ASSET STATISTICS BY FUNCTION / PROGRAM, LAST TEN FISCAL YEARS**

| <b>FUNCTION / PROGRAM</b>               | <b>2018</b> | <b>2017</b> | <b>2016</b> | <b>2015</b> | <b>2014</b> | <b>2013</b> | <b>2012</b> | <b>2011</b> | <b>2010</b> | <b>2009</b> |
|-----------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| <b>Police</b>                           |             |             |             |             |             |             |             |             |             |             |
| Stations                                | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           |
| Zone offices                            | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           |
| Patrol units                            | 91          | 79          | 78          | 76          | 73          | 64          | 77          | 70          | 71          | 67          |
| <b>Fire</b>                             |             |             |             |             |             |             |             |             |             |             |
| Stations                                | 4           | 4           | 4           | 4           | 4           | 4           | 4           | 3           | 3           | 3           |
| Fire trucks                             | 9           | 9           | 9           | 8           | 8           | 7           | 7           | 9           | 9           | 9           |
| <b>Animal Control</b>                   |             |             |             |             |             |             |             |             |             |             |
| Trucks                                  | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           |
| <b>Highways and Streets</b>             |             |             |             |             |             |             |             |             |             |             |
| Streets (miles)                         | 204.0       | 200.0       | 195.6       | 195         | 195         | 195         | 194         | 193         | 186         | 184         |
| Streetlights                            | 3,892       | 3,811       | 3,621       | 3,621       | 3,678       | 3,602       | 3,602       | 3,511       | 3,562       | 3,322       |
| Traffic signals                         | 380         | 370         | 362         | 362         | 354         | 352         | 352         | 358         | 330         | 329         |
| Sidewalks (miles)                       | 67          | 58          | 47          | 46          | 45          | 44          | 42          | 41          | 37          | 35          |
| <b>Parks and Recreation</b>             |             |             |             |             |             |             |             |             |             |             |
| Acreage                                 | 532         | 532         | 532         | 532         | 532         | 532         | 532         | 532         | 532         | 532         |
| Playgrounds                             | 5           | 5           | 4           | 4           | 4           | 4           | 4           | 4           | 4           | 4           |
| Baseball/softball diamonds              | 23          | 23          | 23          | 23          | 23          | 23          | 23          | 23          | 23          | 23          |
| Soccer/football fields                  | 8           | 8           | 8           | 8           | 8           | 8           | 8           | 8           | 8           | 8           |
| Community centers                       | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           |
| Volleyball Courts                       | 4           | 4           | 4           | 4           | 4           | 4           | 4           | 4           | 4           | 4           |
| Basketball Courts                       | 6           | 6           | 6           | 6           | 6           | 6           | 6           | 6           | 6           | 6           |
| Picnic Shelters                         | 13          | 13          | 13          | 13          | 13          | 14          | 14          | 13          | 13          | 13          |
| Tennis Courts                           | 6           | 6           | 6           | 6           | 6           | 6           | 6           | 6           | 6           | 6           |
| Horseshoe Pits                          | 5           | 5           | 9           | 9           | 9           | 9           | 9           | 9           | 9           | 9           |
| Fishing Piers                           | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           | 2           |
| Swimming Pools                          | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           |
| Walking Trail (miles)                   | 8           | 8           | 8           | 8           | 8           | 5           | 5           | 4           | 4           | 4           |
| Disc Golf (holes)                       | 18          | 18          | 18          | 18          | 18          | 18          | 18          | 18          | 18          | 18          |
| Model Airplane Strip                    | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           |
| Skate Park                              | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           |
| <b>Environmental Services</b>           |             |             |             |             |             |             |             |             |             |             |
| Refuse Trucks                           | 23          | 22          | 22          | 20          | 21          | 20          | 19          | 18          | 17          | 16          |
| <b>Water</b>                            |             |             |             |             |             |             |             |             |             |             |
| Water mains (miles)                     | 352         | 348         | 345         | 344         | 343         | 340         | 323         | 338         | 336         | 335         |
| Fire hydrants                           | 2,075       | 2,025       | 1,986       | 1,920       | 1,902       | 1,893       | 1,888       | 1,888       | 1,850       | 1,828       |
| Storage capacity (thousands of gallons) | 13,000      | 13,000      | 13,000      | 13,000      | 13,000      | 13,000      | 13,000      | 13,000      | 13,000      | 13,000      |
| Percent of Water Loss in System         | 16          | 12          | 13          | 12          | 15          | 15          | 20          | 21          | 23          | 22          |
| <b>Sewer</b>                            |             |             |             |             |             |             |             |             |             |             |
| Sewer mains (miles)                     | 344         | 340         | 236         | 234         | 233         | 231         | 220         | 220         | 217         | 217         |
| Pump Stations                           | 41          | 41          | 41          | 41          | 40          | 40          | 40          | 40          | 37          | 37          |
| <b>Natural Gas</b>                      |             |             |             |             |             |             |             |             |             |             |
| Gas lines (miles)                       | 385         | 382         | 380         | 376         | 368         | 363         | 361         | 360         | 359         | 355         |
| <b>Golf</b>                             |             |             |             |             |             |             |             |             |             |             |
| Acres                                   | 136         | 136         | 136         | 136         | 136         | 136         | 136         | 136         | 136         | 136         |
| Holes                                   | 18          | 18          | 18          | 18          | 18          | 18          | 18          | 18          | 18          | 18          |
| Driving Range                           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           | 1           |

**Sources:** Various city departments

**Notes:** No capital asset indicators are available for the general government.

## **INTERNAL CONTROL AND COMPLIANCE SECTION**



**Independent Auditor's Report on Internal Control Over Financial  
Reporting and on Compliance and Other Matters Based on an  
Audit of Financial Statements Performed in Accordance  
With Government Auditing Standards**

Honorable Paige Brown, Mayor  
Members of the City Council  
City of Gallatin, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2018, and the related notes to financial statements which collectively comprise the City's basic financial statements and have issued our report thereon dated December 30, 2018.

Our report includes a reference to other auditors who audited the financial statements of the Electric Department as described in our report on the City's financial statements. This report includes our consideration of the results of the other auditors testing of internal control over financial reporting and compliance and other matters that are reported on separately by those other auditors. However, this report, insofar as it relates to the results of the other auditors, is based solely on the reports of the other auditors.

**Internal Control Over Financial Reporting**

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Honorable Paige Brown, Mayor  
Members of the City Council  
City of Gallatin, Tennessee

**Compliance and Other Matters**

As part of obtaining reasonable assurance about whether the City's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

**Purpose of this Report**

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "Alexander Thompson Arnold, PLLC". The signature is written in a cursive, flowing style.

Jackson, Tennessee  
December 30, 2018





---

**Independent Auditor's Report on Compliance for Each Major Federal Program  
and Report on Internal Control Over Compliance  
Required by the *Uniform Guidance***

Honorable Paige Brown, Mayor  
Members of the City Council  
City of Gallatin, Tennessee

**Report on Compliance for Each Major Federal Program**

We have audited the City of Gallatin, Tennessee's (the City) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2018. The City's major federal programs are identified in the summary of auditor's results section of the accompanying *Schedule of Findings and Questioned Costs*.

***Management's Responsibility***

Management is responsible for compliance with the requirements of federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

***Auditor's Responsibility***

Our responsibility is to express an opinion on compliance for each of the City's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost and Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the City's compliance.

***Opinion on Each Major Federal Program***

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2018.

## Report on Internal Control Over Compliance

Management of the City is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the City's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

*A deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Alexander Thompson Arnold, PLLC". The signature is written in a cursive, flowing style.

Jackson, Tennessee  
December 30, 2018

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF FINDINGS AND QUESTIONED COSTS**  
June 30, 2018

**SECTION I – Summary of Auditor's Results**

**Financial Statements**

|                                                       |           |                             |
|-------------------------------------------------------|-----------|-----------------------------|
| Type of auditor's report issued:                      |           | Unmodified                  |
| Internal control over financial reporting:            |           |                             |
| Material weakness(es) identified?                     | _____ yes | _____ X _____ no            |
| Significant deficiency(ies) identified?               | _____ yes | _____ X _____ none reported |
| Noncompliance material to financial statements noted? | _____ yes | _____ X _____ no            |

**Federal Awards**

|                                                                                                                   |           |                             |
|-------------------------------------------------------------------------------------------------------------------|-----------|-----------------------------|
| Internal Control over major programs:                                                                             |           |                             |
| Material weakness(es) identified?                                                                                 | _____ yes | _____ X _____ no            |
| Significant deficiency(ies) identified?                                                                           | _____ yes | _____ X _____ none reported |
| Type of auditor's report issued on compliance<br>for major programs:                                              |           | Unmodified                  |
| Any audit findings disclosed that are required<br>to be reported in accordance with<br>Circular 2 CFR 200.516(a)? | _____ yes | _____ X _____ no            |

**Identification of major programs:**

|                           |                                                  |
|---------------------------|--------------------------------------------------|
| <b><u>CFDA Number</u></b> | <b><u>Name of Federal Program or Cluster</u></b> |
|---------------------------|--------------------------------------------------|

|        |                                 |
|--------|---------------------------------|
| 20.205 | Highway Planning & Construction |
|--------|---------------------------------|

**Dollar threshold used to distinguish between  
type A and type B programs:**

\$ 750,000

**Auditee qualified as low-risk auditee?**

|           |                  |
|-----------|------------------|
| _____ yes | _____ x _____ no |
|-----------|------------------|

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF FINDINGS AND QUESTIONED COSTS**  
June 30, 2018

**SECTION II – Financial Statement Findings**

There were no current year findings reported.

**SECTION III – Federal Award Findings and Questioned Costs**

There were no current year findings or questioned costs reported.

**CITY OF GALLATIN, TENNESSEE**  
**SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES**  
For the Fiscal Year Ended June 30, 2018

**Financial Statement Findings**

| <b>Prior Year<br/>Finding Number</b> | <b>Finding Title</b>                                                                                                                                                                 | <b>Status/Current Year<br/>Finding Number</b> |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|
| 2017-001                             | Investigative Report - State of Tennessee<br>Comptroller of the Treasury - Released<br>April 19, 2017 (Significant Deficiency and<br>Noncompliance) (original funding #2016-<br>001) | Corrected                                     |

**Federal Award Findings and Questioned Costs**

There were no prior year findings reported.